

# The Price of Delaware Corporate Law Reform\*

Kenneth Khoo<sup>†</sup>

[kenneth.khoo@nus.edu.sg](mailto:kenneth.khoo@nus.edu.sg)

Roberto Tallarita<sup>‡</sup>

[rtallarita@law.harvard.edu](mailto:rtallarita@law.harvard.edu)

## Abstract

We examine the equity market response to SB 21, a 2025 overhaul of the Delaware General Corporation Law that relaxed the rules governing conflicted transactions with controlling shareholders. We conduct an event study around the passage of the bill and find that, on average, Delaware-incorporated firms experienced a cumulative abnormal return (CAR) that was about 1.2 percentage points lower than that of non-Delaware-incorporated firms. The effect is more pronounced in firms where conflicts with controlling shareholders are most salient. Within Delaware, the CAR is about 1.4 percentage points lower for firms with a controlling block of 15% or more than for firms with smaller blocks, about 2.3 percentage points lower for dual-class firms than for single-class firms, and negatively related to voting wedges. Our estimates are negative across all event windows and remain so after a five-factor risk adjustment. Relative to passive funds, active mutual funds cut their exposure to Delaware firms after the announcement and, within Delaware, also cut their exposure to firms with more concentrated ownership. Overall, the market priced SB 21 as reducing the expected value of public investors' shares in Delaware companies, with the largest losses accruing to investors in firms with more powerful insiders.

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<sup>†</sup> Assistant Professor, National University of Singapore, Faculty of Law.

<sup>‡</sup> Assistant Professor, Harvard Law School.

# 1 Introduction

In 2025, within a few weeks, Delaware legislators introduced and approved a controversial reform of the state’s corporate law code (SB 21),<sup>1</sup> a statute that relaxed the rules governing conflicted transactions with controlling shareholders (hereinafter, “controller transactions”) and added a series of defendant-friendly amendments designed to curb minority shareholder litigation (Bainbridge (2025a)). As Talley et al. (2025) emphasize, this was the most significant rewriting of Delaware corporate law in more than half a century.

The bill sparked an intense debate among scholars and practitioners. Critics contend that the new law facilitates excessive extraction of private benefits by controlling shareholders and other insiders, and that it was designed to appease powerful founders and business interests at the expense of public investors (Bebchuk et al. (2025); Lipton (2025a); Lipton (2025b); Shapira (2025)). Supporters, by contrast, argue that the new rules supply a much-needed correction to excessive litigation and judicial overreach, ultimately benefiting all shareholders (Bainbridge (2025b); Bishop (2025); Rickey (2025)).

In this Article, we shed light on the debate by examining the equity market response to SB 21. If investors anticipate that the new rules will reduce the value of public investors’ shares in Delaware companies, as critics contend, then the stock returns of affected firms should react negatively to the reform. In contrast, if investors expect the new rules to benefit public investors, as supporters maintain, then the returns of those firms should react positively. We therefore read the sign of the market reaction as the market’s own assessment of which account is closer to correct.<sup>2</sup>

To measure the market reaction to SB 21, we conduct a series of event studies (Brown and Warner (1985); MacKinlay (1997)) around February 18, 2025, the first trading day after the bill’s announcement.<sup>3</sup> To assess the overall effect of the reform on firms subject to the new rules, we estimate cumulative abnormal returns (CARs) for the 1,000 largest Delaware-incorporated companies by market capitalization and for a comparative sample of the 1,000 largest U.S. companies incorporated outside Delaware.<sup>4</sup> To isolate the specific effect of the provisions governing controller transactions, on which many commentators have focused their attention, we then hand-collect ownership information from public corporate filings for the Delaware firms in our sample and examine how their CARs vary with each firm’s control structure.

In particular, we study the relation between CARs and two variables of corporate control. The first is the percentage of votes that may be exercised by the shareholder or shareholders with

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<sup>1</sup>Act of Mar. 25, 2025, ch. 6, 85 Del. Laws (2025) (S.S. 1 for S.B. 21).

<sup>2</sup>Because the reform’s realized consequences unfold over a longer post-reform period than is presently available, we measure the market’s contemporaneous, forward-looking assessment of SB 21 rather than its effects on outcomes such as controller litigation, insider compensation, and conflicted transactions. These outcomes develop over multi-year horizons (Bertrand and Mullainathan (2003); Betton et al. (2008); Armour et al. (2012); Bushman et al. (2025); Atanasov (2013)).

<sup>3</sup>The bill was announced on February 17, 2025, a U.S. federal holiday (Presidents’ Day).

<sup>4</sup>We focus on the largest firms as SB 21’s controller-transaction provisions bear most heavily on companies with meaningful controller exposure and litigation risk, characteristics concentrated among larger corporations, and because this places the headline Delaware/non-Delaware comparison on the same firms as our within-Delaware tests of corporate control. We develop this sampling rationale in Section 4.1.

the greatest voting power, which we term the “voting block.” Companies with a larger voting block are more likely to be reached by the rules on controller transactions, since those rules apply to transactions involving a “controlling shareholder” and voting power is a critical factor in determining control. Moreover, if the critics of SB 21 are right and the new statute permits greater exploitation of public investors, we would expect public investors to suffer relatively more in companies with more powerful controllers, where the agency costs of control are larger (Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005)). For these reasons, the market reaction to SB 21 should be associated with the size of the voting block.

The second variable is the presence of a dual-class structure, which grants founders and other insiders disproportionate voting power relative to the shares they own. In a dual-class company, controllers and major shareholders have stronger incentives to exploit public investors, because by holding a smaller fraction of the cash-flow rights they bear less of the cost that their decisions impose on the firm (Bebchuk and Kastiel (2018); Masulis et al. (2009); Gompers et al. (2010)). We measure both the presence of a dual-class structure and the size of the wedge between insiders’ economic and voting rights. If the critics of SB 21 are correct, dual-class firms should exhibit a larger negative CAR than single-class firms, even after controlling for the size of the voting block (Bebchuk et al. (2025)), and the effect should increase with the size of the voting-economic wedge (Section 5.3).

Our results lend support to the critics’ view. Around the date of SB 21’s announcement, Delaware companies experienced negative CARs relative to other U.S. companies, and within Delaware, firms dominated by large blockholders or featuring dual-class share structures suffered more pronounced losses than peers with smaller blockholders or single-class equity. Because SB 21 is a single event on a single date, we do not rely on conventional one-sample tests; our inference rests on comparisons—Delaware against non-Delaware, Delaware firms with more against less powerful insiders—benchmarked against 230 pre-event placebo dates, and on the absence of any comparable pattern among non-Delaware firms (Sections 5.1 and A.1).

In our baseline window, which runs from the trading day before the event to the fifth trading day after it, the CARs of Delaware companies are 1.2 percentage points lower than those of other U.S. companies, after controlling for several company characteristics such as size, industry, and other financial variables. Applied to the market value of the Delaware companies in our sample, that estimate corresponds to roughly \$350 billion.

Among Delaware-incorporated firms, companies with a voting block of less than 15% (which we treat as minimally exposed to the controller-transaction rules) had lower declines in CARs. Relative to this group, firms with a voting block of 15% or more had CARs that were about 1.4 percentage points more negative, while firms with a voting block of more than 33.3% had CARs that were about 1.7 percentage points more negative. Overall, we find a negative correlation between the CAR and the voting block. In particular, a 10-percentage-point increase in the voting block is associated with a 0.27-percentage-point decrease in returns.

Furthermore, we find that Delaware firms with dual-class structures fared worse than their single-class counterparts. On average, the former had CARs that were about 2.3 percentage points lower at  $[-1, +5]$ . Our results for the continuous variable measuring the wedge between voting and eco-

nomic rights illustrate a similar narrative. Among firms with a non-institutional largest blockholder, the relationship between the wedge and CAR is negative across windows and remains so even after we control for the controller’s cash-flow rights (Section 5.3).

Through what process did the negative CARs emerge, and which investors were the marginal sellers? To shed light on this question, we analyze portfolio rebalancing using monthly mutual-fund holdings, examining in particular whether active, alpha-seeking funds adjusted their exposures around the SB 21 announcement. Relative to passive funds, we find that active funds reduced their exposure to Delaware firms and, within their Delaware holdings, to firms with more concentrated control.

We also test the market response to the Delaware Supreme Court’s 2024 *Match* decision, which had reaffirmed one of the most important rules overturned by SB 21, namely the application of the “double-cleansing” mechanism to all controller transactions (*In re Match Grp., Inc. Derivative Litig.* 2024).<sup>5</sup> Here, in contrast to SB 21, the aggregate response is essentially a non-event: stock returns remained, on average, largely unaffected by the *Match* decision, consistent with the court’s view that the decision did not alter existing law. The cross-section is directionally corroborative. The dual-class, voting-block, and wedge coefficients around *Match* are positive—the mirror image of their negative SB 21 counterparts—although most estimates are individually insignificant.

One obvious alternative explanation for our finding is that the losses are not due to a transfer of value from minority shareholders to a controller but to the uncertainty introduced by the legal changes. We argue that this cannot explain the entire effect. First, any such uncertainty would be confined to a specific state’s controller rules and is largely diversifiable, making it unlikely to command a significant risk premium. Second, and perhaps more importantly, we find that the firms most exposed to the legal changes do not experience an increase in idiosyncratic volatility, an increase one would expect if the legal changes introduced a significant amount of uncertainty (see Section 5.4).

Collectively, the evidence indicates that the market priced SB 21 as reducing the expected value of public shareholders’ claims on Delaware companies, and that the protections the statute curtailed were especially valuable to minority investors in companies with controlling shareholders and other large, influential blockholders. The magnitude of the estimated loss underscores the economic importance of those protections.

The rest of our Article is organized as follows. In Section 2, we survey the relevant literature and articulate our Article’s contribution. In Section 3, we examine the institutional details of SB 21 and identify the firm characteristics, particularly voting-block size and dual-class status, that mediate exposure to the reform. In Section 4, we describe our data and event-study methodology. Section 5 presents and discusses our results, and Section 6 concludes.

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<sup>5</sup>A “double-cleansing” mechanism involves the approval of a conflicted transaction by both a special committee of independent directors and a fully informed and uncoerced majority of minority shareholders. See Section 3.1.

## 2 Literature Review

We provide the first systematic firm-level evidence on the market reception of SB 21, the most significant rewriting of Delaware corporate law in more than half a century. Because the most consequential changes under SB 21 relax the approval requirements for conflicted controller transactions, the reform is best understood as a change in the legal constraints that protect minority investors in controlled firms. The literature on controlling shareholders supplies the framework for our contribution.

It has long been debated whether controlling shareholders may resolve the principal-agent problem between the owners and managers of a firm. On one hand, controlling shareholders may have a strong incentive to monitor managers because of their large ownership stake (which, in many cases, is held by managers themselves) and may be more patient and long-term oriented (see [Choi \(2018\)](#); [Gilson and Gordon \(2003\)](#); [Goshen and Hamdani \(2015\)](#); [La Porta et al. \(2000\)](#); [Pargendler \(2019\)](#)). On the other, the same concentration of power that enables a controlling shareholder to address the problem of a firm’s management may also allow this shareholder to extract private benefits from the firm at the expense of minority shareholders (for example, by engaging in self-dealing, setting excessive compensation, or otherwise pursuing interests that are not shared by the firm’s shareholders; see [Bebchuk and Hamdani \(2017\)](#); [Coffee Jr \(2001\)](#); [Gilson \(2005\)](#); [Lipton \(2025a\)](#)). In this context, if the legal system lowers the cost of extracting private benefits, then firms with a controlling shareholder should be valued less. This effect should be more pronounced for firms with a higher degree of control, as well as for firms where the controlling shareholder has less economic exposure because of a smaller ownership stake.

Our paper joins a large and growing literature that exploits changes in corporate governance laws as natural experiments to study their consequences using stock market reactions ([Babenko et al. \(2025\)](#); [Eldar and Grennan \(2024\)](#); [Fich et al. \(2023\)](#); [Khoo and Tallarita \(2025\)](#); [Linn and McConnell \(1983\)](#); [Pound \(1987\)](#); [Rauterberg and Talley \(2017\)](#)). Our paper is most closely related to [Bennett et al. \(2025\)](#), who document declines in the valuation of Nevada-incorporated firms after Nevada relaxed shareholder-primacy constraints. We contribute to this literature by focusing on short-term stock market reactions rather than on the longer-term consequences of governance overhauls. This allows us to isolate the market’s reaction to the governance reform from its potential longer-term consequences for the firm’s internal governance structure ([Li et al. \(2022\)](#)).

Another strand of literature relevant to our analysis is the legal commentary on SB 21, which is, in turn, closely related to the literature on the relative costs and benefits of shareholder litigation ([Kraakman et al. \(1993\)](#)). Proponents contend that the reforms could enhance shareholder value by increasing the predictability of bright-line rules ([Bishop \(2025\)](#)), by lowering regulatory compliance costs through the simplification of cleansing procedures for conflicted transactions ([Bainbridge \(2025b\)](#)), and by reducing the costs associated with books-and-records inspections ([Rickey \(2025\)](#)). Some commentators further argue that these changes should decrease litigation costs in cases alleging wrongful conduct.<sup>6</sup>

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<sup>6</sup>Tom Hals, *Delaware Bill Would Limit Investor Lawsuits as Companies Threaten to Leave the State*, Reuters (Feb. 18, 2025).

However, other commentators argue that SB 21 entails substantial secondary costs that may be only indirectly related to controllers’ incentives to extract private benefits. They emphasize that the rigidity of bright-line rules is an inferior mechanism for policing investor exploitation relative to the flexibility of equitable review (Lipton (2025a); Tallarita (2025)); that narrowing books-and-records rights is likely to weaken the deterrence of controlling shareholders’ behavior (Shapira (2025)); that Delaware risks reputational harm from the perception of interest-group capture (Lipton (2025b)); and that the rushed and confusing legislative process may signal incompetence in a regime of regulatory competition (Kahan and Rock (2025); Lund and Talley (2025)). These effects are all theoretically plausible. Our article is an attempt to provide an empirical evaluation on how the market priced them.

## 3 The Delaware Corporate Law Reform

### 3.1 The Double-Cleansing Rule

Delaware subjects conflicted decisions to its strictest standard of review—entire fairness—while affording unconflicted board decisions the deferential business judgment rule (*Gagliardi v. Trifoods Int’l* 1996). While entire fairness review frequently ends in a settlement or a plaintiff’s victory, a corporation can avoid entire fairness by “cleansing” the conflict, so that the approval process is again treated as reliable and the business judgment rule applies (Chari and Ross (2025); Greco (2024); Spamann (2016)). For the ordinary conflict, in which a director or officer has a financial interest, approval by disinterested directors (typically a special committee) or by disinterested shareholders suffices (*Cooke v. Oolie* 2000). Where the conflicted party is a controlling shareholder, however, these devices have long been regarded as “not trustworthy enough to obviate the need for an entire fairness review” (*In re Pure Res., Inc., S’holders Litig.* 2002).

Controller transactions were therefore subject to entire fairness across their full range, from parent-subsidiary squeeze-outs to transactions of every other kind.<sup>7</sup> In *Kahn v. M & F Worldwide Corp.* 2014, the Delaware Supreme Court established the “double-cleansing” mechanism, under which a controller transaction escapes entire fairness only if it is approved by *both* a special committee of independent directors *and* a fully informed, uncoerced majority of the minority shareholders.

Many experts had criticized Delaware’s judge-made controller-transaction rules and urged defendant-friendly reform (Hamermesh et al. (2021); Pollman and Will (2025); Goshen et al. (2024); Fisch and Davidoff Solomon (2024)). In the 2024 *Match* case, however, the Delaware Supreme Court reaffirmed the double-cleansing rule for controller transactions of

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<sup>7</sup>Squeeze-outs have received sustained scholarly attention. See, e.g., Carney (1980); Kahan (1993); Coates IV (1998); Gilson and Gordon (2003); Subramanian (2007); Restrepo (2013); Restrepo and Subramanian (2015); Cox and Thomas (2017). The entire-fairness regime for controller transactions extended well beyond squeeze-outs, reaching stock purchases (*Kahn v. Tremont Corp.* 1996), services agreements (*T. Rowe Price Recovery Fund, L.P. v. Rubin* 2000), reverse stock splits (*Reis v. Hazelett Strip-Casting Corp.* 2011), and debt-for-equity conversions (*S. Muoio & Co. LLC v. Hallmark Ent. Invs. Co.* 2011), among others (*In re Ezc Corp Inc. Consulting Agreement Derivative Litig.* 2016).

every kind (*In re Match Grp., Inc. Derivative Litig.* 2024).<sup>8</sup>

That reaffirmation collided with mounting pressure from prominent founders and controllers to change the law (Bainbridge (2024b)). Amid this pressure, SB 21 was introduced in February 2025,<sup>9</sup> and a slightly revised version was signed into law by the end of March.<sup>10</sup>

## 3.2 How SB 21 Changed the Law

The scope of the reform is broad. SB 21 amended Sections 144 and 220 of the Delaware General Corporation Law (DGCL) and thereby rewrote the rules governing conflicted transactions, as well as shareholders’ rights to inspect corporate books and records. Table 1 summarizes the major changes to Delaware law introduced by SB 21, which, when taken together, move Delaware law in a defendant-friendly (and thus controller-friendly) direction. We report both the proposed amendments in their initial version, announced on February 17, 2025, and those included in the final version of the bill, which was introduced on March 12 and signed into law on March 25, 2025. As the Table shows, the later revisions did not significantly alter the content of the bill, except by reinstating some degree of judicial discretion with respect to books-and-records requests.

Table 1: The New Rules of SB 21

| Old Rules                                                                           | Initial Version of SB 21                                                                | Final Version of SB 21                                                                                                                            |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| Double cleansing for all controller transactions                                    | Double cleansing for squeeze-outs<br>Single cleansing for other controller transactions | Same as initial version                                                                                                                           |
| All members of special committee must be independent                                | Majority of special committee must be independent                                       | All members of special committee must be considered independent by the board.<br>Cleansing requires approval by majority of independent directors |
| Double cleansing condition from inception (ab initio)                               | Condition on shareholder approval before submission to shareholder vote                 | Same as initial version                                                                                                                           |
| Special committee must be empowered to choose and hire its own advisers             | Special committee need not be empowered to choose and hire its own advisers             | Same as initial version                                                                                                                           |
| Special committee must act with due care                                            | Special committee must act in good faith                                                | Special committee must act without gross negligence or bad faith                                                                                  |
| Shareholder approval by majority of outstanding votes of disinterested shareholders | Shareholder approval by majority of votes cast by disinterested shareholders            | Same as initial version                                                                                                                           |

<sup>8</sup>*Match* prompted significant scholarly work on the optimal cleansing regime for controller conflicts (Bainbridge (2024a); Barzuza (2024); Bubb et al. (2024); Greco (2024); Hurt (2025); Restrepo and Subramanian (2024)).

<sup>9</sup>S.B. 21, 153d Gen. Assem., Reg. Sess. (Del. 2025).

<sup>10</sup>S.S. 1 for S.B. 21, 153d Gen. Assem., Reg. Sess. (Del. 2025). On February 4, 2025, the Delaware Supreme Court held that the business judgment rule, rather than entire fairness, governs a controller-influenced reincorporation to another state absent a non-ratable benefit to the controller, reversing the Court of Chancery’s contrary decision in the TripAdvisor litigation (*Maffei v. Palkon* 2025). This decision predates our event window by two weeks and falls outside our estimation window, which ends twenty trading days before the event (Section 4.2.1). Any repricing it caused ran in the controller-friendly direction and therefore cannot account for the negative announcement returns we document.

| Old Rules                                                                                       | Initial Version of SB 21                                                                                                                                                               | Final Version of SB 21                                                                                                                                                                              |
|-------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A shareholder may be considered a controlling shareholder with less than 33.3% of voting power  | A shareholder may not be considered a controlling shareholder with less than 33.3% of voting power <sup>11</sup>                                                                       | Same as initial version                                                                                                                                                                             |
| Controlling shareholders have both duties of care and loyalty                                   | Controlling shareholders have only duty of loyalty, not care                                                                                                                           | Same as initial version                                                                                                                                                                             |
| Director independence determined by court based on facts and circumstances                      | Enhanced presumption of independence if board determines that stock exchange standards of independence are met<br><br>Nomination by interested person not enough to prove independence | Same as initial version                                                                                                                                                                             |
| “Books and records” that shareholders may inspect include informal documents and communications | “Books and records” limited to certain formal documents and communications                                                                                                             | “Books and records” limited to certain formal documents and communications<br><br>Court may order production of other records if plaintiff shows compelling need with clear and convincing evidence |
| No bright-line time limits for books-and-records requests                                       | Shareholders may inspect books and records within 3 years of the request                                                                                                               | Same as initial version                                                                                                                                                                             |

The Table compares the new rules on conflicted transactions, director independence, and inspection of books and records contained in SB 21 (both in its initial and final version) with the corresponding old rules, mainly of judicial creation.

One of the most significant changes introduced by SB 21 is the adoption of a single-cleansing safe harbor for controller conflicts. Under the old legal framework, recently reaffirmed by the Delaware Supreme Court’s decision in *Match*, boards and controlling shareholders could avoid judicial review of controller transactions only through a double-cleansing mechanism (approval from *both* a special committee of independent directors *and* a majority of minority shareholders). Under the new rules, the same effect is attained through only *one* of these two cleansing mechanisms.<sup>12</sup> The only exception is for controlling-stockholder going-private transactions (most prominently, squeeze-outs), which remain subject to double-cleansing, although in a slightly laxer form than before.<sup>13</sup> This change affects all Delaware companies with a controlling shareholder, whether a majority shareholder (holding a majority of the voting power) or a minority shareholder with *de facto* dominant influence over the corporation.

SB 21 also adopts an explicit statutory definition of “controlling shareholder,” which ostensibly excludes shareholders with less than one third of total voting power (Bainbridge (2025a)). However, an alternative interpretation of the new language suggests that the new bright-line definition of “controlling shareholder” does not replace the common law standard. In other words, a shareholder with less than 33.3% of votes may still be found to be a controlling shareholder under the traditional common law standard. On this view, shareholders with less than 33.3% of voting power would not be affected by SB 21 (Kahan and Rock (2025)).

<sup>11</sup>See *supra* note 9.

<sup>12</sup>For a theoretical framework emphasizing that substituting shareholder voting/appraisal (and related procedural “cleansing” devices) for fiduciary-duty enforcement can weaken shareholder protection in control transactions, see Bubb et al. (2024).

<sup>13</sup>Critics of the new rule argue that there is no sound theoretical reason why going-private transactions should be treated differently from other important controller transactions. See Bebchuk and Kastiel (2025).

The dichotomy between the flexible pre-SB 21 standard and the 33.3 percent bright-line post-SB 21 rule creates a natural discontinuity at 33.3 percent. However, identifying the appropriate cutoff for our analysis is more involved, as we need to identify firms affected by the new definition of controlling shareholders introduced by SB 21 even if they have less than 33.3 percent of the voting power. The old standard for identifying a controller did not specify a minimum voting-power threshold (*In re PNB Hldg. Co. S'holders Litig.* 2006). Nevertheless, in practice, findings of controller status predicated on voting power below 15 percent were very rare. We identified one borderline case, which concerned two brothers who together held just under 15 percent and were found after trial to be controllers of a specific transaction (*FrontFour Cap. Grp. LLC v. Taube* 2019), and none in which a smaller block supported such a finding.<sup>14</sup> Thus, we use 15 percent as a conservative estimate of the voting-power threshold below which a blockholder was, in practice, minimally exposed to the controller-transaction rules prior to SB 21.

Within the exposed group, we further distinguish firms with voting blocks between 15 percent and 33.3 percent (the intermediate group, whose exemption under the new rule depends on how that rule is interpreted) from firms with voting blocks above 33.3 percent, whose conflicted transactions are governed by the new safe harbor. By providing a clear statutory cleansing mechanism for conflicted transactions involving blockholders with more than 33.3 percent voting power, we posit that the new rule may further lower the costs of extracting private benefits of control for this group of dominant blockholders.

If the agency costs of control are indeed driving the share-price reaction, we should expect to see a continuous relationship between the size of the voting block and the size of the announcement return. The larger the voting block, the greater the controlling shareholder's practical ability to influence the firm's conflicted transactions, and thus the greater the share-price effect of an announced reduction in constraints on the controller's behavior.

A separate cross-sectional implication concerns firms with a dual-class structure. In a dual-class firm, at least one shareholder has voting power disproportionate to his or her equity holding. The existence of a dual-class structure means that, when the firm makes a value-reducing corporate decision, the costs of that decision are not fully borne by the controlling shareholder (*Bebchuk and Kastiel* (2018)). Thus, the wedge between voting and economic rights increases the controlling shareholder's expected private benefits from any given loosening of the restrictions on controller transactions, and, all else being equal, the existence of a dual-class structure should make a firm more vulnerable to the potential negative effects of SB 21 than a single-class firm with an identical voting block. To test this implication, we construct an indicator variable for the existence of a dual-class structure and a continuous variable reflecting the wedge between voting and economic rights (Section 5.3).

The other defendant-friendly amendments of SB 21, such as the new "enhanced presumption" of director independence and the new restrictions to shareholders' inspection rights, affect all Delaware companies, regardless of the voting power of the main shareholders.<sup>15</sup>

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<sup>14</sup>Control findings resting on contractual rights rather than voting power are a separate category, now codified in the statutory definition's second prong, and lie outside what our voting-block variable measures.

<sup>15</sup>SB 21 also survived a prompt constitutional challenge: in February 2026, the Delaware Supreme Court, sitting

## 4 Methodology and Data

We measure the market response to SB 21 using a series of event studies that compare the returns of affected firms around the event date with the expected returns implied by standard asset-pricing models.<sup>16</sup> The resulting abnormal returns capture the market’s expected change in the value of public shareholders’ equity claims, conditional on the information released during the announcement window. Our estimates therefore measure shareholder wealth rather than aggregate welfare. These measures can diverge because a negative abnormal return concentrated among controlled firms may reflect an anticipated transfer from minority shareholders to controllers. Such a transfer changes the distribution of firm value without necessarily changing the firm’s total surplus. Nevertheless, the expropriation of public investors may generate deadweight costs and resource misallocation (Bebchuk (1994); Dyck and Zingales (2004); Gilson and Gordon (2003); Johnson et al. (2000)). Indeed, the expropriation of outside investors has often been identified as the central problem of corporate governance (Shleifer and Vishny (1997)).

In any event, the market response does not capture other effects of the reform, including those borne by creditors, employees, and other non-shareholder constituencies, the social costs of corporate litigation, and the fiscal interests of states competing for incorporations. We therefore interpret our estimates as evidence of how the market expected SB 21 to affect the value of public shareholders’ claims. Crucially, the reform’s net effect on social welfare lies beyond what a reduced-form event study of this kind can identify.<sup>17</sup>

### 4.1 Data and Summary Statistics

We retrieve daily total returns for all Delaware and non-Delaware firms from the CRSP/Compustat Merged database, relying on CRSP’s dividend- and split-adjusted return series (DlyRet). We proxy market returns by CRSP’s value-weighted total-return index, a capitalization-weighted portfolio of domestic stocks listed on the NYSE and NASDAQ exchanges (vwret). We obtain firm-level covariates from Compustat, including size, industry classification, state of incorporation, and other accounting measures. Finally, we hand-collect data on voting power and dual-class status from proxy statements for the 1,000 largest Delaware-incorporated firms by market capitalization, with assistance from student researchers at Harvard Law School.

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en banc, unanimously upheld the amendments. *Rutledge v. Clearway Energy* 2026.

<sup>16</sup>For recent event studies of legal and regulatory change, see Berkowitz et al. (2015); Borisov et al. (2016); Cain et al. (2017); A. Cohen and Wang (2013); Dammann (2022); Eldar (2018); Frattaroli (2020); Greenwood et al. (2023); Krüger (2015); Matsusaka et al. (2021); Raghunandan and Rajgopal (2024).

<sup>17</sup>We do not analyze incorporation flows (the rate at which firms enter or leave Delaware), although the reform was widely read as a response to the threat of departures (Section 3). Flows lie beyond our reduced-form design for three reasons: the incorporation choice is made by the very board or controller whose latitude SB 21 expands, so exits can move opposite to public-shareholder value; reincorporation is slow and typically bundled with other corporate events, leaving too few post-reform cases to identify in a regression; and flows are the equilibrium of an ongoing competition among Delaware, Nevada, and Texas, so a post-reform slowdown may reflect successful retention rather than any gain to minority shareholders. Credibly modeling flows would require a structural entry-and-exit model, which we leave to future work.

For the Delaware/non-Delaware comparison, we analyze the 1,000 largest publicly traded firms incorporated in Delaware at the end of 2024 and, as a comparison group, the 1,000 largest publicly traded U.S. firms incorporated in other states. This sampling choice follows from our estimand of interest, as the controller-transaction provisions of SB 21 are most relevant to firms with material fiduciary-litigation risk and active market scrutiny, both of which are concentrated among larger corporations (see Section 5.1). Because a small number of firms could not be matched to the CRSP–Compustat files, the effective sample is slightly smaller in some analyses.

Tables 2–4 present summary statistics for the resulting sample, reporting the mean and standard deviation of each variable. Tobin’s  $Q$  exhibits a heavy right tail driven by a small number of asset-light firms. We therefore winsorize the cumulative abnormal returns and firm controls (including Tobin’s  $Q$ ) at the 1st and 99th percentiles in the cross-sectional regressions, so that the baseline estimates are not driven by this tail.<sup>18</sup>

Table 2: Delaware and Non-Delaware Companies

|                | Non-Delaware   | Delaware         | Total           | Test   |
|----------------|----------------|------------------|-----------------|--------|
| Observations   | 844 (47.5%)    | 933 (52.5%)      | 1,777 (100.0%)  |        |
| Firm Size      | 8.514 (1.669)  | 8.810 (1.628)    | 8.678 (1.652)   | <0.001 |
| Log BM         | -0.040 (1.069) | 0.606 (1.036)    | 0.318 (1.098)   | <0.001 |
| RoA            | 0.028 (0.403)  | 0.021 (0.144)    | 0.024 (0.289)   | 0.647  |
| Leverage Ratio | 0.319 (0.268)  | 0.314 (0.264)    | 0.316 (0.266)   | 0.727  |
| Tangibility    | 0.226 (0.264)  | 0.209 (0.232)    | 0.216 (0.246)   | 0.193  |
| Tobin’s $Q$    | 4.315 (49.696) | 10.947 (190.530) | 7.997 (145.774) | 0.308  |

The Table reports descriptive statistics for the Delaware and non-Delaware companies included in our final sample. For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The “Test” column reports the p-value of a Welch two-sample t-test on the difference in means between Delaware and non-Delaware companies. “Firm Size” reports the logarithm of the firm’s total assets. “Log BM” reports the logarithm of the book-to-market ratio of the firm. “RoA” reports the firm’s return on assets, measured by the ratio of the company’s net income to its total assets. “Leverage Ratio” reports the firm’s total debt to total assets. “Tangibility” reports the firm’s property, plant, and equipment to total assets. Tobin’s  $Q$  reports the firm’s market capitalization of equity plus total debt divided by total assets; the variable is highly right-skewed because a small number of asset-light firms (those with large market capitalization relative to small book assets) generate very large ratios. In the Delaware sample, the ten firms with the largest  $Q$  values together account for roughly three-quarters of the sum of Tobin’s  $Q$  across the Delaware sample; in the regressions reported in Section 5, the  $Q$  control, like the other firm controls, is winsorized at the 1st and 99th percentiles. All data is collected from the CRSP–Compustat database, using 2024 annual values.

For the Delaware-only cross-sectional analyses, we hand-collect three control-structure variables corresponding to the channels described in Section 3: the size of the largest voting block, the presence of a dual-class share structure, and the voting-economic wedge. For each Delaware firm in our sample, we manually inspect its most recent proxy statement and calculate the percentage

<sup>18</sup>In the  $[-1, +5]$  baseline specification (Table 6), winsorizing the dependent variable and all firm controls at the 1st and 99th percentiles yields a Delaware coefficient of  $-0.0120$  ( $p = 0.001$ ), significant at the 1 percent level.

of votes exercisable by the shareholder with the greatest voting power. We aggregate holdings across parties to a voting agreement and across family members where the proxy disclosures support doing so. Where the proxy statement reports voting power directly, we record the reported figure; otherwise, we calculate it from the voting-rights information disclosed in the same statement. We also record the controlling blockholder’s economic ownership from the same filings, which allows us to construct the voting-economic wedge. This variable measures the gap between voting power and cash-flow rights that we examine in Section 5.3. Tables 3 and 4 present the associated summary statistics.

Table 3: Voting Power

|                | < 15 % control | 15–33 % control  | ≥ 33% control | Total            | Test   |
|----------------|----------------|------------------|---------------|------------------|--------|
| Observations   | 579 (62.1%)    | 190 (20.4%)      | 164 (17.6%)   | 933 (100.0%)     |        |
| Firm Size      | 9.085 (1.672)  | 8.231 (1.449)    | 8.507 (1.434) | 8.810 (1.628)    | <0.001 |
| Log BM         | 0.575 (1.065)  | 0.626 (1.052)    | 0.688 (0.902) | 0.606 (1.036)    | 0.449  |
| RoA            | 0.030 (0.139)  | 0.009 (0.140)    | 0.004 (0.163) | 0.021 (0.144)    | 0.054  |
| Leverage Ratio | 0.313 (0.254)  | 0.306 (0.279)    | 0.328 (0.284) | 0.314 (0.264)    | 0.726  |
| Tangibility    | 0.209 (0.235)  | 0.210 (0.239)    | 0.209 (0.219) | 0.209 (0.232)    | 0.998  |
| Tobin’s Q      | 5.815 (37.923) | 33.148 (416.884) | 3.315 (3.450) | 10.947 (190.530) | 0.196  |

The Table reports descriptive statistics for three subsamples of Delaware companies based on the percentage of votes that may be exercised by the shareholder(s) with the largest voting power. For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The “Test” column reports the p-value of a one-way ANOVA F-test for equality of means across the three subsamples. We report the variables of interest indicated in Table 2.

Table 4: Dual-Class Companies and Voting Wedges

|                   | Single-Class     | Dual-Class Companies |                 | Total            | Test  |
|-------------------|------------------|----------------------|-----------------|------------------|-------|
|                   |                  | Low Wedge            | High Wedge      |                  |       |
| Observations      | 793 (85.1%)      | 70 (7.5%)            | 68 (7.3%)       | 932 (100.0%)     |       |
| Voting Wedge (pp) | N.A.             | 6.283 (10.416)       | 44.138 (10.339) | 3.729 (12.384)   |       |
| Firm Size         | 8.846 (1.631)    | 8.652 (1.544)        | 8.541 (1.595)   | 8.806 (1.625)    | 0.231 |
| Log BM            | 0.578 (1.057)    | 0.594 (0.870)        | 0.959 (0.830)   | 0.608 (1.033)    | 0.014 |
| RoA               | 0.023 (0.144)    | -0.006 (0.127)       | 0.017 (0.160)   | 0.021 (0.144)    | 0.255 |
| Leverage Ratio    | 0.316 (0.269)    | 0.310 (0.243)        | 0.302 (0.233)   | 0.315 (0.264)    | 0.895 |
| Tangibility       | 0.213 (0.238)    | 0.190 (0.223)        | 0.192 (0.176)   | 0.210 (0.233)    | 0.594 |
| Tobin's Q         | 12.257 (206.671) | 3.016 (2.764)        | 4.065 (4.273)   | 10.958 (190.632) | 0.884 |

The Table reports descriptive statistics for Delaware companies grouped by voting structure. Single-class companies appear in the first column, and dual-class companies are divided into low- and high-wedge groups, split at the median voting-economic wedge among dual-class firms (25.8 percentage points). The voting-economic wedge, reported in the second row, is the percentage of votes controlled by the largest blockholder minus the cash-flow (economic) rights held by that same blockholder, constructed from proxy-statement voting disclosures as described in Section 5.3; it does not apply to single-class firms, for which votes and cash-flow rights coincide, and is reported as not applicable (N.A.). For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The “Test” column reports the p-value of a one-way ANOVA F-test for equality of means across the three groups. We report the variables of interest indicated in Table 2.

To examine a possible portfolio-rebalancing channel, we retrieve fund-stock holdings from the CRSP Mutual Fund Database for September 2024 through May 2025, providing observations before and after the February 2025 announcement.<sup>19</sup> We merge the holdings panel, which records each fund’s stock holdings by firm and month, with fund-level characteristics from CRSP. We classify a fund as passive if its index-style code identifies it as an index fund (B, D, or E) or if CRSP classifies it as an ETF. We classify all remaining funds as active.<sup>20</sup> We then merge the fund-firm-month observations with firm-level variables from CRSP/Compustat and our hand-collected dataset. These variables include, *inter alia*, the Delaware-incorporation indicator for all firms and the voting-block measure for the Delaware-incorporated subset.

## 4.2 Event Study Methodology

### 4.2.1 Event Dates

Our main “event” of interest is the corporate law reform enacted through SB 21. To study the market reaction to a legal reform, however, the reform must arrive as a surprise, or a “shock,” to the market, and new bills do not suddenly become law. In our case, SB 21 was announced on

<sup>19</sup>This period provides observations before and after the February 2025 announcement and is sufficient to examine short-run portfolio rebalancing; extending the sample to the present is unnecessary for this event-based analysis.

<sup>20</sup>Our index-fund classification is conservative relative to prior approaches (e.g., Brav et al. (2024)), so the estimated active-passive differences are, if anything, understated.

February 17, 2025; a slightly revised version, Senate Substitute Bill 1, replaced the original bill on March 12; and the reform was formally approved on March 25 ([Delaware News \(2025\)](#)). As is typical for legislation, the market therefore observed a sequence of developments over several weeks, which raises the question of which date should be treated as the relevant information shock.

However, it was clear from the beginning that the bill enjoyed strong bipartisan support and that its enactment was considered very likely ([Neely and IV Sherman \(2025\)](#)),<sup>21</sup> as routinely happens for bills reforming the Delaware General Corporation Law ([Hamdani and Kastiel \(2025\)](#)). Furthermore, as discussed in Section 3.2, the substantive differences between the initial and final versions of SB 21 are quite limited. In line with the substantial literature conducting event studies on regulatory shocks, we therefore assume that most of the new information for the market was already contained in the initial announcement ([Frankenreiter and Talley \(2024\)](#)). Accordingly, we anchor our analysis to February 18, 2025, the first trading day after the announcement. In Section A.2, we show that the later events—the organized bar’s action on the revised bill, House committee approval, and final passage—produced relatively muted market reactions, consistent with most price-relevant information having been incorporated around the initial announcement.

As a secondary identification test, we apply the same design to the Delaware Supreme Court’s April 4, 2024, decision in *Match*. Because *Match* reaffirmed the double-cleansing rule, it provides a useful non-event benchmark for our analysis.

#### 4.2.2 Definition of Analysis Windows

We use trading days  $-250$  to  $-20$  relative to the event to estimate each stock’s normal return. Our baseline event window is  $[-1, +5]$ . In Section 5.1, we explain this choice in more detail and present a timeline of subsequent SB 21 developments. Following [Matsusaka et al. \(2021\)](#), we also report windows beginning one trading day before the event and ending  $+1$ ,  $+3$ ,  $+7$ , and  $+10$  trading days after it.<sup>22</sup>

Following standard practice, we begin the event window one day before the announcement to capture possible information leakage. We extend the window several trading days after the announcement because the market was unlikely to incorporate the full effect of SB 21 immediately. The bill was a broad reform that altered several distinct doctrines at once (see Section 3.2), and investors likely needed time to assess the combined implications for shareholder value. Research on complex, attention-demanding information similarly finds that prices may adjust gradually, particularly when investor attention is limited ([Bernard and Thomas \(1989\)](#); [Hong and Stein \(1999\)](#); [Hong et al. \(2000\)](#); [DellaVigna and Pollet \(2009\)](#); [L. Cohen and Frazzini \(2008\)](#)). We therefore use  $[-1, +5]$  as our baseline window. This window gives the market several days to process the reform while ending well before the next discrete development, the Delaware bar’s public release of a revised draft on March 3, 2025, which falls near the end of our longest  $[-1, +10]$  window.

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<sup>21</sup>Jacob Owens & Karl Baker, *Landmark Delaware Corporate Law Changes Aim to Stem Exits*, Spotlight Delaware (Feb. 19, 2025).

<sup>22</sup>For recent event studies using a five-day window, see [Krüger \(2015\)](#); [Berkowitz et al. \(2015\)](#); [Borisov et al. \(2016\)](#).

To assess whether our results could reflect pre-event return patterns rather than the SB 21 announcement, we conduct a placebo exercise in which we re-estimate the cross-sectional association on pseudo-event dates drawn from the pre-event period. We describe the procedure in Section A.1.

| Window            | Index Symbol        | Trading-Day Range                    | Number of Obs. |
|-------------------|---------------------|--------------------------------------|----------------|
| Estimation window | $s \in \mathcal{S}$ | $\mathcal{S} = \{-250, \dots, -20\}$ | $T = 231$      |
| Event window      | $t \in \mathcal{T}$ | $\mathcal{T} = \{-1, \dots, 10\}$    | $L = 12$       |

As shown in the preceding table, we define trading day 0 as February 18, 2025, the first trading day after the announcement of SB 21. We denote observations in the estimation window by  $s \in \mathcal{S}$  and observations in the event window by  $t \in \mathcal{T}$ . We use the estimation window to estimate expected, or normal, returns and the event window to measure abnormal returns. In Section A.2, we also examine several potentially correlated follow-on events and assess their effects on the abnormal returns of firms in our sample.

#### 4.2.3 Model for Event Study

Following Brown and Warner (1985) and MacKinlay (1997), we estimate a standard market model. Let  $R_{it}$  be firm  $i$ 's raw daily return and  $R_{mt}$  the return on the value-weighted market index. Over the estimation window  $s \in \mathcal{S}$  we fit, by OLS,

$$R_{is} = \alpha_i + \beta_i R_{ms} + \varepsilon_{is}, \quad (1)$$

where  $\beta_i$  is firm  $i$ 's market beta and  $\varepsilon_{is}$  a mean-zero idiosyncratic shock, obtaining  $\hat{\alpha}_i$  and  $\hat{\beta}_i$ . Expected (normal) returns over the event window are the fitted values

$$E[R_{it}] = \hat{\alpha}_i + \hat{\beta}_i R_{mt}, \quad t \in \mathcal{T}, \quad (2)$$

and the abnormal return is the realized return net of this benchmark,

$$AR_{it} = R_{it} - E[R_{it}], \quad t \in \mathcal{T}. \quad (3)$$

The firm-level cumulative abnormal return over a subwindow  $[t_0, t_1] \subseteq \mathcal{T}$  (for example,  $[-1, +5]$ ) is  $CAR_i(t_0, t_1) = \sum_{t=t_0}^{t_1} AR_{it}$ , and the portfolio CAR is its cross-sectional average over the  $n$  firms in the portfolio:

$$CAR^{\text{Portfolio}}(t_0, t_1) = \frac{1}{n} \sum_{i=1}^n CAR_i(t_0, t_1). \quad (4)$$

As a robustness check, the Online Appendix (Section OA-1) re-estimates abnormal returns under the Fama–French five-factor benchmark (Fama and French (2015)).

#### 4.2.4 CAR Regressions on Independent Variables of Interest

We use cross-sectional regressions to examine how firm characteristics and exposure to the reform are associated with cumulative abnormal returns. For a given event window  $[t_0, t_1]$ , let  $CAR_{ij}(t_0, t_1)$  denote firm  $i$ 's cumulative abnormal return, as defined in Specification (4). In each cross-sectional specification, we test the null hypothesis that the reform had no differential price effect on the relevant group of firms. We report two-tailed tests throughout.

Our baseline specification compares Delaware and non-Delaware firms using the combined sample of both groups (the "All" sample):

$$CAR_{ij}^{\text{All}}(t_0, t_1) = \alpha + \beta \text{Delaware}_i + X_{ij}\gamma + \eta_j + \varepsilon_{ij}, \quad (5)$$

where  $\text{Delaware}_i$  equals one for Delaware firms (and zero otherwise),  $X_{ij}$  is a matrix of firm-level controls (constructed from the firm-level variables: log assets, log book-to-market, return on assets, leverage, tangibility, Tobin's  $Q$ ) defined in Table 2, and  $\eta_j$  are industry fixed effects (SIC3) that absorb broad sectoral differences. The coefficient of interest,  $\beta$ , captures the average differential CARs for Delaware firms relative to otherwise similar non-Delaware firms over the chosen event window.<sup>23</sup>

In our secondary specifications, which we estimate across all Delaware firms (the "Delaware" sample), we re-estimate Specification (5) using the corporate-control variables specified in Section 4.1:

$$CAR_{ij}^{\text{Delaware}}(t_0, t_1) = \alpha + K_{ij}\beta + \text{LOO\_IndCAR}_j^{(-i)}\delta + X_{ij}\gamma + \varepsilon_{ij}, \quad (6)$$

where  $K_{ij}$  denotes a matrix of firm-level independent variables of interest. In various sub-specifications, we set  $K_{ij}$  to  $\text{VotingBlock}_{ij}$  (i.e., the 0–1 fraction of votes owned by the largest blockholder(s));  $\text{Ctrlmore}_{ij}^{\geq 15}$  (i.e., an indicator for firms whose largest blockholder holds at least 15% of the votes)<sup>24</sup>; and  $\text{DualClass}_{ij}$  (i.e., an indicator for multiple-vote share structures). Because prior work suggests that concentrated governance structures are highly correlated within industries (e.g., D. Aggarwal et al. (2022); Gompers et al. (2010)), we follow Kline et al. (2020) and Angrist (2014) in including a leave-one-out industry adjustment that preserves essential between-industry variation while controlling for unobserved, within-industry factors: the term  $\text{LOO\_IndCAR}_j^{(-i)}$  denotes the leave-one-out industry mean cumulative abnormal return for firm  $i$ 's SIC3 industry  $j$ .

#### 4.2.5 Mechanism Specifications

Prior research indicates that actively managed, alpha-seeking investment funds are more responsive than passive funds to corporate governance events that are expected to reduce the long-run value of firms (Dimson et al. (2015)). In contrast, index funds face stewardship incentives that may dampen firm-specific monitoring and engagement (Bebchuk and Hirst (2019); Kahan and Rock (2020); Robertson and Molk (2024)). If the market perceived SB 21 as likely to reduce the long-run value of Delaware-incorporated firms, especially those with concentrated con-

<sup>23</sup>Throughout, CARs are expressed in decimal returns (e.g., 0.014 corresponds to 1.4%).

<sup>24</sup>Analogously,  $\text{Ctrlmore}_{ij}^{15-33}$  indicates that the largest blockholder holds between 15% and 33.3% of the votes.

trol, we would expect actively managed funds to reduce their exposure to Delaware-incorporated firms considerably more than passive funds in the months following February 2025. Within their Delaware holdings, we should also expect actively managed funds to reduce their exposure to firms with concentrated control more sharply than passive funds.

To evaluate the impact of SB 21 on fund-level exposure to both Delaware and control-oriented firms, we estimate two specifications with fund and month fixed effects. First, for all portfolio holdings, we estimate:

$$\text{DelExposure}_{kt}^{\text{All}} = \alpha + (\text{Active}_k \times \text{Post}_t) \beta + \theta_k + \nu_t + \varepsilon_{kt} \quad (7)$$

where  $\text{DelExposure}_{kt}^{\text{All}}$  is the percentage of fund  $k$ 's net asset value invested in Delaware-incorporated firms in month  $t$  (in percentage points),  $\text{Active}_k$  is an indicator for funds classified as active per Section 4.1, and  $\text{Post}_t$  indicates months after the SB 21 announcement month (i.e., February 2025). The fund fixed effects,  $\theta_k$ , absorb time-invariant differences across funds, while the month fixed effects,  $\nu_t$ , absorb shocks common to all funds in a given month. The coefficient  $\beta$  captures the change in Delaware exposure among active funds in the post period relative to the corresponding change among passive funds.

Second, restricting the portfolios to Delaware holdings only, we estimate an analogous regression for exposure to control-oriented firms:

$$\text{ControllerExposure}_{kt}^{\text{Delaware}} = \alpha + (\text{Active}_k \times \text{Post}_t) \beta + \theta_k + \nu_t + \varepsilon_{kt} \quad (8)$$

where  $\text{ControllerExposure}_{kt}^{\text{Delaware}}$  is the log of the value-weighted percentage held by the largest blockholder across fund  $k$ 's Delaware holdings in month  $t$ . We construct this measure by first calculating the portfolio-weighted average of the percentage held by the largest blockholder and then taking the log of that average.<sup>25</sup> We weight each holding by its share of the fund's Delaware net assets, so that the resulting measure captures the fund's effective exposure to firms with concentrated control within its Delaware holdings.

## 5 Results

### 5.1 Effect of SB 21 on Delaware Companies

The first implication of our discussion thus far is that the market's reaction to the SB 21 announcement may differ for Delaware-incorporated firms relative to non-Delaware firms. Our initial comparison of Delaware and non-Delaware firms is intended to capture the market's reaction to the combined effect of the reform on the average Delaware firm, while subsequent within-Delaware cross-sectional tests isolate the incremental association between control-related characteristics and the announcement return. As discussed in Section 3, the new rules apply only to Delaware corporations, and alter the (expected) legal environment for controller transactions, director-independence challenges, and books-and-records litigation. To the extent that investors

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<sup>25</sup>Consistent with the existing literature, we log-transform this strictly positive, highly right-skewed variable to mitigate skewness (Dang et al. (2018)).

believe these changes will affect shareholder value, we expect to find this effect in short-window cumulative abnormal returns for Delaware firms relative to non-Delaware firms.

We report Delaware and non-Delaware portfolio CARs in Table 5.<sup>26</sup> Over the baseline  $[-1, +5]$  window, Delaware firms have an average CAR of  $-0.66$  percent, while non-Delaware firms have an average CAR of  $0.62$  percent, a difference of approximately 1.3 percentage points. Figure 1 plots the Delaware and non-Delaware portfolio CARs from twenty trading days before to twenty trading days after the announcement. We find that the Delaware portfolio's CAR is statistically significant from  $[-1, +3]$  onward and largest in absolute magnitude at  $[-1, +10]$ .

In this setting, conventional tests may overstate precision because all firms share the same event date and their abnormal returns are correlated on that date. After adjusting the cross-sectional variance for this correlation following [Kolari and Pynnönen \(2010\)](#), the one-sample tests of average portfolio returns against zero are no longer statistically significant. The adjusted test of the Delaware-minus-non-Delaware spread, reported in the Difference column of Table 5, provides somewhat stronger evidence. It rejects at the 10 percent level in the  $[-1, +7]$  and  $[-1, +10]$  windows, although the unstandardized version falls just short ( $p \approx 0.10$ ).<sup>27</sup>

Our empirical design addresses this limitation in two ways. First, we estimate the Delaware effect in a cross-sectional regression in which we control for firm characteristics. The included controls (firm-level covariates and industry fixed effects) absorb much of the common return variation that inflates the variance of the portfolio comparison. Second, because controlling for firm characteristics cannot rule out the possibility that the Delaware effect is driven by a shock common to all firms on the event date, we test this by comparing the event-date coefficient estimate from the regression with a placebo distribution. This placebo distribution is generated by estimating the same specification on 230 different dates prior to the actual event date and comparing the actual event-date estimate with the resulting empirical distribution of estimates (see Section A.1 for details). Since each placebo estimate is generated using the full cross-section of firms on a single pseudo-date, it faces the same cross-firm correlation as the event-date estimate, and the benchmark requires no correlation adjustment.

After adjusting for size, industry, book-to-market, return on assets, leverage, tangibility, and Tobin's  $Q$ , the cross-sectional regression in Table 6 illustrates consistent results. Consistent with earlier findings, the coefficient for the Delaware indicator variable is negative and statistically significant in the  $[-1, +5]$  event window. The coefficient indicates that the CAR of Delaware firms is approximately 1.2 percentage points lower than the non-Delaware benchmark in this event window, and is significant at the 1 percent level.<sup>28</sup> The estimate is also negative and statistically

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<sup>26</sup>Two further tests robust to cross-sectional correlation corroborate the spread-based inference discussed below: the nonparametric rank test of [Kolari and Pynnönen \(2011\)](#) and a portfolio time-series test of the daily Delaware-minus-non-Delaware mean abnormal return.

<sup>27</sup>The test does not reject in the baseline window.

<sup>28</sup>Because incorporation status varies at the state level, the appropriate level of clustering is itself a design choice in this comparison. We cluster standard errors by SIC3 industry, the principal source of residual cross-firm correlation in short-horizon returns. We note that state-level alternatives pose distinct problems. For instance, fixed effects for the state of incorporation would mechanically absorb the Delaware indicator, while clustering by state of incorporation would place the entire treatment group in a single cluster, rendering cluster-robust inference un-

significant in the  $[-1, +3]$  window and remains negative in the  $[-1, +7]$  and  $[-1, +10]$  windows.<sup>29</sup>

When we compare the event-date Delaware coefficient reported in Table 6 with its placebo distribution, we find that it lies outside all 230 placebo draws. Even a conservative measure that treats only non-overlapping windows in the placebo test as independent draws does not change this conclusion (see Figure 2). Intuitively, our placebo test examines nearly a year of trading leading up to the event and shows that no single day during this period produced an association between Delaware incorporation and stock returns as large as the one observed on the day of the announcement. For the baseline window, our inference thus relies on the covariate-adjusted regression and the placebo test, rather than on the unconditional spread of CARs.<sup>30</sup> In what follows, we apply the same placebo test to the Delaware-only analyses where indicated. In all other instances, our statements of statistical significance are based on conventional tests using clustered standard errors.

The difference between Delaware and non-Delaware firms exhibits a non-monotonic pattern over time, with the gap widening around day 3, partially closing around days 5–7, and expanding again around day 10 (see Figure 1). The deepening of the Delaware–non-Delaware gap around day 10 coincides with the Delaware bar’s publication of its revised draft of SB 21 on March 3, 2025, and with the early stage of the broad market decline, which started at the February 19 peak and continued into mid-March. Given that these late-window dynamics could reflect either the incremental pricing of information about SB 21 or unrelated news, we prefer to report the earlier  $[-1, +5]$  window as our baseline estimate. For our results examining the Delaware–non-Delaware gap around the four legislative dates, we instead present a decomposition of our estimate across the four dates using a system of seemingly unrelated regressions (see Appendix Table A8). This decomposition indicates that most of the Delaware effect is incorporated at the initial announcement, while also suggesting some further repricing within Delaware around the March legislative events.

The estimated effect is economically substantial. Applied to the aggregate market value of the Delaware firms in our sample, the 1.2-percentage-point estimate from our baseline  $[-1, +5]$  window corresponds to roughly \$350 billion in market value, representing underperformance relative to the non-Delaware benchmark. Because the market-capitalization-weighted estimate reported below is larger in magnitude, we view this figure as conservative.

These patterns of stock price changes are consistent with investors perceiving a reduction in the expected future cash flows available to public shareholders of Delaware-incorporated firms as a consequence of SB 21. Moreover, a short-window valuation effect of this magnitude falls within the range of estimates in similar event studies of significant changes in corporate law, securities

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reliable (Cameron et al. (2008)). For transparency, Appendix Table A3 reports the Delaware coefficient using state-of-incorporation clustering, together with wild-cluster bootstrap (p)-values computed at the SIC3 level, which leave its significance unchanged in every event window. Appendix Table A4 establishes robustness to excluding Nevada and Texas (Bennett et al. (2025); Hurt (2025)), while Appendix Table OA-7 reports the state composition of the non-Delaware comparison group.

<sup>29</sup>The latter two windows include the late-window dynamics discussed below.

<sup>30</sup>In this context, the “unconditional spread” refers to the raw difference in average CARs between Delaware and non-Delaware firms, before adjusting for firm characteristics.

law, and financial regulation.<sup>31</sup>

Our headline estimate is based on the top-1,000 Delaware firms and the top-1,000 non-Delaware firms. Within this sample, observable differences between the two groups do not appear to drive the result. When we match each Delaware firm to its nearest non-Delaware neighbor using a propensity score estimated from the firm controls, the Delaware coefficient in the  $[-1, +5]$  window is  $-0.0133$ . This estimate is significant at the 1 percent level and close to our baseline result (Appendix Table A5).

We also examine how the estimate changes when we expand the sample to the full CRSP/Compustat universe. This expansion changes the population under study by adding many small firms with limited exposure to the reformed rules. We therefore treat the full-universe results as a diagnostic rather than as a competing estimate of the same quantity. Within the full universe, the estimate is sensitive to how firms are weighted. Equal weighting places economically trivial firms on the same footing as the largest corporations, attenuating the short-window effect toward zero. This attenuation is concentrated among the smallest firms and disappears once we impose a modest market-capitalization floor (see Figure A2). When we instead weight firms by market capitalization (the natural weighting when the object of interest is aggregate value), the Delaware coefficient in the  $[-1, +5]$  window is negative and significant at the 1 percent level under both the market model and the Fama–French five-factor model. Indeed, the market-capitalization-weighted coefficient is even larger in magnitude than our headline estimate (Appendix Table A6).

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<sup>31</sup>Comparable announcement effects appear across regulatory event studies. For instance, [Larcker et al. \(2011\)](#) find governance-regulation returns decreasing in the number of large blockholders (analogous to our voting-block findings); [Zhang \(2007\)](#) estimates CARs of several percentage points around the Sarbanes–Oxley legislative events; [Bennett et al. \(2025\)](#) (Section 2) document similar-sized declines for Nevada firms around Senate Bill 203; while [Markoulis et al. \(2022\)](#) find significant announcement returns for systemically important banks around Basel III. Our  $[-1, +5]$  estimate of about 1.2 percentage points, together with the roughly 2.3-percentage-point dual-class differential, falls within this range.

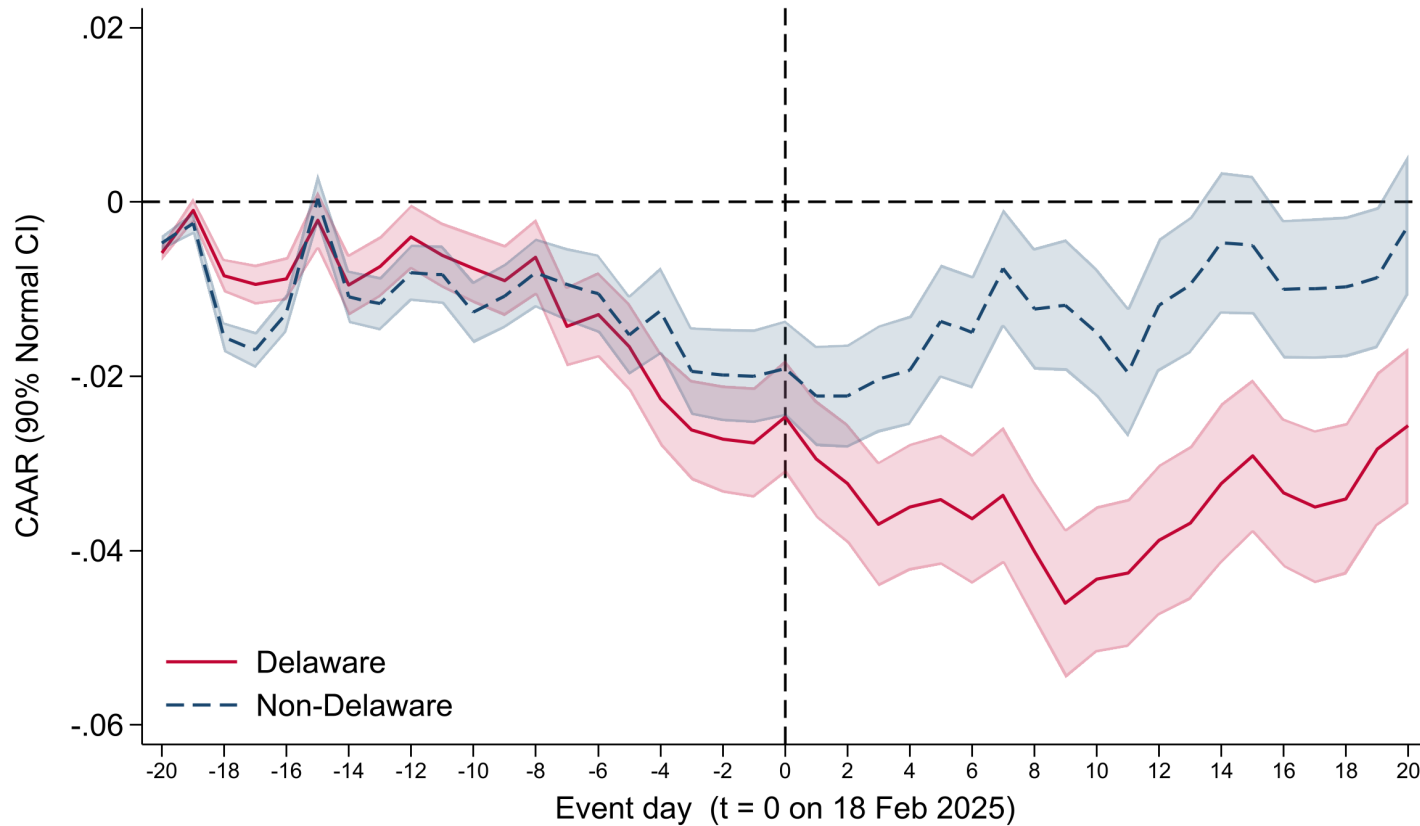
Table 5: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (Combined Sample)

|         | Delaware            |     | Non-Delaware       |     | Difference     |
|---------|---------------------|-----|--------------------|-----|----------------|
|         | CAR                 | N   | CAR                | N   | CAR            |
| [-1;1]  | -0.0015<br>( )      | 934 | -0.0021*<br>( )    | 924 | 0.0006<br>( )  |
| [-1;3]  | -0.0089***<br>(***) | 934 | -0.0008<br>(***)   | 924 | -0.0081<br>( ) |
| [-1;5]  | -0.0066***<br>( )   | 934 | 0.0062***<br>(***) | 924 | -0.0128<br>( ) |
| [-1;7]  | -0.0061**<br>( )    | 934 | 0.0120***<br>(***) | 924 | -0.0181<br>(*) |
| [-1;10] | -0.0159***<br>(***) | 934 | 0.0051*<br>(***)   | 924 | -0.0210<br>(*) |

The Table reports the cumulative abnormal returns (CARs) of Delaware and non-Delaware companies within five different event windows. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses. The Difference column reports the Delaware-minus-non-Delaware CAAR, with significance stars from a test of the difference in mean CARs; the parentheses beneath report significance stars for the difference in mean standardized CARs (each firm’s CAR scaled by its estimation-window forecast standard deviation), the mirror of the BMP statistic reported for the individual portfolios. Both tests adjust the cross-sectional variance for the mean pairwise correlation of estimation-window abnormal returns following [Kolari and Pynnönen \(2010\)](#), as is appropriate when all firms share a single event date. Applied to the one-sample statistics, the same adjustment multiplies each BMP statistic by 0.12 for the Delaware portfolio and 0.09 for the non-Delaware portfolio, so that no group-level CAAR remains statistically distinguishable from zero in any window.<sup>32</sup>

<sup>32</sup>See [Boehmer et al. \(1991\)](#).

Figure 1: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (Combined Sample)



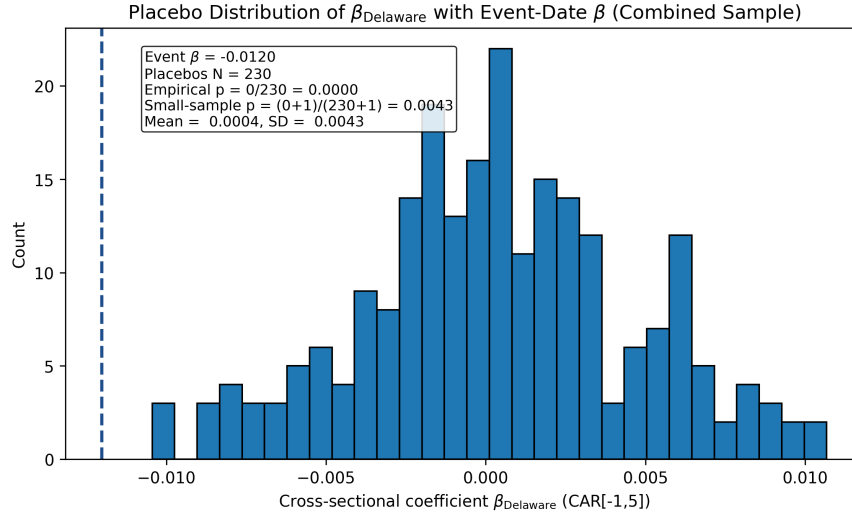
The Figure plots the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window; the bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential.

Table 6: Cumulative Abnormal Return Regressions on Delaware Variable (SB 21) (Combined Sample)

|               | (1)<br>CAR[-1,1]    | (2)<br>CAR[-1,3]     | (3)<br>CAR[-1,5]     | (4)<br>CAR[-1,7]     | (5)<br>CAR[-1,10]    |
|---------------|---------------------|----------------------|----------------------|----------------------|----------------------|
| Delaware      | 0.000<br>(0.850)    | -0.007**<br>(0.040)  | -0.012***<br>(0.001) | -0.015***<br>(0.001) | -0.021***<br>(0.000) |
| Constant      | -0.018**<br>(0.031) | -0.039***<br>(0.000) | -0.029*<br>(0.068)   | -0.039**<br>(0.014)  | -0.058***<br>(0.002) |
| Observations  | 1522                | 1522                 | 1522                 | 1522                 | 1522                 |
| Industry FE   | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  |
| Firm Controls | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  |
| R-Sq          | 0.227               | 0.270                | 0.293                | 0.257                | 0.271                |
| F Statistic   | 0.900               | 4.103                | 10.914               | 12.294               | 11.085               |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Figure 2: Distribution of Placebo Estimates of the Delaware Coefficient (SB 21) (Combined Sample)



The Figure plots the distribution of estimated coefficients on the Delaware dummy variable obtained from placebo event–study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. As in the baseline, the cumulative abnormal returns and firm controls entering each placebo regression are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample. Each regression estimates the association between being incorporated in Delaware and firms’ cumulative abnormal returns. Firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date. The empirical p-value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient.

## 5.2 Effect of SB 21 on Companies with Influential Shareholders

The Delaware-versus-non-Delaware results in Section 5.1 show a broad market reaction to SB 21 among Delaware-incorporated firms. In this Section, we examine whether this reaction reflects the relaxation of safeguards governing controller transactions. We begin by using voting-block size and dual-class status as ex ante measures of exposure, as firms with larger voting blocks or super-voting structures are more directly affected by the new controller-transaction provisions. As explained in Section 3, our empirical design distinguishes firms with voting blocks below 15 percent, between 15 percent and 33.3 percent, and above 33.3 percent. We treat firms in the below-15 percent group as a “control” group because they were minimally exposed to the pre-reform rules. This account also predicts a continuous relationship between voting-block size and the announcement return, because larger voting blocks increase the controller’s practical ability to influence conflicted transactions.

We report the portfolio CARs from Specification (4) for the three voting-block subsamples in Table 7. Over the baseline  $[-1, +5]$  window, the below-15 percent group has an average CAR of 0.06 percent, compared with  $-1.27$  percent for the 15–33.3 percent group and  $-2.38$  percent for the above-33.3 percent group. As with Table 5, the one-sample significance of the individual group estimates does not survive the adjustment for cross-sectional correlation. The difference between the top and bottom groups is significant at the 5 percent level in the conventional tests for the  $[-1, +5]$  and  $[-1, +7]$  windows (final column), but does not remain significant after the

same correlation adjustment. We therefore treat the portfolio results as suggestive and place greater weight on the regressions and placebo test below. The ordering of these point estimates is consistent across the other reported event windows.

Table 7: Cumulative Abnormal Returns Associated with SB 21 (Voting Blocks) (Delaware Only)

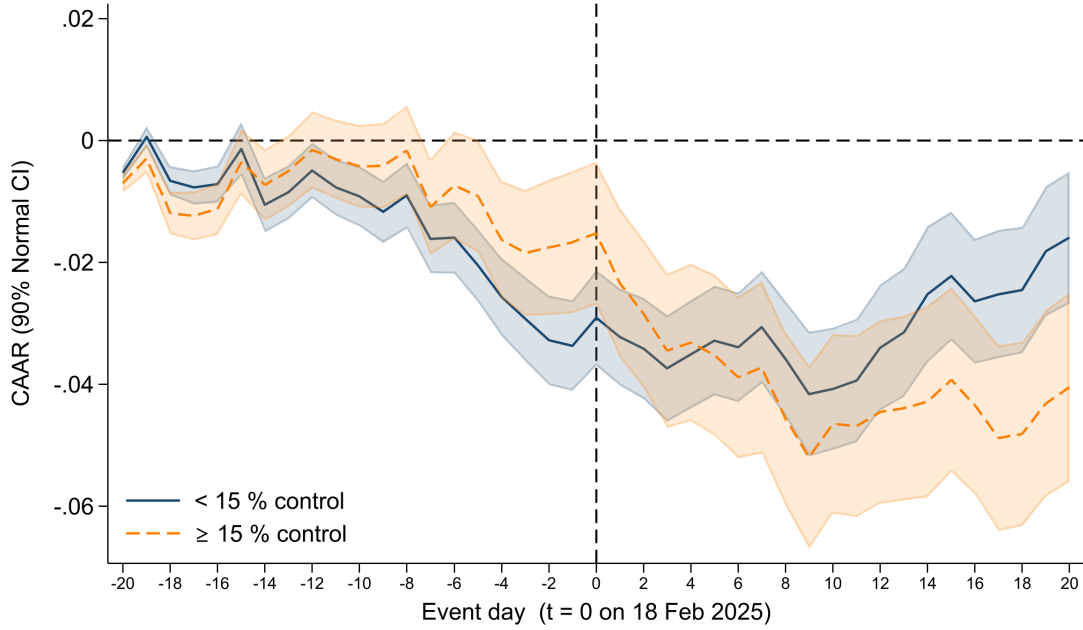
|         | < 15%        |     | 15%–33%      |     | > 33%        |     | >33.3%    |
|---------|--------------|-----|--------------|-----|--------------|-----|-----------|
|         | Voting Block |     | Voting Block |     | Voting Block |     | – <15%    |
|         | CAR          | N   | CAR          | N   | CAR          | N   | CAR       |
| [-1;1]  | 0.0002       | 574 | -0.0050      | 198 | -0.0049      | 162 | -0.0052   |
|         | ()           |     | ()           |     | ()           |     | ()        |
| [-1;3]  | -0.0043*     | 574 | -0.0146***   | 198 | -0.0194***   | 162 | -0.0151*  |
|         | ()           |     | (***)        |     | (***)        |     | ()        |
| [-1;5]  | 0.0006       | 574 | -0.0127**    | 198 | -0.0238***   | 162 | -0.0245** |
|         | (***)        |     | ()           |     | (**)         |     | (**)      |
| [-1;7]  | 0.0026       | 574 | -0.0146**    | 198 | -0.0277***   | 162 | -0.0303** |
|         | (***)        |     | ()           |     | (**)         |     | (***)     |
| [-1;10] | -0.0074**    | 574 | -0.0290***   | 198 | -0.0307***   | 162 | -0.0233*  |
|         | ()           |     | (***)        |     | (***)        |     | (*)       |

The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) is less than 15%, between 15% and 33.3%, or greater than 33.3%. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles within the Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. The final column reports the difference between the >33.3% and <15% voting-block CAARs, with significance stars from a test of the difference in mean CARs; the parentheses beneath report significance stars for the difference in mean standardized CARs (each firm’s CAR scaled by its estimation-window forecast standard deviation), the mirror of the BMP statistic reported for the individual voting-block groups. Both tests adjust the cross-sectional variance for the mean pairwise correlation of estimation-window abnormal returns following [Kolari and Pynnönen \(2010\)](#), as is appropriate when all firms share a single event date. Applied to the one-sample statistics, the corresponding adjustment renders the CAAR of every voting-block group statistically indistinguishable from zero in all windows. See [Appendix](#).

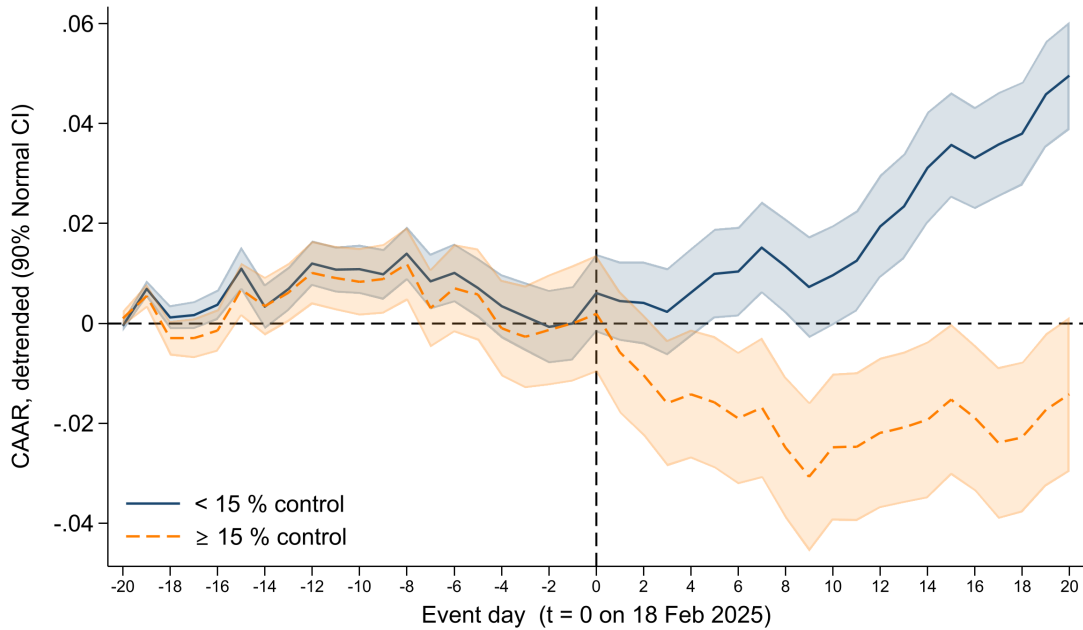
Figure 3 plots the cumulative abnormal returns from twenty days before to twenty days after the announcement of SB 21 for the companies unaffected by the new rules (< 15 percent) and all the other Delaware companies. Although the divergence between the two groups is visible in Panel A, Panel B sharpens the post-announcement separation by stripping out pre-event trends.

Figure 3: Cumulative Abnormal Returns Associated with SB 21  
(Voting Block  $\geq 15\%$ ) (Delaware Only)

(a) Panel A



(b) Panel B



Panels A and B of this Figure plot the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window. The bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating  $\hat{\alpha} + \hat{\beta}t$  on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day -1 equals zero, making all reported CARs deviations from that last pre-event day. The detrending is descriptive; all estimates and inference in the text use the unadjusted CARs.

To examine these effects under firm-level controls and industry fixed effects, we estimate Specification (6) on the Delaware-only subsample and report the results in Table 8. Our variables of interest are the continuous voting block, included in Column (1); the indicator for the subset of companies more likely affected by the new rules ( $> 15$  percent voting block), included in Column (2); and the two indicators for the bins formally distinguished by SB 21 (15–33.3 percent and  $> 33.3$  percent voting block), included in Column (3).

The  $> 15$  percent and  $> 33.3$  percent indicators are associated with lower abnormal returns relative to the  $< 15$  percent baseline across the reported windows. In the  $[-1, +5]$  window, the  $> 15$  percent indicator carries a coefficient of about  $-1.4$  percentage points, negative and statistically significant at the 1 percent level. Splitting the exposed firms into the two categories of interest, we find that the coefficient is approximately  $-1.2$  percentage points for the 15–33.3 percent group and  $-1.7$  percentage points for the above-33.3 percent group, with both statistically significant at the 5 percent level. The negative estimate for the 15–33.3 percent group may partly reflect ex ante uncertainty about how SB 21 would affect firms below the statutory threshold (see Section 3). Even so, the point estimate is more negative for the above-33.3 percent group, whose treatment under the new rules is clearer. Compared with its placebo distribution, the event-date coefficient on the  $> 15$  percent indicator lies outside all 230 placebo draws (Panel (a) of Figure A1): no ordinary pre-event day produces a within-Delaware return difference between firms above and below the 15 percent threshold of this magnitude.

The continuous specification in Column (1) yields a consistent result. In the  $[-1, +5]$  window, a 10-percentage-point increase in voting power is associated with a CAR about 0.27 percentage points lower. Companies with more powerful controllers therefore performed worse than other Delaware companies around the announcement date. The temporal placebo yields a small-sample-corrected empirical  $p$ -value of 0.013 for the  $[-1, +5]$  estimate, with only two of the 230 pseudo-date coefficients at least as large in absolute value. Section A.1 describes the procedure, while Appendix Table A1 reports the results for every window.

Our results support an agency-cost-of-control interpretation of the announcement returns. The cross-sectional effect of the reform on stock-market valuations is strongest among firms for which the changes in the legal regime are most likely to affect the expected private benefits of control. In Section 5.4, we investigate an alternative interpretation under which the cross-sectional variation in announcement returns reflects uncertainty about how Delaware courts will apply the new statute.

### 5.3 Effect of SB 21 on Dual-Class Companies

We now turn to the issue of dual-class status. Dual-class structures provide us with another test of our interpretation of the results for the control channel. As discussed in Section 3.2, dual-class structures allow high-vote shareholders to exercise voting power in excess of their economic ownership, which could heighten their incentives to extract private benefits if legal constraints on controller transactions are relaxed. Accordingly, an empirical question arises as to whether dual-class status is associated with lower announcement returns than single-class Delaware firms, and whether a continuous measure of the disparity between voting and economic rights yields a

Table 8: Cumulative Abnormal Return Regressions on Voting Blocks (SB 21) (Delaware Only)

|                   | CAR[-1,1]          |                    |                    | CAR[-1,3]           |                      |                      | CAR[-1,5]            |                      |                     | CAR[-1,7]            |                      |                      | CAR[-1,10]           |                      |                      |
|-------------------|--------------------|--------------------|--------------------|---------------------|----------------------|----------------------|----------------------|----------------------|---------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
|                   | (1)                | (2)                | (3)                | (4)                 | (5)                  | (6)                  | (7)                  | (8)                  | (9)                 | (10)                 | (11)                 | (12)                 | (13)                 | (14)                 | (15)                 |
| Voting Block      | -0.007<br>(0.419)  |                    |                    | -0.015**<br>(0.045) |                      |                      | -0.027***<br>(0.003) |                      |                     | -0.035***<br>(0.004) |                      |                      | -0.027**<br>(0.035)  |                      |                      |
| >15%              |                    | -0.003<br>(0.321)  |                    |                     | -0.011***<br>(0.010) |                      |                      | -0.014***<br>(0.003) |                     |                      | -0.019***<br>(0.002) |                      |                      | -0.017**<br>(0.024)  |                      |
| 15–33%            |                    |                    | -0.004<br>(0.216)  |                     |                      | -0.011***<br>(0.005) |                      |                      | -0.012**<br>(0.011) |                      |                      | -0.015**<br>(0.011)  |                      |                      | -0.017**<br>(0.027)  |
| >33.3%            |                    |                    | -0.002<br>(0.685)  |                     |                      | -0.011*<br>(0.094)   |                      |                      | -0.017**<br>(0.016) |                      |                      | -0.023***<br>(0.008) |                      |                      | -0.017*<br>(0.079)   |
| Constant          | -0.017*<br>(0.073) | -0.016*<br>(0.069) | -0.016*<br>(0.078) | -0.032**<br>(0.012) | -0.026*<br>(0.051)   | -0.026*<br>(0.057)   | -0.021<br>(0.184)    | -0.016<br>(0.355)    | -0.017<br>(0.330)   | -0.039**<br>(0.034)  | -0.031<br>(0.113)    | -0.033*<br>(0.092)   | -0.066***<br>(0.002) | -0.056***<br>(0.008) | -0.056***<br>(0.009) |
| Observations      | 859                | 860                | 860                | 859                 | 860                  | 860                  | 859                  | 860                  | 860                 | 859                  | 860                  | 860                  | 859                  | 860                  | 860                  |
| Industry Controls | Yes                | Yes                | Yes                | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  |
| Firm Controls     | Yes                | Yes                | Yes                | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  |
| R-Sq              | 0.096              | 0.096              | 0.096              | 0.113               | 0.117                | 0.117                | 0.126                | 0.128                | 0.128               | 0.108                | 0.110                | 0.111                | 0.096                | 0.100                | 0.100                |
| F Statistic       | 16.699             | 18.196             | 15.812             | 15.502              | 20.287               | 18.106               | 14.406               | 15.842               | 14.995              | 8.595                | 9.778                | 9.874                | 10.865               | 11.413               | 10.256               |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) and dummy variables indicating whether the company’s voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

similar result.

To test this prediction directly, we estimate Specification (6) on the Delaware sample only and include an indicator for a dual-class structure (Column (1) of Table 9). As an alternative, we construct a continuous measure of the voting and economic rights differential (a “voting wedge”) and use it in place of the dual-class indicator. We define the wedge as the percentage of voting rights held by the largest controlling blockholder minus the percentage of cash-flow rights held by the same investor. This variable ranges from zero to one, and we obtain it from the firm’s most recent proxy statement (form DEF 14A) filed on SEC EDGAR prior to the event. As discussed below, this variable captures the same channel as the dual-class indicator but in continuous form.<sup>33</sup> Column (2) in each block of table 13 reports results using the voting-economic rights differential as the sole explanatory variable, while Column (3) reports results when we use this variable and also control for the cash-flow rights held by the controlling investor, which isolates the wedge from the level of the controller’s economic stake.

The dual-class coefficient in Column 1 of Table 9 is negative in every event window and statistically significant in four of five. In the baseline  $[-1, +5]$  window, the coefficient is  $-0.023$ , indicating that dual-class Delaware firms experienced CARs approximately 2.3 percentage points more negative than single-class Delaware firms after controlling for firm size, book-to-market, return on assets, leverage, tangibility, Tobin’s  $Q$ , and the leave-one-out industry indicator.<sup>34</sup>

The continuous wedge specifications in Columns 2 and 3 use a sample of 323 Delaware firms whose largest blockholder is non-institutional. For most firms in this sample, the wedge is close to zero because the largest blockholder’s voting power is roughly proportional to its economic stake. However, the wedge reaches nearly 80 percentage points among firms with the most concentrated super-voting structures, and about 28 percent of the sampled controllers have a positive wedge.

We find that the wedge coefficient is negative in every event window and statistically significant at the 5 percent level in the  $[-1, +5]$  and  $[-1, +7]$  windows. In the baseline  $[-1, +5]$  window, the coefficient is  $-0.064$ , implying that a controller whose voting power exceeds its economic ownership by 100 percentage points is associated with a CAR approximately 6.4 percentage points lower. A 10-percentage-point wedge therefore corresponds to a CAR approximately 0.6 percentage points lower. Adding the controller’s cash-flow rights in Column 3 leaves the wedge coefficient essentially unchanged. The cash-flow-rights coefficient is small and statistically insignificant in every window, suggesting that the market response reflects the separation between voting and economic rights, rather than the level of the controller’s economic ownership.

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<sup>33</sup>We use the wedge variable only for firms where the largest blockholder is a non-institutional investor, as the largest reported holder at most single-class firms is a passive asset manager (e.g., Vanguard, BlackRock, or State Street), for whom the wedge concept does not apply in the same way as it does for founder, family, or strategic controllers due to the agency problems of institutional investors (Bebchuk et al. (2017)).

<sup>34</sup>Voting-block size (Table 8) and the dual-class and wedge measures (this Table) proxy conceptually distinct mechanisms: the former captures the controller’s practical ability to influence a conflicted transaction, while the latter captures the wedge between voting power and economic ownership that lowers the controller’s share of the cost of a value-reducing decision (Section 3.2). The dual-class indicator and the continuous wedge are two readings of this second mechanism—the indicator records whether a multi-class structure exists, the wedge measures its magnitude—and we report both because the indicator is available for the full Delaware sample whereas the wedge requires identifying the controlling blockholder and is estimated on the smaller non-institutional subsample.

The dual-class indicator and continuous wedge produce consistent cross-sectional results. In the  $[-1, +5]$  window, only one of the 230 pre-event pseudo-dates described in Section A.1 has a dual-class coefficient at least as large in absolute value, corresponding to a small-sample-corrected empirical  $p$ -value of 0.009. From the  $[-1, +5]$  window onward, no pre-event pseudo-date yields a wedge coefficient as large in absolute value, with or without the cash-flow-rights control, corresponding to a  $p$ -value of 0.004 in each window. In contrast, the cash-flow-rights coefficient has an empirical  $p$ -value of at least 0.645 throughout. Appendix Table A1 reports the full set of windows.

Because SB 21 changes the legal regime only for Delaware firms, the relationships between announcement returns and voting-block size/the voting-economic wedge detailed in Section 5.2 should be absent among firms incorporated elsewhere. We test this cross-sectional prediction using the top 1,000 non-Delaware firms, extracting the same ownership variables from their pre-event DEF 14A proxy statements. None of the voting-block, dual-class, or wedge specifications produces a comparable pattern among non-Delaware firms—here, the  $\geq 15\%$ -control coefficient lies near the center of its own pre-event placebo distribution (Panel (b) of Figure A1; Appendix Table A2).

## 5.4 Channel: Agency Costs vs. Legal Uncertainty

The evidence presented so far—the negative Delaware effect in Section 5.1 and the cross-sectional patterns in Sections 5.2–5.3—is consistent with two readings. Under the first, which follows the agency-cost interpretation we have developed, the market expected SB 21 to make it cheaper for controllers to extract private benefits. Accordingly, the losses fall on firms whose ownership structures bring them within the reach of the new controller-transaction rules. Under the second, as suggested by some commentators on the reform (Kahan and Rock (2025); Lund and Talley (2025)), the market was reacting to legal uncertainty about how the courts will implement the new statute. Both readings predict that Delaware firms lose value and that firms with concentrated control lose more, so these results do not separate them.<sup>35</sup>

In this section, we assess which reading is more plausible. We first examine the shape of the cross-sectional results, for which the two readings generate different predictions. We then consider a version of the uncertainty narrative in which the losses reflect a risk premium. In essence, our argument is that this explanation would imply changes in the affected firms’ returns that we do not observe in the data.

The observed pattern across voting-power levels is informative. Under the legal-uncertainty narrative, losses should be largest near the 33.3 percent statutory threshold, where the new rules introduce the greatest novelty and their eventual judicial treatment is least settled (Kahan and Rock (2025)). Under the agency-cost interpretation, losses should instead become more negative as the controller’s voting power increases, because voting power captures the controller’s practical ability to influence conflicted transactions. Our results are more consistent with the latter prediction.

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<sup>35</sup>The commentary also raises a broader concern—reputational damage to Delaware as a corporate-law franchise—which we take up at the end of this section.

Table 9: Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (SB 21) (Delaware Only)

|                       | CAR[−1, +1]       |                   |                   | CAR[−1, +3]         |                    |                     | CAR[−1, +5]          |                     |                     | CAR[−1, +7]         |                     |                     | CAR[−1, +10]        |                    |                    |
|-----------------------|-------------------|-------------------|-------------------|---------------------|--------------------|---------------------|----------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|--------------------|--------------------|
|                       | (1)               | (2)               | (3)               | (1)                 | (2)                | (3)                 | (1)                  | (2)                 | (3)                 | (1)                 | (2)                 | (3)                 | (1)                 | (2)                | (3)                |
| Dual-class indicator  | -0.002<br>(0.590) |                   |                   | -0.017**<br>(0.022) |                    |                     | -0.023***<br>(0.006) |                     |                     | -0.023**<br>(0.047) |                     |                     | -0.024**<br>(0.047) |                    |                    |
| Voting-economic wedge |                   | -0.002<br>(0.907) | -0.002<br>(0.906) |                     | -0.047*<br>(0.054) | -0.047**<br>(0.049) |                      | -0.064**<br>(0.029) | -0.064**<br>(0.028) |                     | -0.084**<br>(0.047) | -0.085**<br>(0.044) |                     | -0.064*<br>(0.080) | -0.064*<br>(0.076) |
| Cash-flow rights      |                   |                   | 0.000<br>(0.991)  |                     |                    | 0.002<br>(0.915)    |                      |                     | 0.005<br>(0.806)    |                     |                     | -0.009<br>(0.662)   |                     |                    | -0.003<br>(0.911)  |
| Observations          | 859               | 323               | 323               | 859                 | 323                | 323                 | 859                  | 323                 | 323                 | 859                 | 323                 | 323                 | 859                 | 323                | 323                |
| R <sup>2</sup>        | 0.095             | 0.080             | 0.080             | 0.119               | 0.127              | 0.127               | 0.132                | 0.164               | 0.164               | 0.109               | 0.141               | 0.141               | 0.100               | 0.119              | 0.119              |
| Firm controls         | Yes               | Yes               | Yes               | Yes                 | Yes                | Yes                 | Yes                  | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                | Yes                |
| Industry LOO CAR      | Yes               | Yes               | Yes               | Yes                 | Yes                | Yes                 | Yes                  | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                | Yes                |

The Table reports three specifications per event window. Column (1) is the dual-class indicator (equal to one for Delaware firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with a continuous voting-economic wedge, constructed from each firm's most recent pre-event DEF 14A proxy statement (SEC EDGAR) as the largest controlling blockholder's share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction. Column (2) reports the wedge alone; Column (3) additionally controls for that blockholder's cash-flow (economic ownership) rights, confirming that the wedge effect is not an artifact of the controller's economic stake. The wedge sample is restricted to firms whose largest blockholder is a non-institutional controller (a founder, family, or strategic holder) and excludes firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR), for whom the wedge concept does not apply in the same way. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The dual-class indicator (Column 1) is estimated on the full Delaware sample; the wedge specifications (Columns 2–3) use the restricted non-institutional subsample. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

In Specification (6), the coefficient on the continuous voting block is negative in every event window and statistically significant in all but the shortest,  $[-1, +1]$ , window (Table 8, Column 1; at  $[-1, +5]$ ,  $\hat{\beta} = -0.027$ ,  $p = 0.003$ ). The tier estimates show no peak at the 33.3 percent statutory threshold. Instead, the point estimates become progressively more negative across the reported categories (although, as we show next, the two exposed tiers are not statistically distinguishable from each other).<sup>36</sup> Firms with voting blocks above 33.3 percent, the group most clearly reached by the new rules, experience CARs at least as negative as those of the 15–33.3 percent group (Table 7:  $-0.0238$  versus  $-0.0127$  at  $[-1, +5]$ ; Table 8, Column 3:  $-0.017$  versus  $-0.012$ ).

We next test directly whether the coefficients for the two exposed tiers are equal. For each event window, we test the restriction  $H_0 : \beta_{15-33\%} = \beta_{>33.3\%}$  from the tier specification of Equation (6) at each event window, computing the Wald statistic under SIC3-clustered standard errors. The test fails to reject equality in every reported window (at  $[-1, +5]$ ,  $F = 0.027$ ,  $p = 0.871$ ).<sup>37</sup> While the subsamples are moderate in size,<sup>38</sup> the point estimates for the  $> 33.3$  percent group are nevertheless more negative in the  $[-1, +5]$  and  $[-1, +7]$  windows, in the direction the agency-cost reading predicts.

A competing narrative about the announcement losses is that they are due to a risk premium. The argument proceeds as follows: if the market is uncertain about how the courts will interpret and apply the new law, it will be harder to predict the future cash flows of the affected firms. A stock with harder-to-predict cash flows is, in a sense, riskier to hold, so investors will demand a higher expected return and, consequently, the stock price will fall.

Two characteristics of the Delaware setting go against this explanation. First, some of the firms affected by SB21 are among the largest in the market, so the exposed group is not small in the aggregate. However, the aggregate size of the affected firms is not the central issue in determining whether the risk will be priced. The question is whether the risk is non-diversifiable or can instead be diversified away. Indeed, how the Delaware courts will apply the relevant statute to transactions involving controlling shareholders is largely unrelated to macroeconomic conditions. If diversified investors are able to bear this risk at negligible cost, it should carry little premium in market prices. As a prior, a single state’s statutory ambiguity is not the kind of broad, market-wide risk for which investors demand meaningful compensation (Pástor and Veronesi (2013)) and

<sup>36</sup>We also test whether the relationship between voting power and CARs bends or changes direction. First, we add a squared voting-block term to the continuous specification in Column 1 of Table 8. The coefficient on this term is statistically insignificant in every event window (for instance,  $p = 0.91$  at  $[-1, +5]$ ), and the estimated turning point is never close to the 33.3 percent threshold. Second, we allow the relationship to have one slope below 33.3 percent and another above it, while requiring the two lines to meet at the threshold. The estimated slope above the threshold is never significantly positive ( $-0.014$ ,  $p = 0.44$  at  $[-1, +5]$ ). The relationship therefore does not reverse at the bright line, as the pure uncertainty narrative would predict, and the estimated effect of voting power on CARs remains negative throughout the range observed in the sample.

<sup>37</sup>The  $F$ -statistics ( $p$ -values) for the  $[-1, +1]$ ,  $[-1, +3]$ ,  $[-1, +5]$ ,  $[-1, +7]$ , and  $[-1, +10]$  windows are 0.535 (0.466), 0.100 (0.752), 0.027 (0.871), 0.644 (0.424), and 0.007 (0.935). The Wald statistic is computed as  $W = (R\hat{\theta})^\top [R\hat{V}_{CR}R^\top]^{-1}(R\hat{\theta})$  with  $R = (0, \dots, 1, -1, \dots, 0)$  selecting the contrast between the 15–33.3% and  $> 33.3\%$  coefficients in Equation (6) and  $\hat{V}_{CR}$  the SIC3-clustered covariance matrix. The reference distribution is  $F(1, G - 1)$  with  $G$  the number of SIC3 clusters.

<sup>38</sup> $N = 198$  for the 15–33.3 percent tier and  $N = 162$  for the  $> 33.3$  percent tier; Table 7), so the test has limited power.

is therefore unlikely to generate the large stock-price decline that we observe.

A second implication of the risk-premium account is that any increase in risk should leave a footprint in the affected firms' returns. If SB 21 made these firms riskier, we would expect either stronger co-movement with the overall market, reflected in a higher market beta (Campbell and Vuolteenaho (2004)), or greater firm-specific return volatility as investors became less certain about judicial outcomes (Ang et al. (2006)). However, we find neither pattern in the data (Appendix Table A7).

The magnitude of the announcement loss provides a benchmark for the beta test. To generate a loss of roughly 1.4 percent of value through a higher required return alone, the affected firms' market beta would have to increase by approximately 0.012 to 0.020. However, our estimated change (measured over a window ending just before the spring-2025 market selloff) is 0.009 and statistically indistinguishable from zero.<sup>39</sup>

Furthermore, our volatility findings run in the opposite direction. Relative to the five-factor benchmark, the firm-specific volatility of the affected firms' returns falls by approximately 0.24 percentage points, and the decline is statistically significant.<sup>40</sup> This result is also relevant to the broader uncertainty narrative. If investors had become less certain about how the courts would treat the affected firms, the volatility of those firms' returns should have increased, regardless of whether that risk commanded a premium. Together with the voting-power results reported earlier, this evidence makes it unlikely that legal uncertainty accounts for the entire announcement effect.

Our evidence, on balance, favors the interpretation that agency costs of control account for the losses experienced by controlled firms. On one hand, we show that the loss associated with the announcement increases with the controlling shareholder's voting power, with no indication that the loss peaks at the statutory threshold. On the other, we find no evidence of the higher market beta or greater volatility in the affected firms' returns that heightened uncertainty surrounding their treatment under the new statute would produce.<sup>41</sup>

Our results nevertheless leave room for two caveats. Since the channels are not mutually exclusive, we cannot say for certain how much of the observed effect is driven by each of the two channels. Moreover, the cross-sectional evidence speaks to uncertainty surrounding the im-

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<sup>39</sup>Although the point estimate falls below the benchmark, its confidence interval does not exclude the required increase. The beta evidence therefore provides no support for the required rise, but does not reject it.

<sup>40</sup>Comparisons of the affected firms' beta against comparison groups are sensitive to the estimation window and do not persist across specifications, so we report them in Panel C of Appendix Table A7 for completeness rather than relying on them.

<sup>41</sup>The timing of the repricing offers modest additional corroboration. One version of the uncertainty account holds that doubts accumulated as opposition and controversy mounted during the legislative debate, which would produce losses that deepen across the legislative sequence. However, the SUR decomposition in Appendix Table A8 shows a front-loaded profile, where the February 18 coefficient is significantly more negative than the average of the three later legislative dates. However, as enactment was regarded as likely from the announcement (Section 4.2.1), concentration at the initial date is also consistent with both channels (i.e., the uncertainty and agency-cost channels) being capitalized at once. Accordingly, our SUR results are specifically targeted at the "controversy-driven" variant, and we do not rest the channel comparison on it.

plementation of the new statute by the courts, but does not speak to broader concerns such as reputational damage to Delaware as a corporate-law franchise or the possibility that ostensibly “settled law” in Delaware may change abruptly again. The possibility that these alternative channels are driving part of the effect cannot be ruled out on the basis of our cross-sectional analysis; they would tend to affect the value of all Delaware-incorporated firms, rather than in proportion to their ownership structure, and may therefore form part of the aggregate Delaware effect documented in Section 5.1. An examination of realized outcomes following the reform could speak more directly to these broader concerns. However, such outcomes may take several years to materialize and therefore lie beyond the window presently available to our study (Section 6).

## **5.5 Mechanisms: Effect of SB 21 on Active Funds**

The price reaction documented in Sections 5.2 and 5.3 is concentrated among firms with larger voting blocks and dual-class share structures. This evidence does not, however, identify the marginal sellers behind the announcement return, as daily investor-level order-flow data is unavailable for the relevant period. We therefore use monthly mutual-fund holdings as a partial test of the channel developed in Section 4.2.5. If active funds respond more strongly to governance shocks that reduce expected long-run value, we would expect them to reduce their exposure to Delaware firms after the announcement and, within their Delaware holdings, to firms with more concentrated control. We test these predictions using Specifications (7) and (8), reporting the results in Table 10. The first specification uses all fund–stock holdings, while the second is restricted to Delaware holdings.

Table 10: Mechanisms (SB 21)

|                      | All Holdings<br>(Delaware Holdings) |                      | Delaware Holdings<br>(Largest Blockholder) |                      |
|----------------------|-------------------------------------|----------------------|--------------------------------------------|----------------------|
|                      | (1)                                 | (2)                  | (3)                                        | (4)                  |
| Active $\times$ Post | -0.194**<br>(0.031)                 | -0.196**<br>(0.017)  | -0.023**<br>(0.015)                        | -0.023**<br>(0.011)  |
| Constant             | 46.092***<br>(0.000)                | 46.463***<br>(0.000) | -2.365***<br>(0.000)                       | -2.358***<br>(0.000) |
| Observations         | 38,264                              | 28,927               | 28,962                                     | 21,958               |
| Portfolio FE         | Yes                                 | Yes                  | Yes                                        | Yes                  |
| Month FE             | Yes                                 | Yes                  | Yes                                        | Yes                  |
| R-Sq                 | 0.991                               | 0.993                | 0.936                                      | 0.948                |

This table reports OLS regressions of the outcomes described below on the interaction term  $\text{Active}_k \times \text{Post}_t$ , where  $\text{Active}_k$  denotes an active fund as defined in Section 4.1. Columns (1)–(2) use the full holdings sample; the dependent variable is the portfolio share invested in Delaware-incorporated firms. Columns (3)–(4) restrict to Delaware-incorporated holdings; the dependent variable is the log of the portfolio’s value-weighted percent held by the largest blockholder. Columns (1) and (3) cover Sep 2024–May 2025; Columns (2) and (4) cover Nov 2024–May 2025. All regressions include portfolio fixed effects and month fixed effects. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the portfolio level.

Column (1) reports the coefficient on  $\text{Active} \times \text{Post}$  from the “all-holdings” specification estimated over September 2024 to May 2025. After controlling for fund and month fixed effects, we find a coefficient of  $-0.194$ . This estimate suggests that relative to passive funds, active funds reduced the share of their portfolios invested in Delaware firms by approximately 0.2 percentage points after the announcement. Column (2) estimates a shorter sample beginning in November 2024 and produces a similar coefficient of  $-0.196$ .

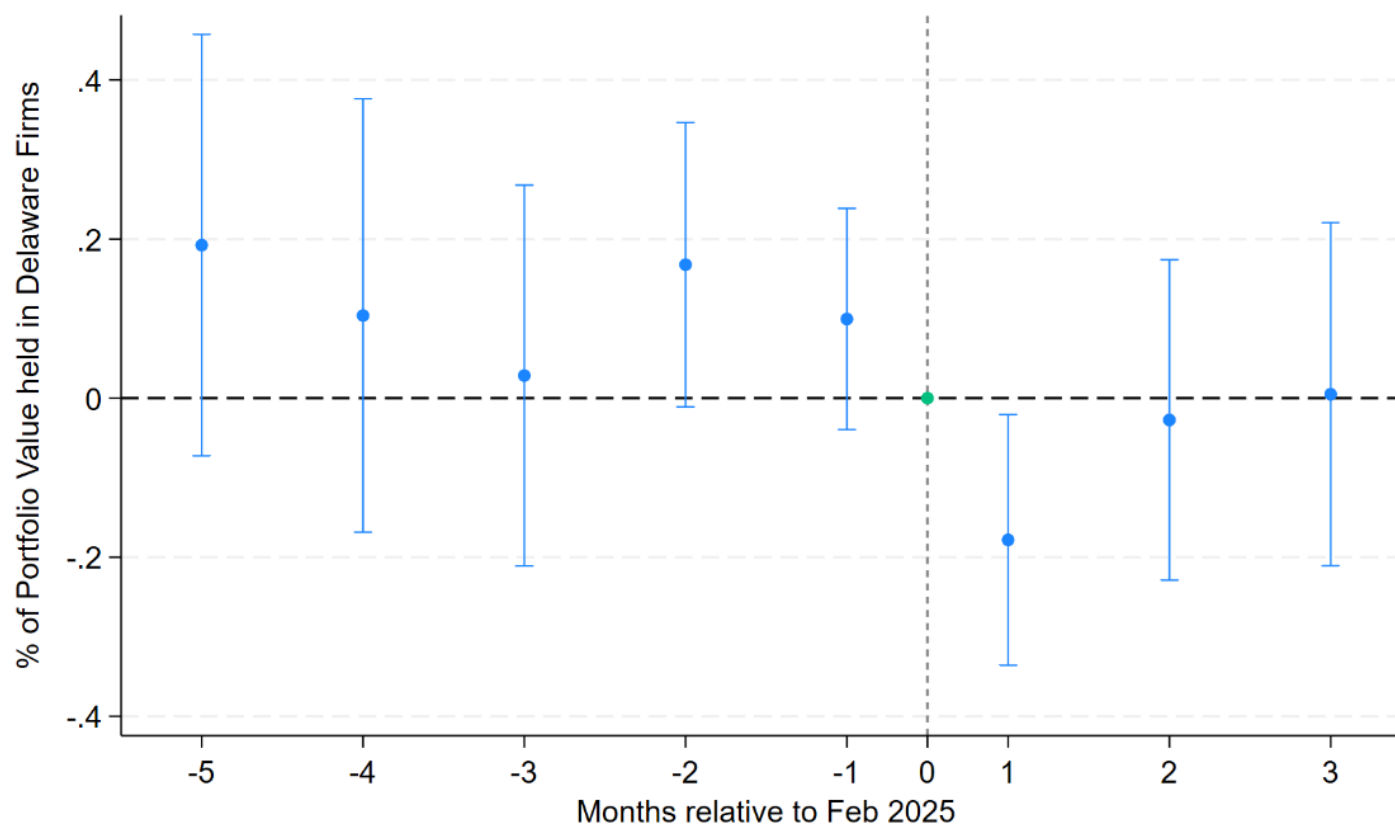
Column (3) restricts the sample to Delaware holdings. The coefficient on  $\text{Active} \times \text{Post}$  is  $-0.023$ , which corresponds to an approximately 2.27 percent reduction in active funds’ value-weighted average exposure to the largest blockholder within their Delaware portfolios.<sup>42</sup> Column (4) repeats the Delaware-holdings specification over the shorter sample period and reports a similar result.

To show how the estimates change over time, we present in Figures 4 and 5 coefficient plots from modified versions of Specifications (7) and (8). These specifications replace the single post indicator with a full set of  $\text{Active}_k \times \text{Month}_t$  interactions, taking February 2025 as the omitted (baseline) category. In Figure 4, the estimated coefficients show a sharp decline immediately after

<sup>42</sup>A coefficient of  $-0.023$  on a log-transformed dependent variable corresponds to a proportional change of  $100 \times (\exp(-0.023) - 1) \approx -2.27\%$ .

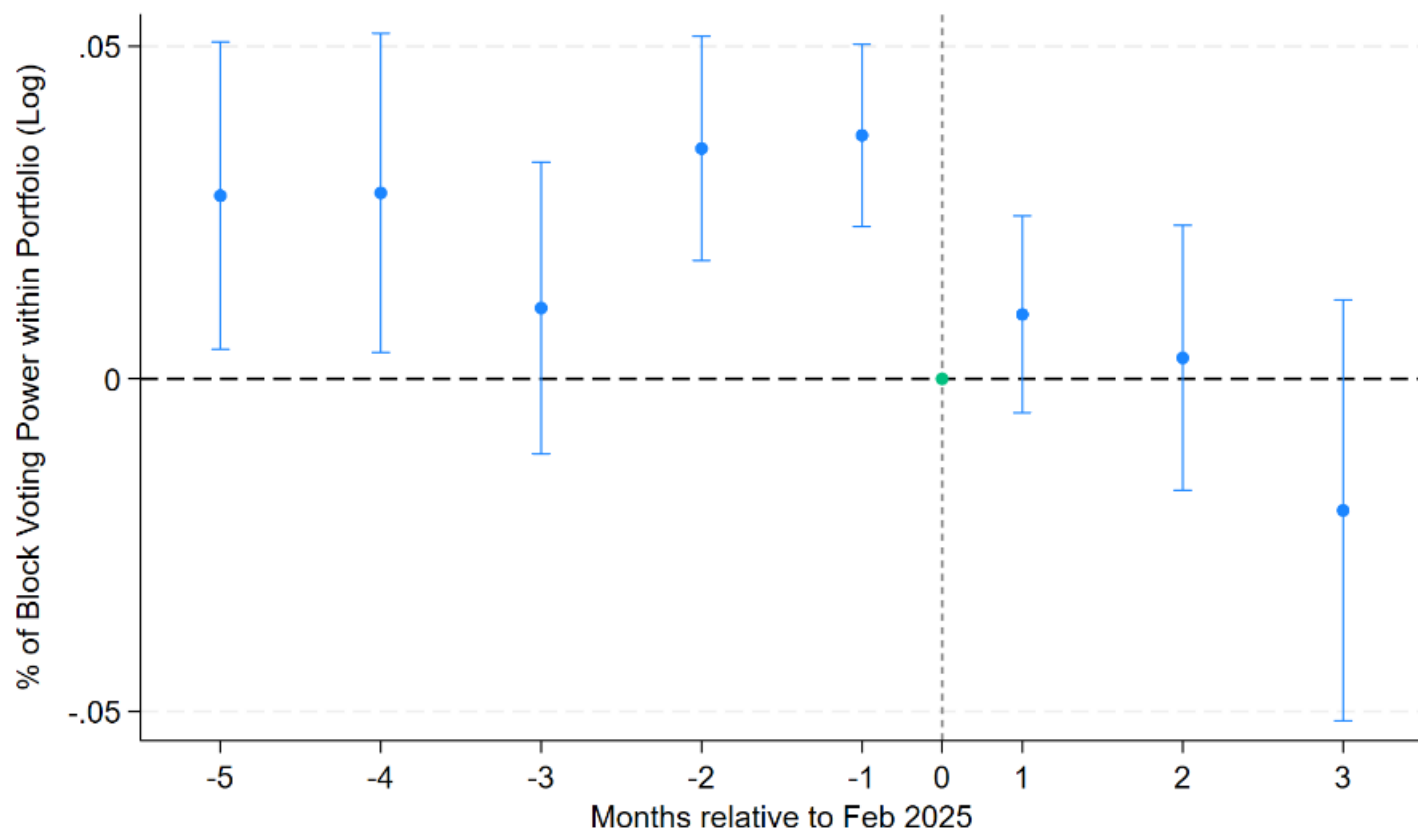
February, followed by a partial return toward the baseline in subsequent months. In Figure 5, the coefficients are above zero before the announcement and then decline sharply after February, with little evidence of a return to baseline in the following months. In our view, the positive pre-period coefficients are mechanical rather than anomalous. February 2025 is the omitted baseline month, and its month-end snapshot already reflects the first days of post-announcement selling, so earlier months show higher exposure by comparison (active funds also hold fewer firms with concentrated control to begin with ([R. Aggarwal et al. \(2011\)](#); [Ferreira and Matos \(2008\)](#))).

Figure 4: Mechanisms (SB 21) (Delaware Variable) (Combined Sample)



This figure plots coefficients from Specification (7) that replaces the single post indicator with a full set of  $\text{Active}_k \times \text{Month}_t$  interactions, where months are measured relative to February 2025 (the vertical dashed line at  $t = 0$ ). Dots show point estimates and bars show 95% confidence intervals. The dependent variable is the fund's portfolio share invested in Delaware-incorporated firms (in percentage points). Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

Figure 5: Mechanisms (SB 21) (Voting Power) (Delaware Only)



This figure plots coefficients from Specification (8) that replaces the single post indicator with a full set of  $\text{Active}_k \times \text{Month}_t$  interactions, where months are measured relative to February 2025 (the vertical dashed line at  $t = 0$ ). Dots denote point estimates and bars denote 95% confidence intervals. The dependent variable is the log of the value-weighted percent held by the largest blockholder within each fund's Delaware portfolio. Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

Admittedly, our evidence on fund-level holdings is more suggestive than conclusive. The holdings data is observed only monthly, the window of observation after the reform is short, and we cannot directly link individual trades to specific price changes. Our results, however, are consistent with active funds reducing their exposure to the firms most affected by the reform. This evidence complements the price-based cross-sectional evidence presented above.

## 5.6 Effect of Match on Delaware Companies

As an additional identification check, we conduct an event study for the Delaware Supreme Court’s April 4, 2024, decision in *Match*.<sup>43</sup> The *Match* decision reaffirmed the double-cleansing rule, rather than changing it. Thus, for the average Delaware firm, the decision was unlikely to contain much news. To the extent that the decision resolved residual uncertainty about the scope of the double-cleansing rule, the firms most affected by it would have been expected to experience small upward adjustments in their valuations. We use the aggregate comparison as a placebo-style check on our identification, with the *Match* event serving as a placebo for the SB 21 announcement. The cross-sectional comparison provides a directional check.

Re-estimating Specifications (4)–(6) around the *Match* event date, we find that stock returns were, on average, largely unaffected by the decision. Table 11 reports the cumulative abnormal returns of Delaware and non-Delaware companies, and Figure 6 plots the cumulative abnormal returns of the two portfolios from twenty days before to twenty days after the *Match* decision. The Difference column of Table 11 shows that the Delaware-minus-non-Delaware spread is statistically indistinguishable from zero in every window under the cross-correlation-adjusted test of [Kolari and Pynnönen \(2010\)](#), consistent with the market treating *Match* as informationally neutral.

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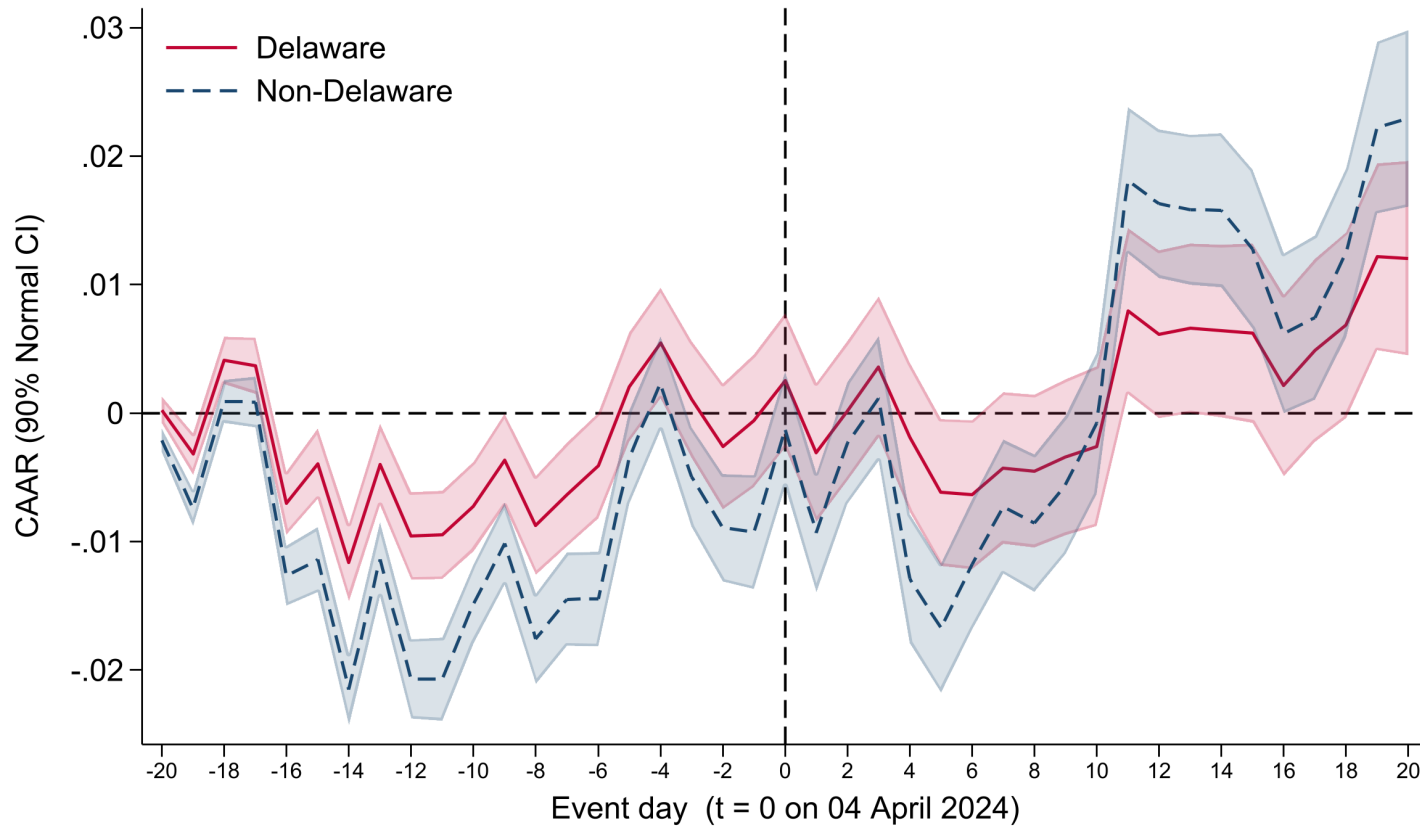
<sup>43</sup>*Match* is the focus because it addressed a rule of general application to all Delaware-controlled firms—the double-cleansing requirement that SB 21 later displaced—whereas *Tornetta* ([Tornetta v. Musk 2024](#)) and *TripAdvisor* ([Maffei v. Palkon 2025](#)) present event-study confounds tied to firm-specific compensation and transaction-specific reincorporation facts; cross-sectional regressions on those events would have very little power because the affected universe is essentially a single firm. To the extent that earlier Delaware-law events had already moved prices in the months before February 2025, our SB 21 estimate is a lower bound on the full Delaware-law repricing because part of the information would have been incorporated before our event window.

Table 11: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (Combined Sample)

|         | Delaware           |     | Non-Delaware        |     | Difference     |
|---------|--------------------|-----|---------------------|-----|----------------|
|         | CAR                | N   | CAR                 | N   | CAR            |
| [-1;1]  | 0.0000<br>( )      | 922 | -0.0005<br>(*)      | 924 | 0.0005<br>( )  |
| [-1;3]  | 0.0067***<br>(***) | 922 | 0.0097***<br>(***)  | 924 | -0.0030<br>( ) |
| [-1;5]  | -0.0033**<br>(***) | 922 | -0.0077***<br>(***) | 924 | 0.0044<br>( )  |
| [-1;7]  | -0.0014<br>(**)    | 922 | 0.0011<br>(**)      | 924 | -0.0025<br>( ) |
| [-1;10] | 0.0007<br>( )      | 922 | 0.0074***<br>(***)  | 924 | -0.0067<br>( ) |

The Table reports the cumulative abnormal returns of Delaware and non-Delaware companies within five different event windows, around the date of the Delaware Supreme Court's *Match* decision. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses. The Difference column reports the Delaware-minus-non-Delaware CAAR, with significance stars from a test of the difference in mean CARs; the parentheses beneath report significance stars for the difference in mean standardized CARs (each firm's CAR scaled by its estimation-window forecast standard deviation), the mirror of the BMP statistic reported for the individual portfolios. Both tests adjust the cross-sectional variance for the mean pairwise correlation of estimation-window abnormal returns following [Kolari and Pynnönen \(2010\)](#), as is appropriate when all firms share a single event date. Applied to the one-sample statistics, the same adjustment multiplies each BMP statistic by 0.13 for the Delaware portfolio and 0.09 for the non-Delaware portfolio, so that no group-level CAAR remains statistically distinguishable from zero in any window. See [Appendix](#).

Figure 6: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (Combined Sample)



The Figure plots the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window; the bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential.

Table 12 reports the multivariate Delaware/non-Delaware regression for the full sample. The within-Delaware cross-sectional results around *Match*—the univariate voting-block CARs, the voting-block regressions, and the dual-class and wedge regressions—are reported in the Online Appendix (Section OA-4; Tables OA-12 and OA-13–OA-14, and Figure OA-Fig-3).

Table 12: Cumulative Abnormal Return Regressions on Delaware Variable (Match) (Combined Sample)

|               | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3]    | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7]   | (5)<br>CAR[-1,10]   |
|---------------|------------------|---------------------|------------------|--------------------|---------------------|
| Delaware      | 0.001<br>(0.678) | 0.000<br>(0.881)    | 0.002<br>(0.406) | -0.002<br>(0.616)  | 0.000<br>(0.934)    |
| Constant      | 0.005<br>(0.217) | 0.023***<br>(0.004) | 0.011<br>(0.174) | 0.024**<br>(0.012) | 0.034***<br>(0.002) |
| Observations  | 1513             | 1513                | 1513             | 1513               | 1513                |
| Industry FE   | Yes              | Yes                 | Yes              | Yes                | Yes                 |
| Firm Controls | Yes              | Yes                 | Yes              | Yes                | Yes                 |
| R-Sq          | 0.260            | 0.252               | 0.269            | 0.236              | 0.255               |
| F Statistic   | 3.659            | 2.927               | 2.014            | 1.305              | 2.363               |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court’s *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

At the aggregate level, the coefficient on the Delaware indicator is statistically insignificant in every event window (Table 12). This result is consistent with the court’s description of *Match* as a reaffirmation of existing law rather than a doctrinal departure.

The cross-sectional estimates are nevertheless directionally informative. The dual-class indicator, the continuous voting-block coefficient, and the voting-economic wedge are positive across the event windows (Online Appendix Tables OA-13–OA-14), reversing the uniformly negative signs of the corresponding SB 21 estimates. The dual-class indicator reaches conventional significance under the market model, while the wedge is significant in the  $[-1, +3]$  window. This reversal is the pattern we would expect if the cross-sectional results reflect changes in controller-transaction law. Indeed, an alternative interpretation is that *Match* not only reaffirmed but also broadened the double-cleansing requirement that SB 21 later displaced. Under this interpretation, the firms that lost value when SB 21 relaxed these protections are the same firms that gained value when *Match* strengthened them.

We treat this evidence as corroborative rather than dispositive. The dual-class results associated with *Match* do not survive adjustment using the Fama–French five-factor model (Online Appendix Table OA-6), and the wedge is statistically significant in only one window. While the symmetry in signs across the two events may support the view that the cross-sectional pattern tracks controller-transaction law, we leave a fuller analysis of the *Match* cross-section to future work. The reversal also does not distinguish the agency-cost interpretation from the legal-uncertainty interpretation discussed in Section 5.4. Given that *Match* resolved a question left open by the case law, one would expect that it could have both strengthened minority protections and reduced legal uncertainty. Both interpretations therefore predict gains for the exposed firms, just as both predict losses following SB 21, which relaxed protections while creating new uncertainty.

## 6 Conclusion

In this paper, we study how the equity market reacted to SB 21, Delaware’s highly controversial 2025 reform of the law governing controller transactions and shareholder litigation. We find that, around the announcement, Delaware-incorporated firms suffered negative abnormal returns compared with non-Delaware-incorporated firms, and that these losses are concentrated among firms with the highest exposure to the provisions of the reform governing controller transactions (i.e., firms with large voting blocks, dual-class share structures, and large voting-economic wedges; see (Section 5)). For comparison, the market’s reaction to the *Match* decision, which reaffirmed the rule that SB 21 displaced, provides a contrast: the aggregate market reaction was null, while most of the cross-sectional coefficients were statistically insignificant and tended to have the opposite sign. Finally, we show that actively managed mutual funds reduced their exposure to Delaware-incorporated firms and to controlled Delaware-incorporated firms, compared with passively managed funds.

Our stock-price and fund-rebalancing evidence suggests that the market viewed SB 21 as a negative shock to the expected value of public shareholders’ claims on Delaware-incorporated firms, especially where control is concentrated. The baseline estimate, when applied to the Delaware-incorporated firms in our sample, implies a difference of roughly \$350 billion in market value relative to the non-Delaware benchmark (Section 5.1). Our analysis focuses on the effects of the legislative change on equity prices, and thus on shareholder wealth, rather than on its net social effects, which lie beyond what our research design can identify (Section 4).

Our study has several limitations. First, our design allows us to identify how the market initially reacted to SB 21 but not how the relevant post-reform outcomes—the number of conflicted transactions, the incidence of fiduciary-duty litigation, and the level of compensation for controlling shareholders—actually evolve after the change in law. These outcomes accrue over multi-year horizons and, for the time being, remain largely governed by behavior that took place before the change in law (see Section 4; on treating the short-window reaction as the identified object, see Bhagat and Romano (2002a); Bhagat and Romano (2002b); Fama (1998)). The one realized margin that can adjust in the short run is the composition of institutional investor portfolios, because adjustment requires only trading to take place. We show that this margin moves in the predicted direction (Table 10). Determining whether the market’s expectations are borne out in the slower-

moving outcomes will require a longer post-reform window than is presently available.

Second, our cross-sectional evidence on voting power and dual-class status is consistent with the agency-cost-of-control channel, but it cannot by itself rule out a contributing role for legal uncertainty about how Delaware courts will apply the new statute.

Third, our cross-sectional analysis retains a large-firm focus—our top-1,000 sample follows from the sampling rationale set out in Section 4.1 and the hand-collection of ownership data. A fuller appraisal of the reform would require tests of realized outcomes and a broader welfare assessment, both of which we leave to future work.<sup>44</sup> Incorporation flows pose a distinct empirical challenge. As Section 4 explains, credibly analyzing entries into and exits from Delaware would require a structural model of firms' incorporation decisions rather than the reduced-form approach used in our paper. Developing such a model is a promising direction for future research.

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<sup>44</sup>Future work could examine fiduciary-duty litigation frequency in Delaware Chancery, controller-CEO compensation, Section 220 petitions, and institutional-ownership follow-up.

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# A Appendix

## A.1 Placebo Tests

The temporal placebo reported in the main text (Figure 2) implements the cross-sectional inference procedure of Cohn et al. (2024) for our Delaware indicator. For each trading day in the pre-event window  $s \in \{-250, \dots, -20\}$ , we re-estimate the cross-sectional regression of  $CAR_i(-1, 5)$  on the Delaware dummy (with baseline controls), treating  $s$  as a pseudo event date, and recording the estimated coefficient on Delaware. The histogram reports the empirical distribution of these placebo coefficients. The dashed vertical line marks the actual event-date estimate ( $\hat{\beta}_{\text{event}} = -0.0120$ , identical to the headline  $[-1, +5]$  Delaware coefficient in Table 6 because the placebo reuses the same abnormal returns and winsorized controls, sliding only the event window). The distribution is centered close to zero (mean  $\approx 0.0004$ , s.d.  $\approx 0.0043$ ), whereas the event-date estimate lies far in the left tail, yielding an empirical  $p$ -value of  $0/230 = 0.000$  and a small-sample corrected  $p$ -value of  $(0 + 1)/(230 + 1) = 0.0043$ .<sup>45</sup> Because adjacent pseudo-dates share six of the seven days in the  $[-1, +5]$  window, the 230 placebo coefficients are not mutually independent, and the exact- $p$  guarantee of the finite-sample correction assumes exchangeable draws; counting only non-overlapping windows as independent draws (roughly 33) bounds the exact  $p$ -value at about 0.03, still a rejection at conventional levels.

Panel (a) of Figure A1 performs the same placebo exercise on the subsample of Delaware firms, with the indicator of interest equal to  $\{\text{Ctrl} \geq 15\%\}$ . For each pre-event trading day  $s \in \{-250, \dots, -20\}$ , we compute  $CAR_i(-1, 5)$  around  $s$  and re-estimate the cross section on this  $\geq 15\%$ -control dummy (with the same baseline controls), accumulating the resulting placebo coefficients into an empirical reference distribution. The dashed line denotes the true event-date estimate ( $\hat{\beta}_{\text{event}} = -0.0143$ , the headline  $[-1, +5]$  coefficient on the  $\geq 15\%$ -control indicator in Table 8). The placebo distribution is again centered near zero (mean  $\approx 0.0003$ , s.d.  $\approx 0.0047$ ), while the event-date estimate lies deep in the left tail, producing an empirical  $p$ -value of  $0/230 = 0.000$  and a small-sample corrected value of  $(0 + 1)/(230 + 1) = 0.0043$  (the overlap qualification above applies here as well). Table A1 reports empirical placebo  $p$ -values for the full set of within-Delaware specifications in Tables 8 and 9. Every coefficient that is significant at the 5 percent level under the clustered tests remains so under this benchmark, except the continuous voting block at  $[-1, +3]$  and the 15–33.3 percent tier at  $[-1, +5]$  and  $[-1, +10]$ , which fall to the 10 percent level. The wedge estimates yield stronger empirical significance, with zero placebo draws as large as the event-date coefficient in every window from  $[-1, +5]$  onward.

Panel (b) repeats the exercise on the top 1,000 non-Delaware firms, for which SB 21 changes nothing, using voting blocks extracted from each firm’s most recent pre-event DEF 14A proxy statement. Because these firms are untreated, the dose-response logic of the design predicts an unremarkable event-date estimate, and that is what we find. The placebo distribution is nearly identical to its Delaware counterpart (mean  $\approx 0.0004$ , s.d.  $\approx 0.0052$ ), while the event-date co-

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<sup>45</sup>The empirical placebo  $p$ -value is an exceedance frequency: the share of placebo coefficients at least as large in absolute value as the event-date estimate. Following the recommended finite-sample correction, we compute  $p = (r + 1)/(N + 1)$  where  $r$  counts placebo coefficients with  $|\hat{\beta}_{\text{placebo}}| \geq |\hat{\beta}_{\text{event}}|$  and  $N$  is the number of placebo dates.

efficient ( $\hat{\beta}_{\text{event}} = -0.0031$ ) lies near its center, with an empirical  $p$ -value of  $129/230 = 0.561$ . Table A2 extends the exercise to the full set of voting-block, dual-class, and wedge specifications on the non-Delaware sample, reporting an empirical placebo  $p$ -value for every estimate; no non-Delaware counterpart of the Delaware gradients emerges.

Methodologically, each of these procedures benchmarks the event-date cross-sectional association against its own pre-event sampling distribution, which addresses the risk that conventional standard errors understate sampling variability because of latent confounding or cross-day dependence in short-horizon return-characteristic regressions (Cohn et al. (2024)). Benchmarking against the pre-event empirical distribution in this way also follows the case for distribution-robust inference in single-event studies, where standard normal-theory tests are generally invalid because returns are non-normal (Gelbach et al. (2013)). The figures indicate that both the Delaware effect and the  $\geq 15\%$ -control effect observed at the SB 21 announcement are highly unlikely to arise from pre-event dynamics that might otherwise generate spurious cross-sectional significance. The contrast between the two panels of Figure A1 also disciplines interpretation: the  $\geq 15\%$ -control association appears only where SB 21 applies, indicating a Delaware-specific repricing rather than a general feature of concentrated ownership around the announcement date.

## A.2 Alternative Events after SB 21’s announcement

We analyze four event dates surrounding the enactment of SB 21: (i) 18 Feb 2025, the first trading day after the February 17 announcement; (ii) 11 Mar 2025, when the Delaware State Bar Association’s (DSBA’s) Executive Committee authorized its Corporation Law Section to advocate for the revised bill (the association itself took no position on the bill); (iii) 19 Mar 2025, when the House Judiciary Committee reported the bill out; and (iv) 25 Mar 2025, final House passage and gubernatorial signature. The  $[-1, +5]$  window around 11 Mar also contains the March 12 substitution of the revised bill and the Senate’s unanimous March 13 passage, so we read that date as capturing the mid-March legislative cluster rather than the bar’s action alone. For each date, we estimate CARs from an identical pre-event estimation window  $[-250, -20]$  relative to 18 Feb 2025 (ending 20 trading days before that date) in order to avoid any potential contamination from SB 21’s announcement. As a transparency check, we report single-equation OLS estimates of the date-specific Delaware, voting-block, control-tier, and dual-class coefficients in the Online Appendix (Tables OA-8–OA-11). Our baseline inference, however, estimates the four date-specific equations jointly using Seemingly Unrelated Regressions (SUR), which permits contemporaneous correlation in firm-level shocks across these dates (Binder (1985)).<sup>46</sup>

### A.2.1 Seemingly Unrelated Regressions

Because the same firms appear in each date-specific equation, residuals are plausibly correlated across equations, so estimating each date-specific regression separately by OLS would understate uncertainty for joint restrictions. SUR jointly estimates the system and uses the estimated cross-

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<sup>46</sup>Again, note that all CARs use the same pre-event estimation window  $[-250, -20]$  relative to 18 Feb 2025, ending 20 trading days before that date, to avoid contamination from the announcement.

equation covariance matrix to deliver feasible generalized least squares coefficients and valid Wald tests over linear cross-date restrictions.<sup>47</sup>

For each event date  $t \in \{18 \text{ Feb}, 11 \text{ Mar}, 19 \text{ Mar}, 25 \text{ Mar}\}$ , we estimate

$$\text{CAR}_{ijt}(-1, 5) = \alpha_t + Z_{ijt}\beta_t + \text{LOO\_IndCAR}_{jt}^{(-i)}\delta_t + X_{ij}Y_t + \varepsilon_{ijt}, \quad (9)$$

and we allow  $(\varepsilon_{ij,18\text{Feb}}, \varepsilon_{ij,11\text{Mar}}, \varepsilon_{ij,19\text{Mar}}, \varepsilon_{ij,25\text{Mar}})$  to be contemporaneously correlated. We take the regressors of interest  $Z_{ijt}$  specification by specification: an indicator for Delaware incorporation, the continuous *Voting Block*, a *Dual Class* indicator, and, in a separate specification, a pair of tiered voting-block dummies for 15–33.3% and  $> 33.3\%$  (with blocks below 15% as the omitted category). The control set includes a leave-one-out industry CAR and baseline firm characteristics. Using the full SUR covariance matrix described in Section A.2.1.2, we conduct five families of Wald tests per regressor: (i) follow-ups jointly zero ( $\beta_{11\text{Mar}} = \beta_{19\text{Mar}} = \beta_{25\text{Mar}} = 0$ ); (ii) 18 Feb vs. 11 Mar; (iii) 11 Mar vs. 19 Mar; (iv) 19 Mar vs. 25 Mar; and (v) initial vs. average follow-ups,  $\beta_{18\text{Feb}} - \frac{1}{3}(\beta_{11\text{Mar}} + \beta_{19\text{Mar}} + \beta_{25\text{Mar}}) = 0$ .

### A.2.1.1 Results

Table A8 presents point estimates for the relevant differences and significance levels. Industry fixed effects are included at the SIC-3-digit level; firm controls match Table 2; and standard errors are clustered by SIC-3.

In the *all-firms* specification with the Delaware indicator as  $Z_{ijt}$ , the follow-up coefficients are not jointly different from zero. The 18 Feb coefficient is more negative than 11 Mar at the 1% level, while 11 Mar vs. 19 Mar is not statistically different from zero and 19 Mar vs. 25 Mar is positive and significant at the 5% level. The initial vs. average follow-ups contrast is negative and significant at the 1% level, which indicates that the Delaware effect is largely priced on the first trading day after the public announcement (18 Feb 2025), with the follow-up coefficients not jointly distinguishable from zero in the broad U.S. sample.

Restricting to the Delaware-incorporated subsample and rotating the regressor of interest reveals richer within-Delaware dynamics; Table A8 reports the full set of contrasts. In brief, the initial-versus-average-follow-ups difference is negative and significant for the continuous *Voting Block* (5% level), the *Dual Class* indicator (1% level), and the  $> 33.3\%$  tier (5% level), again pointing to a more adverse initial response. The dual-class coefficient also declines further from 11 Mar to 19 Mar and partially reverses by 25 Mar, a reversal the voting-block tiers do not share. Because the  $[-1, +5]$  windows around the three March dates partially overlap, the pairwise March contrasts should be read as descriptive.

Taken together, the SUR evidence in Table A8 distinguishes the broad all-firms sample from the Delaware-only subsample. In the all-firms sample, the Delaware effect is concentrated on 18 Feb 2025. Within Delaware, by contrast, we see some re-pricing around the March milestones—the bar’s 11 Mar action, the 19 Mar House committee action, and the 25 Mar final passage and signature—most notably a further decline from 11 Mar to 19 Mar for dual-class firms and higher

<sup>47</sup>Technical details of the SUR estimator, covariance matrix, and Wald tests are provided in Section A.2.1.2.

voting-power tiers, and, for dual-class firms, a partial reversal by 25 Mar. That said, the bulk of the valuation impact remains incorporated at the initial announcement on 18 Feb 2025, and the later re-pricing is consistent with information arriving as the mid-March legislative cluster signaled high enactment probability.

#### A.2.1.2 SUR Estimator, Standard Errors, and Wald Tests

Formally, we estimate the SUR by feasible GLS and compute SIC-3-clustered, cross-equation robust standard errors and Wald tests as follows. For each event date  $t \in \{18 \text{ Feb}, 11 \text{ Mar}, 19 \text{ Mar}, 25 \text{ Mar}\}$ , we estimate Specification (9), obtaining  $\text{CAR}_{ijt}(-1, 5)$  across firms  $i = 1, \dots, N$  at date  $t$ , and we define the date-specific design matrix

$$X_t = \left[ 1, Z_t, \text{LOO\_IndCAR}_t^{(-i)}, C \right],$$

whose columns correspond to the intercept, the regressor of interest  $Z \in \{\text{Delaware}, \text{Voting Block}, \text{Dual Class}, 1\{15-33.3\}, 1\{> 33.3\}\}$  at date  $t$ , the leave-one-out industry CAR at date  $t$ , and the baseline firm controls, respectively (the latter do not vary with  $t$  but enter every equation).<sup>48</sup> Let the parameter vector be

$$\theta_t = (\alpha_t, \beta_t, \delta_t, \gamma_t^\top)^\top.$$

Stacking the four equations gives the block-diagonal system

$$y = \begin{bmatrix} y_{18\text{Feb}} \\ y_{11\text{Mar}} \\ y_{19\text{Mar}} \\ y_{25\text{Mar}} \end{bmatrix}, \quad X = \text{diag}(X_{18\text{Feb}}, X_{11\text{Mar}}, X_{19\text{Mar}}, X_{25\text{Mar}}), \quad \theta = \begin{bmatrix} \theta_{18\text{Feb}} \\ \theta_{11\text{Mar}} \\ \theta_{19\text{Mar}} \\ \theta_{25\text{Mar}} \end{bmatrix},$$

and  $y = X\theta + u$ , where  $u$  stacks  $\varepsilon_{ijt}$  conformably. Let  $\varepsilon_i = (\varepsilon_{i,18\text{Feb}}, \varepsilon_{i,11\text{Mar}}, \varepsilon_{i,19\text{Mar}}, \varepsilon_{i,25\text{Mar}})^\top$  be the 4-vector of residuals for firm  $i$ . The SUR working model is:

$$\mathbb{E}[u \mid X] = 0, \quad \text{Var}(u \mid X) = \Omega = \Sigma \otimes I_N,^{49}$$

with  $\Sigma$  the  $4 \times 4$  contemporaneous covariance across event-date equations. The feasible GLS (SUR) estimator is:

$$\hat{\theta}_{\text{FGLS}} = (X^\top \hat{\Omega}^{-1} X)^{-1} X^\top \hat{\Omega}^{-1} y, \quad \hat{\Sigma} = \frac{1}{N} \sum_{i=1}^N \hat{\varepsilon}_i \hat{\varepsilon}_i^\top, \quad \hat{\Omega} = \hat{\Sigma} \otimes I_N.$$

<sup>48</sup>When we include SIC-3 fixed effects,  $X$  also contains the corresponding dummies (or they are absorbed).

<sup>49</sup> $\otimes$  denotes the Kronecker product;  $I_N$  is the  $N \times N$  identity matrix.

We report SIC-3-clustered, cross-equation robust standard errors via a cluster-robust sandwich for SUR:

$$\widehat{V}_{\text{CR}}(\widehat{\theta}_{\text{FGLS}}) = (X^\top \widehat{\Omega}^{-1} X)^{-1} \left( \sum_{j=1}^J X_j^\top \widehat{\Omega}_j^{-1} \widehat{u}_j \widehat{u}_j^\top \widehat{\Omega}_j^{-1} X_j \right) (X^\top \widehat{\Omega}^{-1} X)^{-1},$$

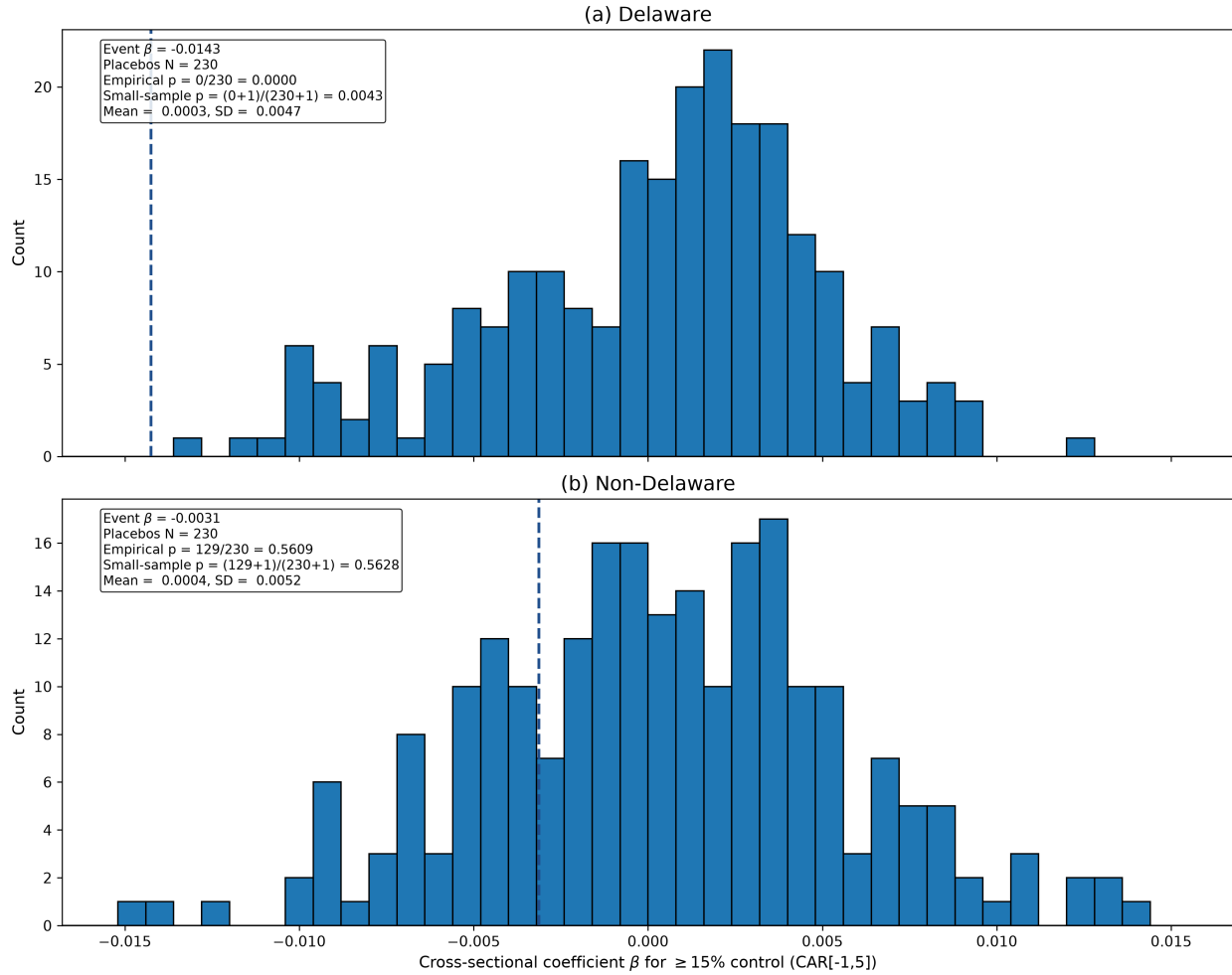
where  $j$  indexes SIC-3 industries,  $X_j = \text{diag}(X_{18\text{Feb},j}, X_{11\text{Mar},j}, X_{19\text{Mar},j}, X_{25\text{Mar},j})$  stacks rows for firms in cluster  $j$ ,  $\widehat{u}_j$  stacks their residuals across equations, and  $\widehat{\Omega}_j = \widehat{\Sigma} \otimes I_{N_j}$ . For each of our cross-date restrictions (e.g., the three follow-ups jointly zero or the “initial vs. average-follow-ups” contrast), we test the restriction with the Wald statistic:

$$W = (R\widehat{\theta}_{\text{FGLS}} - r)^\top \left[ R \widehat{V}_{\text{CR}}(\widehat{\theta}_{\text{FGLS}}) R^\top \right]^{-1} (R\widehat{\theta}_{\text{FGLS}} - r) \stackrel{a}{\sim} \chi^2_{\text{rank}(R)}.$$

## B Additional Tables and Figures

In this section, we provide additional tables and figures that supplement the main analysis presented in the paper.

Figure A1: Distribution of Placebo Estimates of  $\text{Ctrlmore}_{ij}^{\geq 15}$  Coefficient (SB 21): Delaware and Non-Delaware



The Figure plots the distribution of estimated coefficients on a dummy variable indicating whether the company's voting block is at least 15%, obtained from placebo event-study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. Panel (a) reports the exercise for Delaware firms, using the hand-collected ownership data underlying Table 8; Panel (b) repeats it for the top 1,000 non-Delaware firms, using voting blocks extracted from each firm's most recent pre-event DEF 14A proxy statement (see Table A2). As in the baseline, the cumulative abnormal returns and firm controls entering each placebo regression are winsorized at the 1st and 99th percentiles within the respective sample. Each regression estimates the association between the  $\geq 15\%$  indicator and firms' cumulative abnormal returns; firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date, and the empirical  $p$ -value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient. The Delaware event-date coefficient ( $-0.0143$ ) lies outside the entire placebo distribution (empirical  $p = 0.000$ ), whereas the non-Delaware event-date coefficient ( $-0.0031$ ) lies near the center of its distribution (empirical  $p = 0.561$ ).

Table A1: Within-Delaware Temporal Placebo: Voting Blocks, Dual-Class Status, and the Voting-Economic Wedge (SB21)

|                                                               | Cumulative abnormal return window |                                 |                                 |                                 |                                |
|---------------------------------------------------------------|-----------------------------------|---------------------------------|---------------------------------|---------------------------------|--------------------------------|
|                                                               | $[-1, +1]$                        | $[-1, +3]$                      | $[-1, +5]$                      | $[-1, +7]$                      | $[-1, +10]$                    |
|                                                               | (1)                               | (2)                             | (3)                             | (4)                             | (5)                            |
| <i>Panel A. Voting blocks (hand-collected, as in Table 8)</i> |                                   |                                 |                                 |                                 |                                |
| Voting block (0–1)                                            | -0.0066<br>(0.419)<br>[0.27]      | -0.0154**<br>(0.045)<br>[0.06]  | -0.0269***<br>(0.003)<br>[0.01] | -0.0347***<br>(0.004)<br>[0.00] | -0.0270**<br>(0.035)<br>[0.01] |
| 1[Voting block $\geq 15\%$ ]                                  | -0.0029<br>(0.321)<br>[0.40]      | -0.0109***<br>(0.010)<br>[0.01] | -0.0143***<br>(0.003)<br>[0.00] | -0.0190***<br>(0.002)<br>[0.00] | -0.0174**<br>(0.024)<br>[0.01] |
| 1[ $15\% \leq$ Voting block $< 33.3\%$ ]                      | -0.0039<br>(0.216)<br>[0.34]      | -0.0111***<br>(0.005)<br>[0.04] | -0.0121**<br>(0.011)<br>[0.06]  | -0.0149**<br>(0.011)<br>[0.04]  | -0.0175**<br>(0.027)<br>[0.05] |
| 1[Voting block $\geq 33.3\%$ ]                                | -0.0018<br>(0.685)<br>[0.70]      | -0.0108*<br>(0.094)<br>[0.07]   | -0.0165**<br>(0.016)<br>[0.01]  | -0.0233***<br>(0.008)<br>[0.00] | -0.0174*<br>(0.079)<br>[0.02]  |
| Observations (voting block 0–1)                               | 859                               | 859                             | 859                             | 859                             | 859                            |
| Observations (indicators)                                     | 860                               | 860                             | 860                             | 860                             | 860                            |

*continued on next page*

Table A1 – continued

|                                                                           | $[-1, +1]$                   | $[-1, +3]$                     | $[-1, +5]$                      | $[-1, +7]$                     | $[-1, +10]$                    |
|---------------------------------------------------------------------------|------------------------------|--------------------------------|---------------------------------|--------------------------------|--------------------------------|
|                                                                           | (1)                          | (2)                            | (3)                             | (4)                            | (5)                            |
| <i>Panel B. Dual-class and the voting–cash-flow wedge (as in Table 9)</i> |                              |                                |                                 |                                |                                |
| Dual-class indicator                                                      | -0.0021<br>(0.590)<br>[0.67] | -0.0166**<br>(0.022)<br>[0.03] | -0.0233***<br>(0.006)<br>[0.01] | -0.0235**<br>(0.047)<br>[0.01] | -0.0237**<br>(0.047)<br>[0.02] |
| Voting–economic wedge                                                     | -0.0021<br>(0.907)<br>[0.89] | -0.0469*<br>(0.054)<br>[0.02]  | -0.0645**<br>(0.029)<br>[0.00]  | -0.0843**<br>(0.047)<br>[0.00] | -0.0638*<br>(0.080)<br>[0.00]  |
| Voting–economic wedge (with cash-flow)                                    | -0.0021<br>(0.906)<br>[0.92] | -0.0467**<br>(0.049)<br>[0.02] | -0.0641**<br>(0.028)<br>[0.00]  | -0.0848**<br>(0.044)<br>[0.00] | -0.0640*<br>(0.076)<br>[0.00]  |
| Cash-flow rights                                                          | -0.0002<br>(0.991)<br>[1.00] | +0.0023<br>(0.915)<br>[0.87]   | +0.0050<br>(0.806)<br>[0.78]    | -0.0086<br>(0.662)<br>[0.65]   | -0.0027<br>(0.911)<br>[0.93]   |
| Observations (dual-class, all controllers)                                | 859                          | 859                            | 859                             | 859                            | 859                            |
| Observations (wedge, non-institutional)                                   | 323                          | 323                            | 323                             | 323                            | 323                            |

The Table re-reports the within-Delaware voting-block specifications of Table 8 (Panel A) and the dual-class and voting-economic-wedge specifications of Table 9 (Panel B), adding to each estimate the temporal-placebo benchmark of Section A.1. Each cell reports the event-date coefficient (identical to the corresponding estimate in Table 8 or Table 9), the analytic SIC3-clustered p-value in parentheses, and, in square brackets, the empirical placebo p-value from re-estimating the same regression at each of 230 pre-event pseudo-dates between 250 and 20 trading days before the announcement (the finite-sample-corrected exceedance frequency defined in Section A.1). Panel A uses the hand-collected ownership data underlying Table 8; the continuous voting block is available for 859 firms and the threshold indicators for 860. Panel B reports the dual-class indicator on the full Delaware sample and the DEF 14A voting-economic wedge on the 323 firms with a non-institutional largest blockholder, as in Table 9. All specifications include the firm-level controls reported in Table 2 and the leave-one-out industry CAR, with no fixed effects; all cumulative abnormal returns, firm controls, and continuous wedge and cash-flow regressors are winsorized at the 1st and 99th percentiles within the Delaware sample, at the true event date and at every pseudo-date alike; standard errors are clustered at the industry (SIC3) level. The  $\geq 15\%$  row is the tabular counterpart of Panel (a) of Figure A1, and Table A2 reports the non-Delaware mirror of the same specifications. The overlap qualification of Section A.1 (adjacent pseudo-dates share most of their window days) applies to the bracketed p-values throughout. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level.

Table A2: Non-Delaware Placebo: Voting Blocks, Dual-Class Status, and the Voting-Economic Wedge (SB21)

|                                                              | Cumulative abnormal return window |                              |                              |                              |                              |
|--------------------------------------------------------------|-----------------------------------|------------------------------|------------------------------|------------------------------|------------------------------|
|                                                              | [-1, +1]                          | [-1, +3]                     | [-1, +5]                     | [-1, +7]                     | [-1, +10]                    |
|                                                              | (1)                               | (2)                          | (3)                          | (4)                          | (5)                          |
| <i>Panel A. Voting blocks (all non-Delaware controllers)</i> |                                   |                              |                              |                              |                              |
| Voting block (0–1)                                           | +0.0158<br>(0.283)<br>[0.06]      | +0.0104<br>(0.602)<br>[0.36] | +0.0080<br>(0.672)<br>[0.57] | +0.0128<br>(0.612)<br>[0.36] | +0.0376<br>(0.154)<br>[0.01] |
| 1[Voting block $\geq 15\%$ ]                                 | -0.0044<br>(0.254)<br>[0.20]      | -0.0055<br>(0.255)<br>[0.19] | -0.0031<br>(0.572)<br>[0.56] | -0.0011<br>(0.882)<br>[0.86] | +0.0089<br>(0.275)<br>[0.17] |
| 1[ $15\% \leq$ Voting block $< 33.3\%$ ]                     | -0.0082**<br>(0.037)<br>[0.06]    | -0.0079<br>(0.106)<br>[0.12] | -0.0058<br>(0.325)<br>[0.30] | -0.0032<br>(0.650)<br>[0.62] | +0.0049<br>(0.559)<br>[0.48] |
| 1[Voting block $\geq 33.3\%$ ]                               | +0.0063<br>(0.399)<br>[0.17]      | +0.0011<br>(0.917)<br>[0.84] | +0.0044<br>(0.630)<br>[0.52] | +0.0050<br>(0.685)<br>[0.54] | +0.0203<br>(0.148)<br>[0.01] |
| Observations                                                 | 539                               | 539                          | 539                          | 539                          | 539                          |

*continued on next page*

Table A2 – continued

|                                                           | $[-1, +1]$                   | $[-1, +3]$                    | $[-1, +5]$                   | $[-1, +7]$                   | $[-1, +10]$                  |
|-----------------------------------------------------------|------------------------------|-------------------------------|------------------------------|------------------------------|------------------------------|
|                                                           | (1)                          | (2)                           | (3)                          | (4)                          | (5)                          |
| <i>Panel B. Dual-class and the voting–cash-flow wedge</i> |                              |                               |                              |                              |                              |
| Dual-class indicator                                      | +0.0047<br>(0.615)<br>[0.56] | +0.0017<br>(0.930)<br>[0.90]  | +0.0082<br>(0.571)<br>[0.51] | +0.0137<br>(0.405)<br>[0.42] | +0.0219<br>(0.311)<br>[0.19] |
| Voting–economic wedge                                     | -0.0163<br>(0.655)<br>[0.53] | -0.0653*<br>(0.087)<br>[0.08] | -0.0475<br>(0.145)<br>[0.32] | -0.0183<br>(0.700)<br>[0.77] | -0.0337<br>(0.542)<br>[0.67] |
| Voting–economic wedge (with cash-flow)                    | -0.0181<br>(0.629)<br>[0.50] | -0.0681*<br>(0.063)<br>[0.08] | -0.0488<br>(0.135)<br>[0.31] | -0.0195<br>(0.685)<br>[0.76] | -0.0370<br>(0.505)<br>[0.64] |
| Cash-flow rights                                          | +0.0295<br>(0.211)<br>[0.02] | +0.0251<br>(0.368)<br>[0.09]  | +0.0147<br>(0.567)<br>[0.41] | +0.0140<br>(0.681)<br>[0.44] | +0.0346<br>(0.277)<br>[0.12] |
| Observations (dual-class, all controllers)                | 524                          | 524                           | 524                          | 524                          | 524                          |
| Observations (wedge, non-institutional)                   | 155                          | 155                           | 155                          | 155                          | 155                          |

The Table re-estimates the within-Delaware voting-block specifications of Table 8 (Panel A) and the dual-class and voting-economic-wedge specifications of Table 9 (Panel B) on the top 1,000 non-Delaware firms by end-2024 market capitalization, for which SB 21 has no legal effect; the prediction is a zero gradient throughout. Voting-block, dual-class, and wedge measures are extracted from each firm’s most recent pre-event DEF 14A proxy statement (SEC EDGAR); 772 of the 845 non-Delaware firms in the estimation frame carry an extracted voting block. Each row is a separate cross-sectional regression. All specifications include the firm-level controls reported in Table 2 and the leave-one-out industry CAR, with no fixed effects; all cumulative abnormal returns, firm controls, and continuous regressors are winsorized at the 1st and 99th percentiles within the estimation sample; standard errors are clustered at the industry (SIC3) level. As in Table 9, the wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller. Each cell reports the coefficient, the analytic p-value in parentheses, and, in square brackets, the empirical placebo p-value from re-estimating the same regression at each of 230 pre-event pseudo-dates (the finite-sample-corrected exceedance frequency defined in Section A.1); with twenty Panel A cells, one or two low p-values are expected by chance, and the two long-window cells at 0.01 are positive, the opposite sign of the Delaware gradient. A fully interacted pooled regression over the two top-1,000 frames yields negative Delaware-interaction coefficients that strengthen with tier and window (Delaware  $\times$  1[Voting block  $\geq$  33.3%] =  $-0.018$  at  $[-1, +5]$ , empirical  $p = 0.03$ ; Delaware  $\times$  continuous voting block =  $-0.027$ , empirical  $p = 0.09$ ). The wedge has little scope outside Delaware: 36 of 767 non-Delaware firms carry a strictly positive wedge (24 dual-class), against 100 (95 dual-class) of 924 Delaware firms, so the wedge placebos are informative about sign but not powered to detect Delaware-sized effects. Extraction is validated against a hand-corrected benchmark of 1,492 filings (control-threshold indicators 97–98% accurate) and out of sample against issuer-disclosed voting power (median error 0.13 percentage points); errors are one-sided toward under-detection, which attenuates rather than manufactures gradients. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level.

Table A3: Delaware Coefficient under Alternative Inference: State Clustering and Wild-Cluster Bootstrap (SB 21) (Combined Sample)

| Window       | Cluster: SIC3<br>(baseline) | Cluster: state of<br>incorporation | Wild-cluster<br>bootstrap (SIC3) |
|--------------|-----------------------------|------------------------------------|----------------------------------|
| $[-1, +1]$   | 0.0005<br>(0.850)           | 0.0005<br>(0.771)                  | 0.0005<br>(0.855)                |
| $[-1, +3]$   | -0.0068**<br>(0.040)        | -0.0068***<br>(0.002)              | -0.0068**<br>(0.036)             |
| $[-1, +5]$   | -0.0120***<br>(0.001)       | -0.0120***<br>(0.000)              | -0.0120***<br>(0.001)            |
| $[-1, +7]$   | -0.0149***<br>(0.001)       | -0.0149***<br>(0.001)              | -0.0149***<br>(0.001)            |
| $[-1, +10]$  | -0.0210***<br>(0.000)       | -0.0210***<br>(0.000)              | -0.0210***<br>(0.000)            |
| Observations | 1,522                       |                                    |                                  |

The Table reports the baseline Delaware regression (Specification 5) under three inference methods: SIC3-clustered standard errors (the baseline), state-of-incorporation-clustered standard errors, and a wild-cluster restricted bootstrap clustered at the SIC3 level. The point estimates are identical across columns; only the inference differs. The cumulative abnormal return and firm controls are winsorized at the pooled 1st and 99th percentiles, as in the baseline regression. The bootstrap column reports p-values from the wild-cluster bootstrap of [Cameron et al. \(2008\)](#), with Rademacher weights, the null imposed, and 9,999 replications. State-of-incorporation clustering is reported for transparency only and is unreliable in this setting: the treatment is concentrated in a single state cluster (Delaware), so conventional cluster-robust standard errors apply with very few effective clusters ([Cameron et al. \(2008\)](#)); the SIC3 inference remains the preferred specification. P-values are reported in parentheses below each coefficient. \* 10%, \*\* 5%, \*\*\* 1%.

Table A4: Delaware Coefficient Excluding Nevada and Texas (SB 21) (Combined Sample)

| Window       | Baseline (all firms)  | Excluding NV & TX firms |
|--------------|-----------------------|-------------------------|
| $[-1, +1]$   | 0.0005<br>(0.850)     | 0.0020<br>(0.430)       |
| $[-1, +3]$   | -0.0068**<br>(0.040)  | -0.0079**<br>(0.013)    |
| $[-1, +5]$   | -0.0120***<br>(0.001) | -0.0147***<br>(0.000)   |
| $[-1, +7]$   | -0.0149***<br>(0.001) | -0.0175***<br>(0.000)   |
| $[-1, +10]$  | -0.0210***<br>(0.000) | -0.0223***<br>(0.000)   |
| Observations | 1,522                 | 1,441                   |

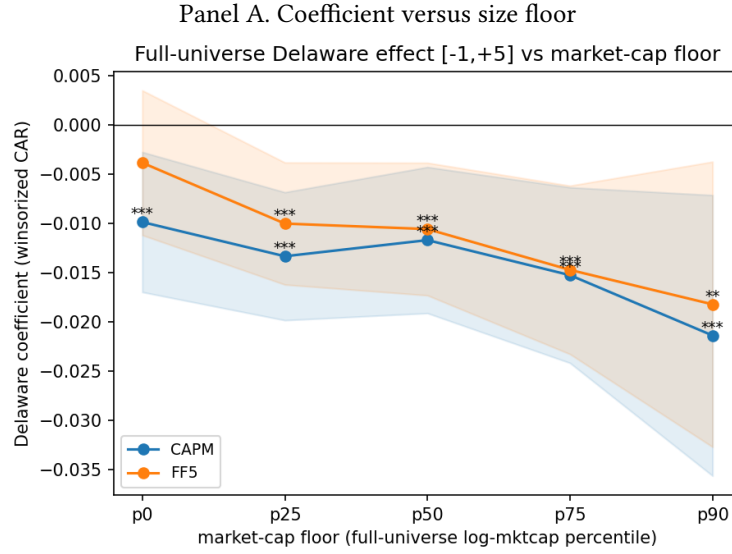
The Table compares the baseline Delaware regression (Specification 5, SIC3 fixed effects, SIC3-clustered standard errors) on the full sample with the same regression after excluding firms incorporated in Nevada or Texas, the two regimes most often cited as adopting defendant-friendly alternatives to Delaware (Bennett et al. (2025); Hurt (2025)). The cumulative abnormal return and firm controls are winsorized at the pooled 1st and 99th percentiles, as in the baseline regression. The exclusion drops 85 Nevada- and Texas-incorporated firms from the merged baseline panel; the regression observation count falls from 1,522 to 1,441 because some of the dropped firms already had missing controls and would not have entered the baseline regression. P-values are reported in parentheses below each coefficient. \* 10%, \*\* 5%, \*\*\* 1%.

Table A5: Propensity-Score-Matched Delaware Effect (SB 21) (Combined Sample)

| CAPM         |                       | Fama–French 5 |                       |
|--------------|-----------------------|---------------|-----------------------|
| Window       | PSM                   | Window        | PSM                   |
| [−1, +1]     | −0.0012<br>(0.726)    | [−1, +1]      | −0.0011<br>(0.732)    |
| [−1, +3]     | −0.0071*<br>(0.096)   | [−1, +3]      | −0.0068<br>(0.103)    |
| [−1, +5]     | −0.0133***<br>(0.005) | [−1, +5]      | −0.0094**<br>(0.033)  |
| [−1, +7]     | −0.0172***<br>(0.003) | [−1, +7]      | −0.0133**<br>(0.012)  |
| [−1, +10]    | −0.0269***<br>(0.000) | [−1, +10]     | −0.0258***<br>(0.000) |
| Observations | 1,046                 | Observations  | 1,046                 |

The Table reports the Delaware coefficient from propensity-score-matched regressions on the top-1,000 Delaware plus top-1,000 non-Delaware sample. Treated Delaware firms are matched 1:1 to non-Delaware firms by nearest neighbour on the estimated propensity score (a logit of the Delaware indicator on the five firm controls of Table 2), without replacement and within a caliper of 0.2 standard deviations of the linearized score. On the matched sample the cumulative abnormal return is regressed on the Delaware indicator and the same five controls, with SIC3 industry fixed effects and standard errors clustered on SIC3; p-values based on these clustered standard errors are reported in parentheses below each coefficient. The five controls enter in raw form in both the matching and the regression; the cumulative abnormal return is winsorized at the pooled 1st/99th percentiles. The match forms 523 treated–control pairs, yielding the 1,046 firm-observations reported above. Columns report the Delaware coefficient under the CAPM (market model) and the Fama–French five-factor model, the latter defined in the Online Appendix. The event date is February 18, 2025. \* 10%, \*\* 5%, \*\*\* 1%.

Figure A2: Delaware Effect by Market-Capitalization Floor (SB 21)



Panel B. Estimates by floor

| Market-cap floor | CAPM                  | Fama–French 5         | N (DE / non-DE) |
|------------------|-----------------------|-----------------------|-----------------|
| None             | −0.0098***<br>(0.007) | −0.0038<br>(0.307)    | 2,558 / 1,408   |
| 25th percentile  | −0.0133***<br>(0.000) | −0.0100***<br>(0.002) | 1,921 / 1,084   |
| 50th percentile  | −0.0117***<br>(0.002) | −0.0106***<br>(0.002) | 1,284 / 720     |
| 75th percentile  | −0.0152***<br>(0.001) | −0.0147***<br>(0.001) | 579 / 423       |
| 90th percentile  | −0.0214***<br>(0.005) | −0.0182**<br>(0.016)  | 166 / 235       |

The exhibit re-estimates the baseline Delaware regression (Specification 5: a Delaware indicator with the firm controls of Table 2, SIC3 industry fixed effects, and SIC3-clustered standard errors) at the [−1, +5] window on the full CRSP/Compustat universe, progressively excluding firms below a market-capitalization floor. The cumulative abnormal return is winsorized at the pooled 1st/99th percentiles within each subsample. Panel A plots the Delaware coefficient under the market model and the Fama–French five-factor model (the five-factor specification is defined in the Online Appendix) against the floor, expressed as a percentile of the full-universe market-capitalization distribution, with 95% confidence intervals; Panel B reports the coefficients, p-values (in parentheses, from the SIC3-clustered standard errors), and the number of Delaware and non-Delaware firms retained at each floor. The 25th, 50th, 75th, and 90th percentile floors correspond to market capitalizations of roughly \$0.2, \$1.3, \$8.6, and \$90 billion. With no floor the five-factor estimate at this window is small and statistically insignificant, an artifact of equal-weighting the many micro-capitalization firms in the full universe; the effect becomes negative and significant under both models once even a modest floor is imposed, and generally strengthens at higher floors. \* 10%, \*\* 5%, \*\*\* 1%.

Table A6: Equal-Weighted versus Value-Weighted Full-Universe Delaware Effect (SB 21)

| Sample / weighting                                        | Market model          | Fama–French 5         | N (DE / non-DE)                 |
|-----------------------------------------------------------|-----------------------|-----------------------|---------------------------------|
| Baseline (top-1,000 Delaware<br>+ top-1,000 non-Delaware) | −0.0120***<br>(0.001) | −0.0111***<br>(0.001) | 917 / 657                       |
| Full CRSP/Compustat universe<br>(equal-weighted)          | −0.0088**<br>(0.021)  | −0.0025<br>(0.533)    | 2,472 / 1,069                   |
| Full universe, value-weighted<br>by market capitalization | −0.0299***<br>(0.000) | −0.0270***<br>(0.000) | 2,471 / 1,069<br>(eff. 63 / 13) |

The Table reports the Delaware coefficient at the  $[-1, +5]$  window from the baseline cross-sectional regression (Specification 5: a Delaware indicator together with the firm controls of Table 2, SIC3 industry fixed effects, and SIC3-clustered standard errors), around the SB 21 announcement of February 18, 2025. Row 1 is the baseline sample of the 1,000 largest Delaware and 1,000 largest non-Delaware firms used in Table 6; Rows 2 and 3 use the full CRSP/Compustat universe of U.S. firms. The dependent variable is the cumulative abnormal return over  $[-1, +5]$ , winsorized at the pooled 1st/99th percentiles, with the firm controls likewise winsorized; abnormal returns are estimated over  $[-250, -20]$  under the market model (CRSP value-weighted index) and the Fama–French five-factor model (the five-factor specification is defined in the Online Appendix). Rows 1 and 2 weight each firm equally; Row 3 weights firms by market capitalization (Compustat market value, latest fiscal year ending on or before December 2024). P-values, based on the SIC3-clustered standard errors, are reported in parentheses below each coefficient. The market-capitalization weight is not winsorized; winsorizing it at the 1st/99th percentiles leaves the value-weighted  $[-1, +5]$  estimate at  $-0.0209$  (market model) and  $-0.0188$  (five-factor), both significant at the 1 percent level. Because value-weighting concentrates influence in the largest firms, the Kish effective sample size in Row 3 is about 63 Delaware and 13 non-Delaware firms, with the two largest non-Delaware firms together accounting for roughly 37 percent of non-Delaware weight. Equal-weighting the full universe places economically trivial firms on the same footing as the largest corporations and dilutes the short-window estimate toward zero, whereas weighting firms by economic size recovers a Delaware effect that is negative and significant at the 1 percent level at the  $[-1, +5]$  window under both models. \* 10%, \*\* 5%, \*\*\* 1%.

Table A7: Systematic-Risk and Idiosyncratic-Volatility Footprint of SB 21 (Affected vs. Control Firms)

|                                                                               | [+6, +30]<br>(1)<br>pre-turb. | [+6, +65]<br>(2)<br>spans turb. | [+6, +125]<br>(3)<br>spans turb. |
|-------------------------------------------------------------------------------|-------------------------------|---------------------------------|----------------------------------|
| <i>Panel A. Own market beta change, <math>\Delta\beta</math> (CAPM)</i>       |                               |                                 |                                  |
| Affected (>15%)                                                               | +0.009<br>(0.771)             | -0.013<br>(0.588)               | +0.004<br>(0.868)                |
| Control A (<15%)                                                              | -0.075***<br>(0.000)          | +0.032*<br>(0.059)              | +0.047***<br>(0.003)             |
| Control B (non-Del.)                                                          | -0.100***<br>(0.000)          | -0.074***<br>(0.000)            | -0.044***<br>(0.003)             |
| <i>Panel B1. Idiosyncratic volatility change, CAPM residual (p.p.)</i>        |                               |                                 |                                  |
| Affected (>15%)                                                               | -0.152<br>(0.176)             | +0.042<br>(0.667)               | +0.014<br>(0.877)                |
| Control A (<15%)                                                              | -0.053<br>(0.178)             | +0.167***<br>(0.000)            | +0.189***<br>(0.000)             |
| Control B (non-Del.)                                                          | -0.442***<br>(0.000)          | +0.070<br>(0.509)               | +0.119<br>(0.204)                |
| <i>Panel B2. Idiosyncratic volatility change, five-factor residual (p.p.)</i> |                               |                                 |                                  |
| Affected (>15%)                                                               | -0.239**<br>(0.033)           | -0.004<br>(0.972)               | -0.004<br>(0.964)                |
| Control A (<15%)                                                              | -0.153***<br>(0.000)          | +0.120***<br>(0.001)            | +0.170***<br>(0.000)             |
| Control B (non-Del.)                                                          | -0.417***<br>(0.000)          | +0.083<br>(0.432)               | +0.138<br>(0.139)                |

*continued on next page*

Table A7 – continued

|                                                                                      | [+6, +30]           | [+6, +65]         | [+6, +125]        |
|--------------------------------------------------------------------------------------|---------------------|-------------------|-------------------|
|                                                                                      | (1)                 | (2)               | (3)               |
|                                                                                      | pre-turb.           | spans turb.       | spans turb.       |
| <i>Panel C. Affected–control DiD on <math>\beta</math> (firm FE, SIC3-clustered)</i> |                     |                   |                   |
| Affected – Control A                                                                 | +0.084**<br>(0.030) | -0.045<br>(0.125) | -0.043<br>(0.131) |
| Affected – Control B                                                                 | +0.109**<br>(0.013) | +0.061<br>(0.223) | +0.047<br>(0.268) |
| Observations (Affected)                                                              | 346                 | 342               | 342               |
| Observations (Control A)                                                             | 582                 | 581               | 577               |
| Observations (Control B)                                                             | 1408                | 1396              | 1389              |
| Required $\Delta\beta$ (Affected)                                                    | +0.012 to +0.020    |                   |                   |
| Estimation window                                                                    | [−250, −20]         |                   |                   |

*Notes.* This table reports the systematic-risk and idiosyncratic-volatility “footprint” that a risk-premium account of the SB 21 announcement losses would imply, estimated from CRSP daily returns and the Fama–French five-factor daily benchmarks (the five-factor specification is defined in the Online Appendix). For each firm, factor loadings are estimated by OLS over the pre-event estimation window [−250, −20] and re-estimated over each post-estimation window; the announcement window [0, +5] is excluded from every post window. The primary window [+6, +30] ends on 1 April 2025, the last trading day before the spring-2025 market turbulence, and so excludes it, whereas the two longer windows [+6, +65] and [+6, +125] span it. Each cell reports the group-mean change in the indicated quantity with the two-sided  $p$ -value of the mean in parentheses; Panels A and C are in market-beta units and Panel B in percentage points of the daily residual standard deviation. The footer reports, for the affected group, the range of beta increases that a permanent discount-rate explanation of its announcement CAR would require,  $\Delta\beta = |\text{CAR}|(r - g)/\text{ERP}$  with  $|\text{CAR}| = 0.014$ ,  $r - g \in [0.05, 0.07]$ , and  $\text{ERP} \in [0.05, 0.06]$ . Panel C is the affected-versus-control difference-in-differences on beta (two periods with firm fixed effects, equivalent to a first-difference regression) with standard errors clustered on SIC3 industry, pooling the affected group with the indicated control. The Panel C estimates are sensitive to the choice of post-estimation window and change sign across the three windows, so they are reported for completeness rather than relied upon, and the short post-event windows yield imprecise loadings. Read together, the estimates provide no affirmative evidence of a risk-premium footprint for the affected firms: their own market beta does not rise toward the required range and their idiosyncratic volatility does not increase. Observations are the number of firms in each group with estimable pre- and post-window loadings. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table A8: Seemingly Unrelated Regressions

|                            | All Firms            | Delaware Firms      |                      |                     |                      |
|----------------------------|----------------------|---------------------|----------------------|---------------------|----------------------|
|                            | Delaware             | Voting Block        | Dual Class           | 15–33%              | >33.3%               |
| Follow-ups jointly zero    | (0.126)              | (0.362)             | (0.000)***           | (0.162)             | (0.008)***           |
| 18 Feb vs 11 Mar           | -0.016<br>(0.003)*** | -0.013<br>(0.350)   | -0.015<br>(0.149)    | 0.001<br>(0.909)    | -0.005<br>(0.564)    |
| 11 Mar vs 19 Mar           | 0.002<br>(0.731)     | -0.021<br>(0.172)   | -0.023<br>(0.000)*** | -0.012<br>(0.025)** | -0.019<br>(0.001)*** |
| 19 Mar vs 25 Mar           | 0.006<br>(0.018)**   | 0.007<br>(0.407)    | 0.022<br>(0.003)***  | 0.000<br>(0.958)    | 0.006<br>(0.324)     |
| Initial vs avg. follow-ups | -0.013<br>(0.001)*** | -0.025<br>(0.012)** | -0.023<br>(0.008)*** | -0.007<br>(0.183)   | -0.015<br>(0.042)**  |

The Table reports results from a system of Seemingly Unrelated Regressions, each estimated separately for five regressors of interest. For the “Delaware” column, the system is estimated on the full sample of Delaware and non-Delaware firms, while the remaining columns are estimated on the Delaware-only subsample. Each system jointly estimates the effect of the regressor on firms’ cumulative abnormal returns over the  $[-1, 5]$  window across four event dates. “Follow-ups jointly zero” tests whether the post-February 18 coefficients are jointly equal to zero. “Initial vs average follow-ups” tests whether the initial coefficient on February 18 equals the mean of the three subsequent coefficients. Other rows report pairwise differences in coefficients between event dates, with point estimates shown above and p-values reported in parentheses below. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles (pooled across the full sample for the Delaware column and within the Delaware sample for the remaining columns). Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

## Online Appendix

This Online Appendix re-estimates the paper’s cross-sectional results under the Fama–French five-factor benchmark (Section [OA-1](#)), reports the state composition of the non-Delaware comparison group, reports single-date regressions around the four SB 21 legislative events, and reports the within-Delaware cross-sectional regressions around the *Match* decision (Section [OA-4](#)).

### OA-1 Fama–French Five-Factor Model

The baseline results of our main paper rest on the market model detailed by [MacKinlay \(1997\)](#). Whereas that single-factor benchmark explains a firm’s expected return through its exposure to the broad market alone, the Fama–French framework specifies expected returns as a linear function of several systematic risk factors. Building on the original three-factor specification ([Fama and French \(1993\)](#)), the Fama–French five-factor model ([Fama and French \(2015\)](#)) augments the excess market return, size (SMB), and value (HML) with profitability (RMW) and investment (CMA). By attributing to “normal” performance any return component correlated with these systematic influences, the model isolates the residual as the cumulative abnormal return (CAR). Although this richer benchmark further mitigates omitted-variable bias, the need to estimate additional factor loadings can introduce extra parameter uncertainty and may unintentionally absorb part of the event-induced variation—especially if the event itself alters firms’ exposures to SMB, HML, RMW, or CMA—thereby weakening the statistical power to detect genuine abnormal returns.

#### OA-1.1 Variable Definitions

In addition to the variable defined in Section [4.2.3](#), to estimate the Fama–French five-factor model we employ the following variables.

| Symbol                    | Description                                                                                                                                                         |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $R_{fs}$                  | Daily risk-free rate in the estimation window (1-month T-bill).                                                                                                     |
| $R_{ft}$                  | Daily risk-free rate in the event window (1-month T-bill).                                                                                                          |
| $MKT_s = R_{ms} - R_{fs}$ | Fama–French Excess-market factor in the estimation window (broad market portfolio’s return above the risk-free rate).                                               |
| $MKT_t = R_{mt} - R_{ft}$ | Fama–French Excess-market factor in the event window (broad market portfolio’s return above the risk-free rate).                                                    |
| $SMB_s$                   | Fama–French Size factor (small minus big) in the estimation window (return spread of small-cap minus big-cap stocks).                                               |
| $SMB_t$                   | Fama–French Size factor (small minus big) in the event window (return spread of small-cap minus big-cap stocks).                                                    |
| $HML_s$                   | Fama–French Value factor (high minus low) in the estimation window (return spread of high versus low book-to-market (“value” minus “growth”) stocks).               |
| $HML_t$                   | Fama–French Value factor (high minus low) in the event window (return spread of high versus low book-to-market (“value” minus “growth”) stocks).                    |
| $RMW_s$                   | Fama–French Profitability factor (robust minus weak) in the estimation window (return spread of firms with high versus low operating profitability).                |
| $RMW_t$                   | Fama–French Profitability factor (robust minus weak) in the event window (return spread of firms with high versus low operating profitability).                     |
| $CMA_s$                   | Fama–French Investment factor (conservative minus aggressive) in the estimation window (return spread of firms with low versus high investment rates/asset growth). |
| $CMA_t$                   | Fama–French Investment factor (conservative minus aggressive) in the event window (return spread of firms with low versus high investment rates/asset growth).      |

## OA-1.2 Estimation Equation on Excess Returns

For  $s \in S$ , we estimate the following specification:

$$(R_{is} - R_{fs}) = \alpha_i + \beta_i^{MKT} MKT_s + \beta_i^{SMB} SMB_s + \beta_i^{HML} HML_s + \beta_i^{RMW} RMW_s + \beta_i^{CMA} CMA_s + \varepsilon_{is}$$

where  $\beta_i^{MKT}$  captures the firm's exposure to broad market excess returns,  $\beta_i^{SMB}$  its tilt towards a small-cap versus large-cap factor,  $\beta_i^{HML}$  its tilt towards a value versus growth factor,  $\beta_i^{RMW}$  its sensitivity to a profitability factor (i.e., high minus low operating profitability), and  $\beta_i^{CMA}$  its sensitivity to an investment factor (i.e., low minus high investment), while  $\alpha_i$  represents the average drift left unexplained by the five factors. Estimating this specification by OLS on the excess returns yields the estimated values of  $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$ , and  $\hat{\beta}_i^{CMA}$ .

### OA-1.3 Projection of Expected Raw Returns (event window)

For  $t \in \mathcal{T}$ , we compute expected returns via the specification:

$$E[R_{it}] = R_{ft} + \hat{\alpha}_i + \hat{\beta}_i^{MKT} MKT_t + \hat{\beta}_i^{SMB} SMB_t + \hat{\beta}_i^{HML} HML_t + \hat{\beta}_i^{RMW} RMW_t + \hat{\beta}_i^{CMA} CMA_t$$

Here we multiply the excess market return, SMB, HML, RMW, and CMA realized on each event-window day by the fitted loadings  $\hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$ , and  $\hat{\beta}_i^{CMA}$ , respectively. We then add back the risk-free rate  $R_{ft}$  so that the fitted excess return becomes a raw return comparable to  $R_{it}$ .

### OA-1.4 Abnormal and Cumulative Returns

To compute abnormal, cumulative, and portfolio returns, we apply the definitions of Section 4.2.3 (Equations 3–4) to the five-factor expected returns.

### OA-1.5 Results

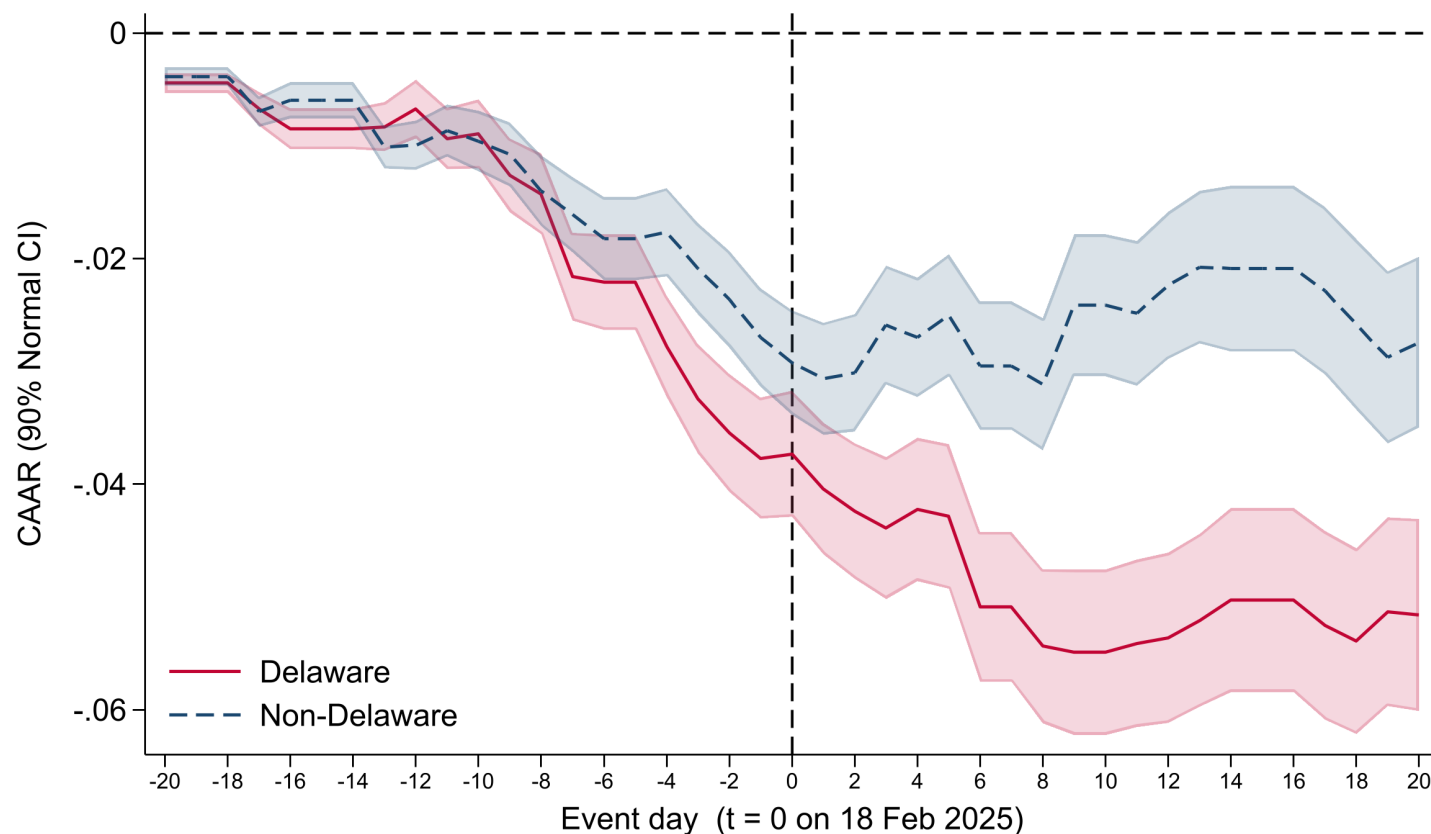
We report the Fama–French specifications in Tables (and Figures) OA-1 through OA-6. Across these specifications, the estimates track those in the main text closely and yield substantively similar inferences, with one exception noted there: the *Match* dual-class estimate loses significance under the five-factor benchmark (Table OA-6).

Table OA-1: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB 21) (Combined Sample)

|               | (1)                 | (2)                 | (3)                  | (4)                  | (5)                  |
|---------------|---------------------|---------------------|----------------------|----------------------|----------------------|
|               | CAR[-1,1]           | CAR[-1,3]           | CAR[-1,5]            | CAR[-1,7]            | CAR[-1,10]           |
| Delaware      | 0.001<br>(0.719)    | -0.007**<br>(0.037) | -0.011***<br>(0.001) | -0.012***<br>(0.003) | -0.023***<br>(0.000) |
| Constant      | -0.018**<br>(0.039) | -0.022**<br>(0.021) | -0.015<br>(0.308)    | -0.035**<br>(0.029)  | -0.037**<br>(0.049)  |
| Observations  | 1522                | 1522                | 1522                 | 1522                 | 1522                 |
| Industry FE   | Yes                 | Yes                 | Yes                  | Yes                  | Yes                  |
| Firm Controls | Yes                 | Yes                 | Yes                  | Yes                  | Yes                  |
| R-Sq          | 0.224               | 0.267               | 0.274                | 0.259                | 0.285                |
| F Statistic   | 1.220               | 1.524               | 5.462                | 6.841                | 10.584               |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Figure OA-Fig-1: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB 21) (Combined Sample)



The Figure plots the Fama-French cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return relative to the five-factor benchmark. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window; the bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential.

Table OA-2: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (SB 21) (Delaware Only)

|                   | CAR[-1,1]         |                    |                   | CAR[-1,3]         |                     |                     | CAR[-1,5]           |                      |                      | CAR[-1,7]            |                      |                     | CAR[-1,10]          |                     |                    |
|-------------------|-------------------|--------------------|-------------------|-------------------|---------------------|---------------------|---------------------|----------------------|----------------------|----------------------|----------------------|---------------------|---------------------|---------------------|--------------------|
|                   | (1)               | (2)                | (3)               | (4)               | (5)                 | (6)                 | (7)                 | (8)                  | (9)                  | (10)                 | (11)                 | (12)                | (13)                | (14)                | (15)               |
| Voting Block      | -0.004<br>(0.626) |                    |                   | -0.010<br>(0.160) |                     |                     | -0.020**<br>(0.019) |                      |                      | -0.024***<br>(0.008) |                      |                     | -0.021*<br>(0.065)  |                     |                    |
| >15%              |                   | -0.002<br>(0.527)  |                   |                   | -0.008**<br>(0.036) |                     |                     | -0.012***<br>(0.005) |                      |                      | -0.015***<br>(0.002) |                     |                     | -0.013**<br>(0.046) |                    |
| 15–33%            |                   |                    | -0.003<br>(0.264) |                   |                     | -0.010**<br>(0.017) |                     |                      | -0.013***<br>(0.007) |                      |                      | -0.014**<br>(0.011) |                     |                     | -0.013*<br>(0.069) |
| >33.3%            |                   |                    | 0.000<br>(0.989)  |                   |                     | -0.007<br>(0.246)   |                     |                      | -0.011*<br>(0.063)   |                      |                      | -0.016**<br>(0.016) |                     |                     | -0.014<br>(0.125)  |
| Constant          | -0.015<br>(0.102) | -0.015*<br>(0.095) | -0.014<br>(0.114) | -0.015<br>(0.250) | -0.009<br>(0.504)   | -0.008<br>(0.544)   | -0.005<br>(0.707)   | 0.001<br>(0.968)     | 0.001<br>(0.952)     | -0.031*<br>(0.080)   | -0.024<br>(0.209)    | -0.024<br>(0.203)   | -0.047**<br>(0.019) | -0.039**<br>(0.048) | -0.040*<br>(0.052) |
| Observations      | 859               | 860                | 860               | 859               | 860                 | 860                 | 859                 | 860                  | 860                  | 859                  | 860                  | 860                 | 859                 | 860                 | 860                |
| Industry Controls | Yes               | Yes                | Yes               | Yes               | Yes                 | Yes                 | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                 | Yes                 | Yes                 | Yes                |
| Firm Controls     | Yes               | Yes                | Yes               | Yes               | Yes                 | Yes                 | Yes                 | Yes                  | Yes                  | Yes                  | Yes                  | Yes                 | Yes                 | Yes                 | Yes                |
| R-Sq              | 0.081             | 0.080              | 0.081             | 0.118             | 0.121               | 0.121               | 0.113               | 0.116                | 0.116                | 0.093                | 0.096                | 0.097               | 0.107               | 0.109               | 0.109              |
| F Statistic       | 12.391            | 15.185             | 13.241            | 10.205            | 12.906              | 11.361              | 10.643              | 13.038               | 12.856               | 8.379                | 10.005               | 9.637               | 13.316              | 13.436              | 11.952             |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) and dummy variables indicating whether the company’s voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

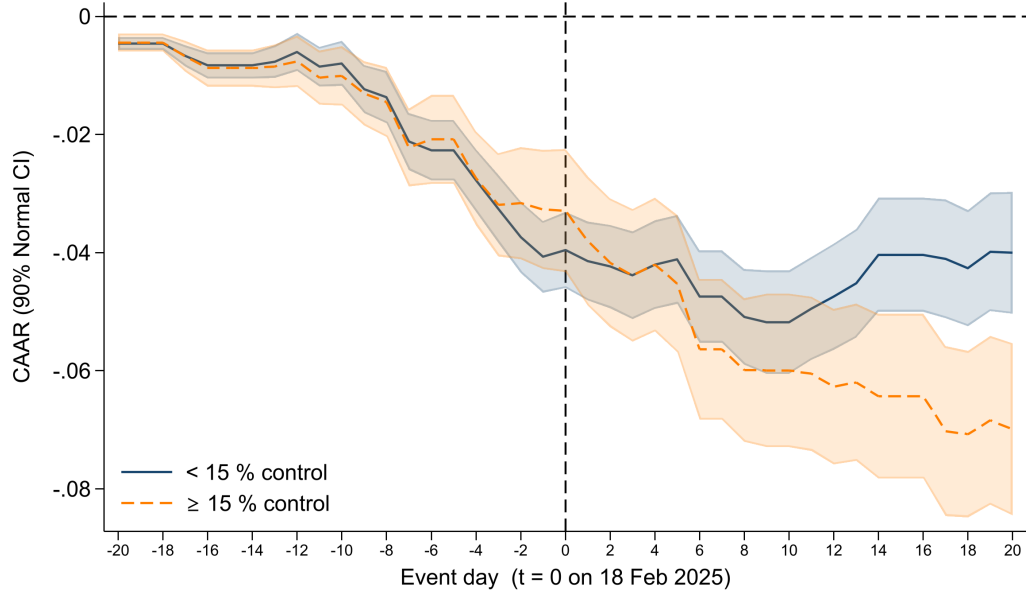
Table OA-3: Fama–French Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (SB 21)  
(Delaware Only)

|                       | CAR[−1, +1]       |                  |                  | CAR[−1, +3]         |                    |                    | CAR[−1, +5]         |                    |                    | CAR[−1, +7]         |                     |                     | CAR[−1, +10]        |                     |                     |
|-----------------------|-------------------|------------------|------------------|---------------------|--------------------|--------------------|---------------------|--------------------|--------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|
|                       | (1)               | (2)              | (3)              | (1)                 | (2)                | (3)                | (1)                 | (2)                | (3)                | (1)                 | (2)                 | (3)                 | (1)                 | (2)                 | (3)                 |
| Dual-class indicator  | -0.001<br>(0.814) |                  |                  | -0.014**<br>(0.045) |                    |                    | -0.019**<br>(0.019) |                    |                    | -0.021**<br>(0.023) |                     |                     | -0.022**<br>(0.026) |                     |                     |
| Voting-economic wedge |                   | 0.001<br>(0.949) | 0.001<br>(0.945) |                     | -0.040*<br>(0.096) | -0.040*<br>(0.090) |                     | -0.054*<br>(0.054) | -0.054*<br>(0.052) |                     | -0.078**<br>(0.031) | -0.077**<br>(0.030) |                     | -0.067**<br>(0.031) | -0.067**<br>(0.030) |
| Cash-flow rights      |                   |                  | 0.001<br>(0.940) |                     |                    | 0.002<br>(0.899)   |                     |                    | 0.004<br>(0.825)   |                     |                     | 0.005<br>(0.775)    |                     |                     | -0.003<br>(0.892)   |
| Observations          | 859               | 323              | 323              | 859                 | 323                | 323                | 859                 | 323                | 323                | 859                 | 323                 | 323                 | 859                 | 323                 | 323                 |
| R <sup>2</sup>        | 0.080             | 0.058            | 0.058            | 0.123               | 0.127              | 0.127              | 0.118               | 0.128              | 0.128              | 0.097               | 0.117               | 0.117               | 0.111               | 0.124               | 0.124               |
| Firm controls         | Yes               | Yes              | Yes              | Yes                 | Yes                | Yes                | Yes                 | Yes                | Yes                | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 |
| Industry LOO CAR      | Yes               | Yes              | Yes              | Yes                 | Yes                | Yes                | Yes                 | Yes                | Yes                | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 | Yes                 |

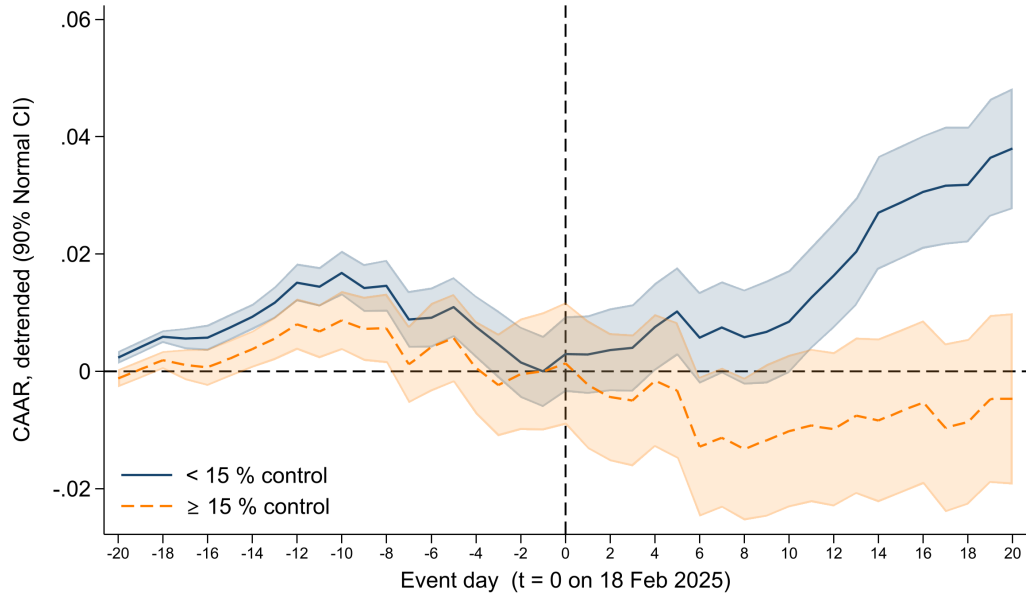
This Table reproduces Table 9 using cumulative abnormal returns estimated from the Fama–French five-factor model (market, SMB, HML, RMW, and CMA) in place of the market model, on the same sample of the largest 1,000 Delaware-incorporated firms. Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge, the largest controlling blockholder’s share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction and read from each firm’s most recent pre-event DEF 14A proxy statement (SEC EDGAR), with Column (3) additionally controlling for the controller’s cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample, identically to Table 9. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is February 18, 2025. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Figure OA-Fig-2: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Voting Block  $\geq 15\%$ ) (Delaware Only)

(a) Panel A



(b) Panel B



Panels A and B of this Figure plot the Fama-French cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return relative to the five-factor benchmark. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window; the bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating  $\hat{\alpha} + \hat{\beta}t$  on the pre-event window ( $t=-20$ ) to ( $t=-1$ ) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day -1 equals zero, making all reported CARs deviations from that last pre-event day. The detrending is descriptive; all estimates and inference in the text use the unadjusted CARs.

Table OA-4: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (Match) (Combined Sample)

|               | (1)<br>CAR[-1,1]  | (2)<br>CAR[-1,3]  | (3)<br>CAR[-1,5]  | (4)<br>CAR[-1,7]  | (5)<br>CAR[-1,10] |
|---------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Delaware      | 0.000<br>(0.934)  | -0.000<br>(0.916) | -0.001<br>(0.800) | -0.005<br>(0.134) | -0.004<br>(0.328) |
| Constant      | -0.003<br>(0.473) | -0.003<br>(0.708) | 0.002<br>(0.813)  | 0.002<br>(0.807)  | 0.005<br>(0.598)  |
| Observations  | 1512              | 1512              | 1512              | 1512              | 1512              |
| Industry FE   | Yes               | Yes               | Yes               | Yes               | Yes               |
| Firm Controls | Yes               | Yes               | Yes               | Yes               | Yes               |
| R-Sq          | 0.262             | 0.242             | 0.252             | 0.273             | 0.298             |
| F Statistic   | 5.344             | 1.903             | 0.961             | 2.387             | 1.708             |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court’s *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-5: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

|                   | CAR[-1,1]         |                   |                   | CAR[-1,3]        |                  |                  | CAR[-1,5]        |                  |                   | CAR[-1,7]         |                  |                   | CAR[-1,10]        |                   |                   |
|-------------------|-------------------|-------------------|-------------------|------------------|------------------|------------------|------------------|------------------|-------------------|-------------------|------------------|-------------------|-------------------|-------------------|-------------------|
|                   | (1)               | (2)               | (3)               | (4)              | (5)              | (6)              | (7)              | (8)              | (9)               | (10)              | (11)             | (12)              | (13)              | (14)              | (15)              |
| Voting Block      | 0.005<br>(0.120)  |                   |                   | 0.002<br>(0.685) |                  |                  | 0.001<br>(0.854) |                  |                   | -0.002<br>(0.695) |                  |                   | -0.005<br>(0.582) |                   |                   |
| >15%              |                   | 0.001<br>(0.591)  |                   |                  | 0.000<br>(0.862) |                  |                  | 0.001<br>(0.764) |                   |                   | 0.002<br>(0.499) |                   |                   | 0.000<br>(0.919)  |                   |
| 15–33%            |                   |                   | 0.001<br>(0.716)  |                  |                  | 0.000<br>(0.928) |                  |                  | 0.002<br>(0.447)  |                   |                  | 0.004<br>(0.159)  |                   |                   | 0.000<br>(0.946)  |
| >33.3%            |                   |                   | 0.001<br>(0.699)  |                  |                  | 0.001<br>(0.868) |                  |                  | -0.001<br>(0.841) |                   |                  | -0.001<br>(0.856) |                   |                   | 0.000<br>(0.929)  |
| Constant          | -0.007<br>(0.210) | -0.006<br>(0.293) | -0.006<br>(0.297) | 0.004<br>(0.662) | 0.004<br>(0.621) | 0.004<br>(0.616) | 0.008<br>(0.332) | 0.007<br>(0.384) | 0.006<br>(0.444)  | 0.007<br>(0.537)  | 0.003<br>(0.760) | 0.002<br>(0.850)  | -0.003<br>(0.822) | -0.005<br>(0.653) | -0.005<br>(0.666) |
| Observations      | 846               | 847               | 847               | 846              | 847              | 847              | 846              | 847              | 847               | 846               | 847              | 847               | 846               | 847               | 847               |
| Industry Controls | Yes               | Yes               | Yes               | Yes              | Yes              | Yes              | Yes              | Yes              | Yes               | Yes               | Yes              | Yes               | Yes               | Yes               | Yes               |
| Firm Controls     | Yes               | Yes               | Yes               | Yes              | Yes              | Yes              | Yes              | Yes              | Yes               | Yes               | Yes              | Yes               | Yes               | Yes               | Yes               |
| R-Sq              | 0.159             | 0.158             | 0.158             | 0.118            | 0.118            | 0.118            | 0.107            | 0.108            | 0.108             | 0.123             | 0.124            | 0.125             | 0.158             | 0.157             | 0.157             |
| F Statistic       | 38.501            | 37.363            | 33.165            | 13.285           | 13.207           | 11.787           | 9.732            | 10.051           | 9.034             | 13.526            | 13.628           | 11.987            | 19.708            | 19.620            | 17.844            |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) and dummy variables indicating whether the company’s voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court’s *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-6: Fama–French Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (Match) (Delaware Only)

|                       | CAR[−1, +1]      |                  |                  | CAR[−1, +3]      |                   |                   | CAR[−1, +5]      |                  |                  | CAR[−1, +7]      |                  |                  | CAR[−1, +10]     |                  |                  |
|-----------------------|------------------|------------------|------------------|------------------|-------------------|-------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                       | (1)              | (2)              | (3)              | (1)              | (2)               | (3)               | (1)              | (2)              | (3)              | (1)              | (2)              | (3)              | (1)              | (2)              | (3)              |
| Dual-class indicator  | 0.001<br>(0.627) |                  |                  | 0.003<br>(0.320) |                   |                   | 0.004<br>(0.237) |                  |                  | 0.002<br>(0.661) |                  |                  | 0.007<br>(0.203) |                  |                  |
| Voting-economic wedge |                  | 0.009<br>(0.342) | 0.010<br>(0.318) |                  | 0.018*<br>(0.092) | 0.019*<br>(0.086) |                  | 0.016<br>(0.174) | 0.016<br>(0.168) |                  | 0.009<br>(0.548) | 0.010<br>(0.537) |                  | 0.024<br>(0.190) | 0.024<br>(0.185) |
| Cash-flow rights      |                  |                  | 0.008<br>(0.270) |                  |                   | 0.005<br>(0.567)  |                  |                  | 0.002<br>(0.810) |                  |                  | 0.005<br>(0.627) |                  |                  | 0.006<br>(0.651) |
| Observations          | 845              | 317              | 317              | 845              | 317               | 317               | 845              | 317              | 317              | 845              | 317              | 317              | 845              | 317              | 317              |
| $R^2$                 | 0.159            | 0.095            | 0.098            | 0.119            | 0.077             | 0.078             | 0.109            | 0.064            | 0.064            | 0.124            | 0.089            | 0.089            | 0.159            | 0.170            | 0.171            |
| Firm controls         | Yes              | Yes              | Yes              | Yes              | Yes               | Yes               | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              |
| Industry LOO CAR      | Yes              | Yes              | Yes              | Yes              | Yes               | Yes               | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              | Yes              |

This Table reproduces Table OA-14 using cumulative abnormal returns estimated from the Fama–French five-factor model (market, SMB, HML, RMW, and CMA) in place of the market model, around the date of the Delaware Supreme Court’s *Match* decision (April 4, 2024). Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge—the largest controlling blockholder’s share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction—with Column (3) additionally controlling for the controller’s cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). Because the voting–economic structure is highly persistent, the wedge is measured from each firm’s most recent DEF 14A proxy statement and treated as a time-invariant firm characteristic, as is the dual-class indicator. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

## OA-2 State Composition of the Non-Delaware Comparison Group

This section reports the state-of-incorporation composition of the non-Delaware comparison group used in the baseline Delaware/non-Delaware comparison of the main paper.

Table OA-7: State Composition of the Non-Delaware Comparison Group

| State | Firms | %     | State | Firms | %   | State | Firms | %   |
|-------|-------|-------|-------|-------|-----|-------|-------|-----|
| MD    | 202   | 23.9  | GA    | 16    | 1.9 | ME    | 3     | 0.4 |
| MA    | 64    | 7.6   | MO    | 15    | 1.8 | NE    | 3     | 0.4 |
| NV    | 53    | 6.3   | NC    | 14    | 1.7 | WV    | 3     | 0.4 |
| NY    | 44    | 5.2   | TN    | 11    | 1.3 | CO    | 2     | 0.2 |
| PA    | 44    | 5.2   | IL    | 10    | 1.2 | KS    | 2     | 0.2 |
| OH    | 39    | 4.6   | OR    | 8     | 0.9 | RI    | 2     | 0.2 |
| TX    | 32    | 3.8   | OK    | 7     | 0.8 | AZ    | 1     | 0.1 |
| NJ    | 30    | 3.6   | UT    | 5     | 0.6 | SD    | 1     | 0.1 |
| VA    | 29    | 3.4   | SC    | 5     | 0.6 | NH    | 1     | 0.1 |
| MN    | 29    | 3.4   | KY    | 5     | 0.6 | NM    | 1     | 0.1 |
| FL    | 28    | 3.3   | LA    | 5     | 0.6 | ID    | 1     | 0.1 |
| WI    | 25    | 3.0   | IA    | 4     | 0.5 | DC    | 1     | 0.1 |
| IN    | 24    | 2.8   | CT    | 4     | 0.5 | MT    | 1     | 0.1 |
| WA    | 20    | 2.4   | MS    | 4     | 0.5 | AK    | 1     | 0.1 |
| CA    | 20    | 2.4   | AR    | 4     | 0.5 | ND    | 1     | 0.1 |
| MI    | 17    | 2.0   | HI    | 3     | 0.4 | PR    | 1     | 0.1 |
| Total | 845   | 100.0 |       |       |     |       |       |     |

Counts and shares of firms in the non-Delaware control group by state of incorporation, listed in descending order of firm count reading down each block of columns. States are identified by two-letter postal abbreviations, and % is each state's share of the non-Delaware control group. The non-Delaware control group comprises the 845 firms in the baseline regression panel (Specification 5) that are incorporated outside Delaware.

## OA-3 Single-Date Regressions around SB 21

This section reports single-equation OLS estimates of the Delaware/non-Delaware and within-Delaware cross-sections at each of the four event dates surrounding the enactment of SB 21, for transparency and comparability with the main-text estimates and with the Seemingly Unrelated Regressions system in Section A.2.1. We analyze four event dates: (i) 18 February 2025, the first trading day after the February 17 announcement; (ii) 11 March 2025, when the Delaware State Bar Association’s Executive Committee authorized its Corporation Law Section to advocate for the revised bill; (iii) 19 March 2025, when the House Judiciary Committee reported the bill out; and (iv) 25 March 2025, final House passage and gubernatorial signature. For each date, cumulative abnormal returns are estimated from an identical pre-event estimation window  $[-250, -20]$  relative to 18 February 2025 (ending 20 trading days before that date) to avoid contamination from SB 21’s announcement. Table OA-8 reports the date-specific Delaware coefficients from Specification (5); Tables OA-9–OA-11 report the date-specific coefficients from Specification (6) for the continuous voting block, the two control tiers (15–33.3% and  $> 33.3\%$ ), and dual-class status.

Table OA-8: Cumulative Abnormal Return Regressions on Delaware Variable (Post-SB 21 Events) (Combined Sample)

|               | (1)<br>18 Feb        | (2)<br>March 11    | (3)<br>March 19   | (4)<br>March 25    |
|---------------|----------------------|--------------------|-------------------|--------------------|
| Delaware      | -0.012***<br>(0.001) | 0.004<br>(0.388)   | 0.002<br>(0.350)  | -0.004*<br>(0.075) |
| Constant      | -0.029*<br>(0.068)   | 0.026**<br>(0.020) | -0.005<br>(0.513) | -0.013<br>(0.238)  |
| Observations  | 1522                 | 1519               | 1518              | 1517               |
| Industry FE   | Yes                  | Yes                | Yes               | Yes                |
| Firm Controls | Yes                  | Yes                | Yes               | Yes                |
| R-Sq          | 0.293                | 0.306              | 0.272             | 0.401              |
| F Statistic   | 10.914               | 9.282              | 1.907             | 8.525              |

The Table reports the results of OLS regressions of cumulative abnormal returns over the  $[-1, +5]$  event window on a dummy variable indicating whether the company is incorporated in Delaware, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-9: Cumulative Abnormal Return Regressions on Continuous Voting Block (Post-SB 21 Events) (Delaware Only)

|                   | (1)                  | (2)               | (3)               | (4)                |
|-------------------|----------------------|-------------------|-------------------|--------------------|
|                   | 18 Feb               | March 11          | March 19          | March 25           |
| Voting Block      | -0.027***<br>(0.003) | -0.013<br>(0.210) | 0.008<br>(0.362)  | 0.001<br>(0.924)   |
| Constant          | -0.021<br>(0.184)    | 0.026*<br>(0.098) | -0.012<br>(0.181) | -0.027*<br>(0.078) |
| Observations      | 859                  | 856               | 855               | 854                |
| Industry Controls | Yes                  | Yes               | Yes               | Yes                |
| Firm Controls     | Yes                  | Yes               | Yes               | Yes                |
| R-Sq              | 0.126                | 0.176             | 0.158             | 0.281              |
| F Statistic       | 14.406               | 16.465            | 11.924            | 31.128             |

The Table reports the results of OLS regressions of cumulative abnormal returns over the  $[-1, +5]$  event window on a continuous variable measuring the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power ("Voting Block"), estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-10: Cumulative Abnormal Return Regressions on Voting-Block Tiers (Post-SB 21 Events) (Delaware Only)

|                   | (1)<br>18 Feb       | (2)<br>March 11     | (3)<br>March 19     | (4)<br>March 25    |
|-------------------|---------------------|---------------------|---------------------|--------------------|
| 15–33%            | -0.012**<br>(0.011) | -0.012**<br>(0.011) | 0.006**<br>(0.021)  | 0.004<br>(0.492)   |
| >33.3%            | -0.017**<br>(0.016) | -0.012**<br>(0.023) | 0.011**<br>(0.012)  | 0.005<br>(0.368)   |
| Constant          | -0.017<br>(0.330)   | 0.035**<br>(0.029)  | -0.018**<br>(0.037) | -0.032*<br>(0.082) |
| Observations      | 860                 | 857                 | 856                 | 855                |
| Industry Controls | Yes                 | Yes                 | Yes                 | Yes                |
| Firm Controls     | Yes                 | Yes                 | Yes                 | Yes                |
| R-Sq              | 0.128               | 0.184               | 0.167               | 0.283              |
| F Statistic       | 14.995              | 17.884              | 13.140              | 29.542             |

The Table reports the results of OLS regressions of cumulative abnormal returns over the  $[-1, +5]$  event window on dummy variables indicating whether the company's voting block is between 15% and 33.3%, or greater than 33.3%, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-11: Cumulative Abnormal Return Regressions on Dual-Class (Post-SB 21 Events)  
(Delaware Only)

|                   | (1)<br>18 Feb        | (2)<br>March 11   | (3)<br>March 19     | (4)<br>March 25    |
|-------------------|----------------------|-------------------|---------------------|--------------------|
| Dual Class        | -0.023***<br>(0.006) | -0.008<br>(0.100) | 0.014***<br>(0.000) | -0.008<br>(0.310)  |
| Constant          | -0.030*<br>(0.073)   | 0.022<br>(0.138)  | -0.011<br>(0.205)   | -0.025*<br>(0.068) |
| Observations      | 859                  | 856               | 855                 | 854                |
| Industry Controls | Yes                  | Yes               | Yes                 | Yes                |
| Firm Controls     | Yes                  | Yes               | Yes                 | Yes                |
| R-Sq              | 0.132                | 0.177             | 0.171               | 0.284              |
| F Statistic       | 14.638               | 17.530            | 21.265              | 29.142             |

The Table reports the results of OLS regressions of cumulative abnormal returns over the  $[-1, +5]$  event window on a dummy variable indicating whether the company has a dual-class voting structure, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

## OA-4 Match Cross-Sectional Regressions

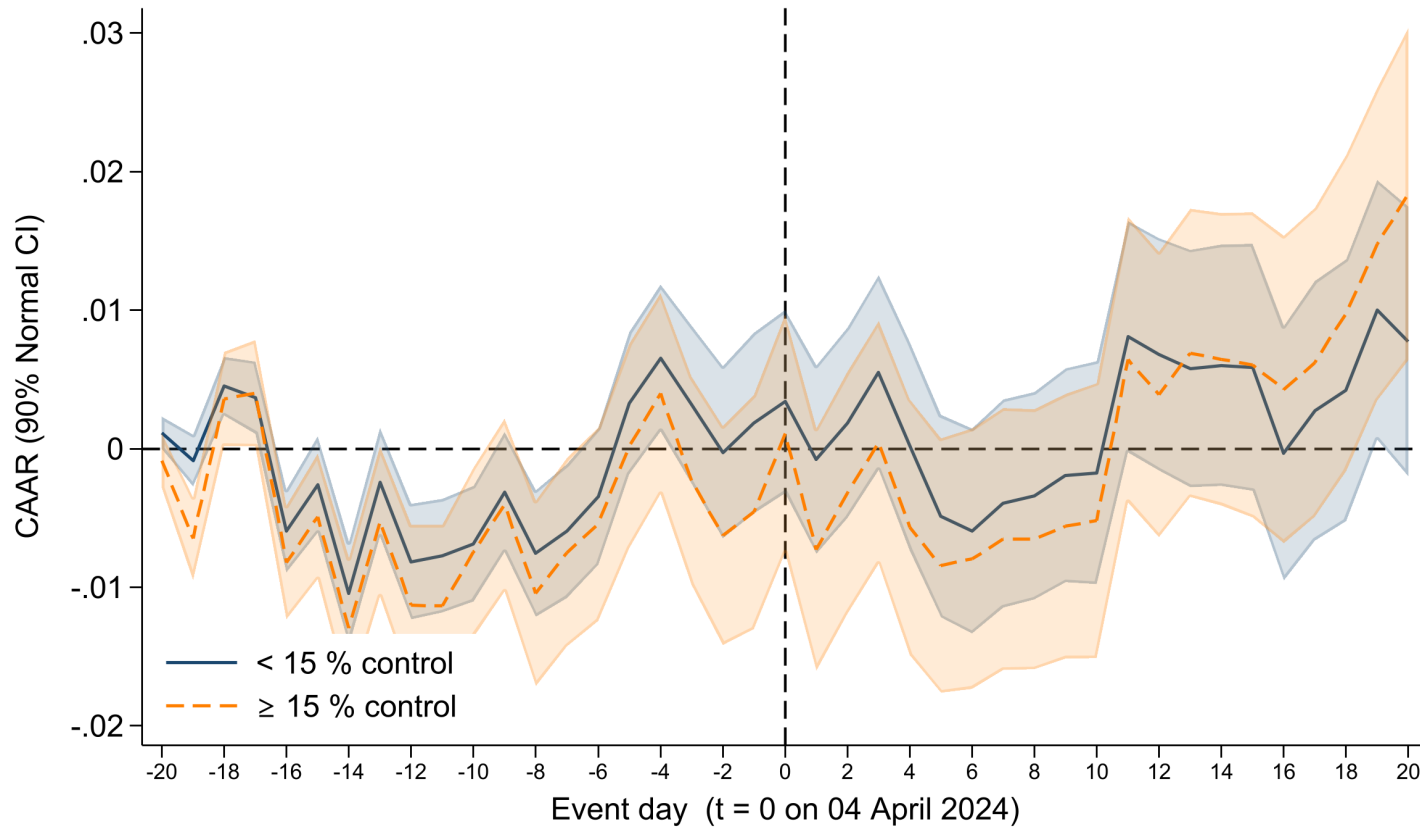
This section reports the within-Delaware cross-sectional event-study results around the *Match* decision (April 4, 2024): the univariate voting-block CARs (Table OA-12 and Figure OA-Fig-3) and the multivariate voting-block and dual-class/wedge regressions (Tables OA-13–OA-14). These mirror the SB 21 cross-sectional specifications in the main text (Tables 8–9); the aggregate Delaware/non-Delaware *Match* results remain in Section 5.6.

Table OA-12: Cumulative Abnormal Returns Associated with Match (Voting Blocks) (Delaware Only)

|         | < 15%               |     | 15%–33%            |     | > 33%              |     | >33.3%<br>– <15% |
|---------|---------------------|-----|--------------------|-----|--------------------|-----|------------------|
|         | Voting Block        |     | Voting Block       |     | Voting Block       |     |                  |
|         | CAR                 | N   | CAR                | N   | CAR                | N   | CAR              |
| [-1;1]  | -0.0003<br>( )      | 569 | 0.0002<br>( )      | 191 | 0.0005<br>( )      | 162 | 0.0008<br>( )    |
| [-1;3]  | 0.0056***<br>(**)   | 569 | 0.0074***<br>(***) | 191 | 0.0084***<br>(***) | 162 | 0.0028<br>( )    |
| [-1;5]  | -0.0044***<br>(***) | 569 | -0.0033<br>(*)     | 191 | 0.0008<br>( )      | 162 | 0.0052<br>( )    |
| [-1;7]  | -0.0028<br>(**)     | 569 | 0.0005<br>( )      | 191 | 0.0013<br>( )      | 162 | 0.0041<br>( )    |
| [-1;10] | -0.0005<br>(*)      | 569 | -0.0009<br>( )     | 191 | 0.0061<br>( )      | 162 | 0.0066<br>( )    |

The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court’s *Match* decision. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles within the Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. The final column reports the difference between the >33.3% and <15% voting-block CAARs, with significance stars from a test of the difference in mean CARs; the parentheses beneath report significance stars for the difference in mean standardized CARs (each firm’s CAR scaled by its estimation-window forecast standard deviation), the mirror of the BMP statistic reported for the individual voting-block groups. Both tests adjust the cross-sectional variance for the mean pairwise correlation of estimation-window abnormal returns following [Kolari and Pynnönen \(2010\)](#), as is appropriate when all firms share a single event date. Applied to the one-sample statistics, the corresponding adjustment renders the CAAR of every voting-block group statistically indistinguishable from zero in all windows. See [Appendix](#).

Figure OA-Fig-3: Cumulative Abnormal Returns Associated with Match  
(Voting Block  $\geq 15\%$ ) (Delaware Only)



The Figure plots the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event, around the date of the Delaware Supreme Court's *Match* decision. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window; the bands are unadjusted for cross-sectional correlation and are illustrative rather than inferential.

Table OA-13: Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

|                   | CAR[-1,1] |         |         | CAR[-1,3] |          |          | CAR[-1,5] |         |         | CAR[-1,7] |         |         | CAR[-1,10] |         |         |
|-------------------|-----------|---------|---------|-----------|----------|----------|-----------|---------|---------|-----------|---------|---------|------------|---------|---------|
|                   | (1)       | (2)     | (3)     | (4)       | (5)      | (6)      | (7)       | (8)     | (9)     | (10)      | (11)    | (12)    | (13)       | (14)    | (15)    |
| Voting Block      | 0.006*    |         |         | 0.004     |          |          | 0.006     |         |         | 0.003     |         |         | 0.001      |         |         |
|                   | (0.051)   |         |         | (0.423)   |          |          | (0.318)   |         |         | (0.631)   |         |         | (0.874)    |         |         |
| >15%              |           | 0.001   |         |           | 0.002    |          |           | 0.003   |         |           | 0.004   |         |            | 0.002   |         |
|                   |           | (0.291) |         |           | (0.421)  |          |           | (0.326) |         |           | (0.199) |         |            | (0.613) |         |
| 15–33%            |           |         | 0.001   |           |          | 0.001    |           |         | 0.001   |           |         | 0.003   |            |         | -0.002  |
|                   |           |         | (0.619) |           |          | (0.768)  |           |         | (0.747) |           |         | (0.334) |            |         | (0.712) |
| >33.3%            |           |         | 0.002   |           |          | 0.003    |           |         | 0.005   |           |         | 0.004   |            |         | 0.005   |
|                   |           |         | (0.349) |           |          | (0.390)  |           |         | (0.210) |           |         | (0.261) |            |         | (0.240) |
| Constant          | 0.002     | 0.003   | 0.004   | 0.030***  | 0.029*** | 0.030*** | 0.012     | 0.012   | 0.012   | 0.027***  | 0.024** | 0.024** | 0.025**    | 0.023** | 0.025** |
|                   | (0.662)   | (0.512) | (0.472) | (0.000)   | (0.000)  | (0.000)  | (0.121)   | (0.166) | (0.143) | (0.007)   | (0.016) | (0.017) | (0.025)    | (0.039) | (0.035) |
| Observations      | 846       | 847     | 847     | 846       | 847      | 847      | 846       | 847     | 847     | 846       | 847     | 847     | 846        | 847     | 847     |
| Industry Controls | Yes       | Yes     | Yes     | Yes       | Yes      | Yes      | Yes       | Yes     | Yes     | Yes       | Yes     | Yes     | Yes        | Yes     | Yes     |
| Firm Controls     | Yes       | Yes     | Yes     | Yes       | Yes      | Yes      | Yes       | Yes     | Yes     | Yes       | Yes     | Yes     | Yes        | Yes     | Yes     |
| R-Sq              | 0.153     | 0.153   | 0.153   | 0.136     | 0.136    | 0.137    | 0.128     | 0.128   | 0.128   | 0.106     | 0.107   | 0.107   | 0.127      | 0.126   | 0.128   |
| F Statistic       | 34.937    | 32.561  | 28.955  | 15.307    | 15.022   | 13.690   | 13.608    | 13.732  | 12.155  | 9.015     | 9.219   | 8.210   | 15.916     | 15.980  | 14.766  |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power (“Voting Block”) and dummy variables indicating whether the company’s voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court’s *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.

Table OA-14: Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (Match) (Delaware Only)

|                       | CAR[−1, +1]      |                  |                  | CAR[−1, +3]       |                    |                    | CAR[−1, +5]         |                  |                  | CAR[−1, +7]       |                  |                  | CAR[−1, +10]       |                  |                  |
|-----------------------|------------------|------------------|------------------|-------------------|--------------------|--------------------|---------------------|------------------|------------------|-------------------|------------------|------------------|--------------------|------------------|------------------|
|                       | (1)              | (2)              | (3)              | (1)               | (2)                | (3)                | (1)                 | (2)              | (3)              | (1)               | (2)              | (3)              | (1)                | (2)              | (3)              |
| Dual-class indicator  | 0.002<br>(0.363) |                  |                  | 0.005*<br>(0.078) |                    |                    | 0.009***<br>(0.004) |                  |                  | 0.007*<br>(0.071) |                  |                  | 0.013**<br>(0.012) |                  |                  |
| Voting-economic wedge |                  | 0.009<br>(0.339) | 0.009<br>(0.305) |                   | 0.020**<br>(0.050) | 0.020**<br>(0.044) |                     | 0.016<br>(0.128) | 0.016<br>(0.114) |                   | 0.011<br>(0.420) | 0.012<br>(0.386) |                    | 0.022<br>(0.198) | 0.023<br>(0.181) |
| Cash-flow rights      |                  |                  | 0.011<br>(0.173) |                   |                    | 0.007<br>(0.460)   |                     |                  | 0.009<br>(0.344) |                   |                  | 0.013<br>(0.213) |                    |                  | 0.014<br>(0.271) |
| Observations          | 845              | 317              | 317              | 845               | 317                | 317                | 845                 | 317              | 317              | 845               | 317              | 317              | 845                | 317              | 317              |
| $R^2$                 | 0.153            | 0.092            | 0.099            | 0.139             | 0.098              | 0.100              | 0.131               | 0.077            | 0.079            | 0.109             | 0.068            | 0.071            | 0.133              | 0.140            | 0.142            |
| Firm controls         | Yes              | Yes              | Yes              | Yes               | Yes                | Yes                | Yes                 | Yes              | Yes              | Yes               | Yes              | Yes              | Yes                | Yes              | Yes              |
| Industry LOO CAR      | Yes              | Yes              | Yes              | Yes               | Yes                | Yes                | Yes                 | Yes              | Yes              | Yes               | Yes              | Yes              | Yes                | Yes              | Yes              |

This Table reproduces Table 9 around the date of the Delaware Supreme Court’s *Match* decision (April 4, 2024). Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge, namely the largest controlling blockholder’s share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction, with Column (3) additionally controlling for the controller’s cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). Because the voting–economic structure is highly persistent, the wedge is measured from each firm’s most recent DEF 14A proxy statement and treated as a time-invariant firm characteristic, as is the dual-class indicator. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample, identically to Table 9. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is April 4, 2024. \* significant at the 10% level; \*\* significant at the 5% level; \*\*\* significant at the 1% level. P-values are reported in parentheses. We cluster standard errors at the industry (SIC3) level.